

Annual Report 2023 of J.P. Morgan SE

J.P. Morgan

Key Figures

Main Indicators €	31/12/2023
Total operating income (m)	5,617.2
Net interest income (m)	1,439.8
Net fee and commission income (m)	2,663.7
Loan loss provision (m)	-55.7
Total administrative expenses, depreciation and amortization (m)	3,105.9
Profit before tax (m)	2,567.0
Profit for the year (m)	1,683.6
Total Assets (bn)	421.0
Risk-weighted Assets (bn)	121.1
Total Equity (bn)	25.4
Total Regulatory Capital (bn)	41.7

Ratios ¹ %	31/12/2023
Tier 1 capital ratio	20.0
Total capital ratio	34.4
Leverage ratio	5.8
Cost/Income Ratio (before loan loss provision)	55.3
Return on Equity (RoE) (Profit of the year/Equity)	6.8
Return on Investment (Profit of the year/Total Balance Sheet)	0.4
Pre-tax profit margin (Profit before tax/Total operating income)	45.7
Return on Risk Weighted Assets (RoRWA) (Profit of the year/Total Risk Weighted Assets)	1.4

¹ includes recognition of 2023 profit

Full-Time Personnel	31/12/2023
Head Office	706
Branches	4,365
Total	5,071

Ratings (31/12/2023)	Moody's	SGP	Fitch
Outlook	Stable	Stable	Stable
Long-term Issuer Rating	Aa3	A+	AA
Short-term Issuer Rating	P-1	A-1	F1+

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Report of the Supervisory Board

SUPERVISION AND CONTROL

The Supervisory Board has monitored the Management Board on the basis of written and verbal reporting and performed the duties for which it is responsible in accordance with applicable statutes. The Supervisory Board was informed of important matters about the financial result of the Bank, the business development, the capital and liquidity situation as well as the risk management profile. This has been done during the meetings of the Supervisory Board and its Committees as well as by means of written and oral ad-hoc reporting.

In 2023, the Supervisory Board welcomed a number of new members, whilst maintaining effective oversight of the Bank's risk profile and financial results. Geopolitical events in Europe and around the world which impact business activity and risk remained in focus of the Supervisory Board. Increasing levels of interest rates have returned rates to more normal historic levels in Europe, aiding profitability, but also resulting in the repricing of risky assets, which has contributed to the instability of a number of banks. The Supervisory Board continues to monitor these developments as well as regulatory matters to ensure a strong and effective governance framework.

PERSONNEL CHANGES IN THE MANAGEMENT BOARD

Jessica Kaffrén joined J.P. Morgan SE on January 2, 2024 as the new Head of Outsourcing, Operations and Technology, which was previously covered on an interim basis by Nicholas Conron (Outsourcing) and Burkhard Kübel-Sorger (Operations and Technology), following the departure of Cindyrella Amistadi on March 15, 2023. Jessica Kaffrén will be appointed as a Management Board member following the granting of required regulatory approval. Furthermore, Burkhard Kübel-Sorger will depart J.P. Morgan SE at the end of June 2024. As of April 30, 2024 the Management Board comprises five members.

PERSONNEL CHANGES IN THE SUPERVISORY BOARD

Mark Garvin retired from the Supervisory Board with effect from July 31, 2023. Susan Dean retired from the Supervisory Board with effect from January 31, 2024. Frank Pearn and Ann Doherty were appointed as Supervisory Board members with effect from March 1, 2024. Following Mark Garvin's retirement, Andrew Cox was elected as Chair of the Supervisory Board with effect from September 6, 2023 and Elizabeth Munro was elected as Deputy Chair of the Supervisory Board with effect from December 7, 2023.

AUDIT COMMITTEE

The Audit Committee is responsible for monitoring the accounting processes, the effectiveness of the internal control system and the exchange with Internal Audit as well as the statutory audit, in particular the independence of the auditor and the additional services provided by the auditor. To this end, the Audit Committee held five meetings in fiscal 2023.

Based on the recommendations of the Audit Committee (see § 124 Para. 3 sentence 2 of the German Stock Corporation Act [Aktiengesetz, "AktG"]) in the Annual General Meeting held on

May 8, 2024 and in accordance with the statutory requirements, the auditor BDO AG Wirtschaftsprüfungsgesellschaft, Frankfurt am Main, will be suggested for the audit of the annual financial statements, individual financial statements in accordance with IFRS and the management report for the financial year 2024.

RISK COMMITTEE

At its 7 meetings held in 2023, the Risk Committee continued to keep a close focus on the top and emerging financial and non-financial risks stemming from the overall geopolitical and macroeconomic challenges. Moreover, the Risk Committee was briefed on JPMSE's risk culture, key developments in the Risk function, results from internal and external stress test exercises, and the approach taken in managing climate and environmental risks. The Committee also had reports provided to it on chosen Line of Business topics.

NOMINATION COMMITTEE

The Nomination Committee led the process for Board and certain Key Function Holder appointments and reviewed Board and Committee composition – including the qualification and suitability of members of the Management Board and Supervisory Board (collectively and individually). The Nomination Committee also reviewed Management Board member succession planning and related policies. The Nomination Committee met 8 times during the course of 2023.

REMUNERATION CONTROL COMMITTEE

The Remuneration Control Committee oversaw compliance with remuneration-related law and regulation. This included reviewing remuneration governance frameworks, its remuneration system and remuneration for members of the Management Board and (where applicable) employees who may be considered to have a material impact on the risk profile of the Company (Material Risk Taker). The Remuneration Control Committee met 5 times during the course of 2023, and it additionally held one joint meeting with the full Supervisory Board.

ANNUAL FINANCIAL STATEMENTS AND INDIVIDUAL IFRS FINANCIAL STATEMENTS

The annual financial statements, the individual financial statements according to IFRS, as applicable in the EU by the Bank, and the management report of the Management Board for the 2023 financial year, including the bookkeeping, have been audited by the auditing company BDO AG Wirtschaftsprüfungsgesellschaft, Frankfurt am Main, selected as the auditor by the Annual General Meeting. The auditor raised no objections and issued an unqualified audit opinion. The Management Board has also prepared a report on affiliated companies (dependent company report) for the 2023 financial year in accordance with Section 312 of the German Stock Corporation Act. The audit of the report by the Supervisory Board did not reveal any objections. The auditor conducted their work on the Management Board's report on relationships with affiliated companies and issued the following auditor's report:

“In accordance with our engagement, we have audited the report of the Management Board pursuant to Section 312 of the German Stock Corporation Act on relationships with affiliated companies in accordance with Section 313 of the German Stock Corporation Act for the financial year 2023. As the final outcome of our audit did not give rise to any objections, we issue the following auditor’s report in accordance with Section 313 (3) sentence 1 of the German Stock Corporation Act:

After our dutiful examination and assessment, we confirm that:

1. The factual information in the report is correct,
2. In the legal transactions listed in the report, the performance of the company was not inappropriately overstated,
3. In the case of the measures listed in the report, there are no circumstances in favour of a material assessment other than that by the Management Board.”

The Audit Committee discussed and reviewed the annual financial statements, the individual financial statements in accordance with IFRS and the management report with the auditors during the meeting on May 7, 2024. Based on the final result of the investigation carried out by the Audit Committee, the Supervisory Board did not raise any objections. The annual financial statements, individual financial statements according to IFRS and the management report prepared by the Management Board for the period ended December 31, 2023 were approved by the Supervisory Board today. The annual financial statements, as submitted by the Management Board, are hereby approved and established.

The Supervisory Board would like to express its sincere gratitude to the Management Board and all employees of the Bank for their commitment and the work they have done together.

The Supervisory Board

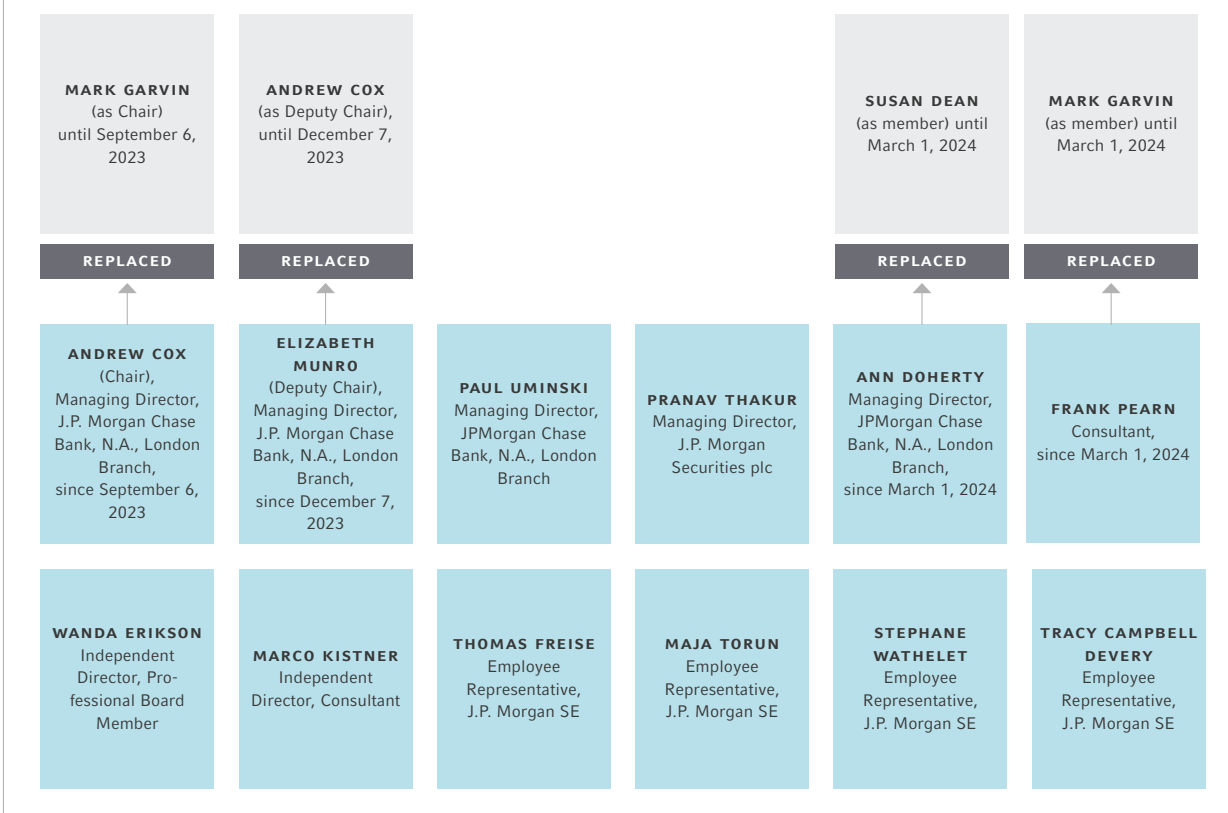
A handwritten signature in black ink, appearing to be 'AC', with a large loop and a cross at the bottom.

ANDREW COX
Chairperson of the Supervisory Board

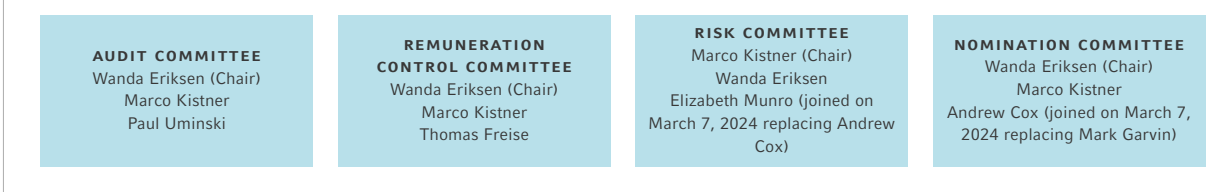
Frankfurt am Main, May 8, 2024

J.P. Morgan SE
Frankfurt am Main

Supervisory Board



Supervisory Board Committees as of March 7, 2024



Management Report for the Financial Year from January 1, 2023 to December 31, 2023

1. Introduction

1.1. LOOKING BACK ON 2023

2023 was the second year after the creation of J.P. Morgan SE ("JPMSE", the "Bank", the "entity", "we" or "our") as result of the cross-border merger of J.P. Morgan Bank Luxembourg S.A. ("JPMBL") and J.P. Morgan Bank (Ireland) plc ("JPMBI") as transferring entities into J.P. Morgan AG ("JPMAG") in January 2022.

J.P. Morgan SE continues to be headquartered in Frankfurt and operates in 15 countries in the European Economic Area (EEA) and the UK. As an integral part of JPMorgan Chase & Co. ("JPMorgan Chase", the "Firm", or "JPM Group"), we continued to contribute approximately 30% to the overall EMEA revenues. This was mainly due to a customer-centric, global business model of JPM Group, as well as a strong Management Board that ensures leadership, governance, risk management and compliance with regulatory requirements.

The combined unit is among the five largest banking legal entities in Germany, and among the top 22 under direct supervision of the ECB in the EU, based on size of the balance sheet. Per year-end 2023, its total capital base was € 40 billion (rounded), with capital ratios of 20.0 % CET1 and 34.4 % Total Capital Ratio.

Throughout the year, we continued our efforts to expand our product offering to our clients, to further strive for simplification, leverage our branch network, and strengthen our capital base. Highlights in 2023 also include

- Completed first successful participation in the EBA Stress Test with an ultimately strong CET 1 capital ratio of 13.9 %.

- Unplanned changes in the Management Board were accommodated by the existing capabilities of the Management team demonstrating the robust forward-looking planning, strong leadership and expertise of the members of the Management Board and the outstanding teamwork.
- The transfer of material business activities of JPMorgan Chase Bank, N.A., Paris ("JPMCB Paris") to J.P. Morgan SE Paris was completed in October 2023, impacting Private Bank, Payments and Commercial Banking, in our efforts to further simplify the Firm's legal entity structure and sustainably complement JPMSE's existing product offering.
- And finally, we successfully injected € 2.5 billion in additional Tier 2 capital in the light of heightened market volatility in Q1 2023 resulting in higher Risk-Weighted Assets ("RWA") and capital usage, tightening the Minimum Requirements for Own Funds and Eligible Liabilities – Risk-Weighted Assets ("MREL-RWA") headroom against regulatory requirements, in order to support further growth.

We closed 2023 with total revenues of € 5,600 million based on IFRS and Profit before Tax ("PBT") of € 2,567 million, demonstrating a solid expense management in spite of material contribution to the Single Resolution Fund and significant provisions for salary tax and VAT in France for the financial years 2021 to 2023. Material net releases of Loan Loss Provisions ("LLP") in the amount of € 56 million were, on the contrary, a positive contributing factor to PBT. JPMSE's profitability metrics outperformed the targets set with a return on equity ("RoE") of 6.8 %, return on risk-weighted assets ("RoRWA") of 1.4 % and an efficiency ratio of 55.3 %.

1.2. OVERVIEW OF BUSINESS AND RISK STRATEGY

J.P. Morgan SE combines the main business areas of Corporate & Investment Bank ("CIB") (which includes Banking, Markets and Securities Services), Private Bank ("PB") and

Commerical Banking (“CB”) in a single, EU headquartered pan-European banking entity with a network of branches in the EEA and the United Kingdom. It thereby facilitates the provision of JPM Group’s global products and capabilities to EEA clients of the CIB and CB, as well as EMEA clients of the PB, and provides access to Euro liquidity and products for globally operating clients.

As part of a global firm, we aim to combine – thanks to our global product and technology leadership – product innovation and client service excellence with local presence and expertise. Our business activities are embedded in the Group’s global operating model. This guarantees a consistently high quality of control processes worldwide for ourselves and for our customers.

J.P. Morgan SE is a core part of JPM Group’s long-term strategic commitment in Europe which continues to:

- Deliver a cross-line of business (“LOB”) platform with significant scale and capability;
- Ensure adequate capital base to support business strategic growth and a fortress balance sheet;
- Strive for simplification and efficiencies; and
- Support and help clients with a well-diversified product offering, including the development and implementation of ESG promoting products.

We are convinced that we have implemented a business model which puts our clients in the center of our efforts and which ensures adequate profitability of J.P. Morgan SE, supporting future business growth through organic capital generation and strengthening our capital basis which is particularly important in times of headwinds arising from adverse market conditions.

The overall objective of our Supervisory Board and our Management Board is to take reasonable care to ensure an effective governance structure to manage and oversee the development of the Bank’s business activities in line with our Business Strategy and to maintain risk systems and controls across all three lines of defense that are appropriate to the business of J.P. Morgan SE and its branches.

Our model of three lines of defense intends the early identification of emerging new risks and their effective management thanks to comprehensive controls and strong governance and on-going management of the major and emerging risks in our business activities. These structures are set out in detailed policies and frameworks, in particular the J.P. Morgan SE Risk Strategy, also promoting a strong business conduct and risk culture.

The JPMSE Risk Strategy sets out the risk management objectives for each material risk arising from key business activities as well as other risks. The Risk Strategy also contains further details regarding the management of the various risk and associated policies and frameworks. For more details, we refer to section 6.2. Risk Governance Framework.

2. Governance

2.1. OUR MISSION STATEMENT

JPMorgan Chase’s mission is to be the best and most respected financial services company in the world, serve its clients and contribute to communities around the world.

To achieve this, J.P. Morgan SE strives to consistently deliver excellence as a part of JPMorgan Chase. Only as a healthy and dynamic company can we invest in long-term value and

Business Principles			
Exceptional client service	Operational excellence	A commitment to integrity, fairness and responsibility	A great team and winning culture
1. Focus on the customer	4. Set the highest standards of performance	11. Do not compromise our integrity	16. Hire, train and retain great, diverse employees
2. Be field and client driven and operate at the local level	5. Demand financial rigor and risk discipline; we will always maintain a fortress balance sheet	12. Face facts	17. Build teamwork, loyalty and morale
3. Build world-class franchises, investing for the long term, to serve our clients	6. Strive for the best internal governance and controls	13. Have fortitude	18. Maintain an open, entrepreneurial meritocracy for all
	7. Act and think like owners and partners	14. Foster an environment of respect, inclusiveness, humanity and humility	19. Communicate honestly, clearly and consistently
	8. Strive to build and maintain the best, most efficient systems and operations	15. Help strengthen the communities in which we live and work	20. Strive to be a good leader
	9. Be disciplined in everything we do		
	10. Execute with both skill and urgency		

be successful in both good and bad times. We want to conduct our business with foresight, be a reliable partner for our customers, and invest in our excellent and diverse workforce. Wherever we operate, we also want to be aware of our social responsibility.

Our Business Principles

Based on this mission statement, the Firm has established long-term business principles, which J.P. Morgan SE fully adopts. These principles form the foundation of our corporate culture as well as the way we operate.

Our Code of Conduct

Our Code of Conduct focuses on the personal responsibility of each of our employees to operate with integrity, transparency

and ethical conduct. It emphasizes on avoiding real or apparent conflicts of interest, protection of confidential information and creating a safe and non-violent workplace.

As a bank, we want to be open, honest and direct with our customers, employees, suppliers, shareholders and other stakeholders. The Code of Conduct, our Business Principles, and other internal policies and concepts are designed to promote a strong culture of risk as well as respect, so that all employees feel safe and can raise their concerns.

2.2. CORPORATE GOVERNANCE

Strong corporate governance is critical to protecting the interests of all our stakeholders. Senior Management at J.P. Morgan SE is focused on promoting accountability, transparency

and ethical behaviour – and we regularly evaluate and improve our corporate governance so that we can perform at best of our ability for all our stakeholders.

2.2.1. Supervisory Board

The J.P. Morgan SE Supervisory Board consists of twelve (non-executive) members, eight of which are shareholder representatives (two of the shareholder representatives are Independent members) and four of which are employee representatives. Five of the twelve Supervisory Board members are female.

The Supervisory Board appoints, supervises and advises the Management Board and is directly involved in decisions of fundamental importance to the Bank. It works together closely with the Management Board in a co-operative relationship of trust. The Supervisory Board decides on the appointment and dismissal of members of the Management Board including long-term succession planning for the Management Board taking into account recommendations of the Nomination Committee. Based on proposals of the Remuneration Control Committee, the Supervisory Board determines the total compensation of the individual members of the Management Board, resolves on the compensation system for the Management Board, and reviews it regularly.

The internal organization and duties of the Supervisory Board and its four sub-committees, all chaired by an Independent Supervisory Board member, as well as the tasks and profiles of the individual members, are subject to specific statutory and regulatory requirements that further specify and supplement the corporate-law regulations concerning corporate governance. Such requirements are founded on, amongst other things, the German Banking Act (Kreditwesengesetz), the Remuneration

Ordinance for Institutions (Institutsvergütungsverordnung), the Guidelines of the EBA, and the administrative practices of the ECB as our supervisory authority.

The Supervisory Board receives reports from the Management Board at the very least within the scope prescribed by law or administrative guidelines, in particular on all issues of relevance for the Bank concerning strategy, planning, business development, risk situation, risk management, staff development, reputation, and compliance. Furthermore, Internal Audit informs the Audit Committee regularly, and without undue delay in the case of severe deficiencies. The Chair of the Supervisory Board is informed accordingly of any serious findings against the members of the Management Board.

The Risk Committee of the Supervisory Board advises the Supervisory Board on the Bank's current and future risk appetite, risk strategy and risk culture framework, to ensure that they are in line with the Bank's business strategy, objectives, corporate culture and values. Moreover, the Risk Committee monitors the appropriateness and effectiveness of the risk and compliance management system, including policies, procedures and KPIs, and the development of the risk profile across the various risk stripes. In addition, the Risk Committee is closely kept up-to-date in the definition of the recovery scenarios and their analysis. The Risk Committee, in carrying out its responsibilities, deliberates on a regular basis on the adequacy of the risks incurred with JPMSE's current and future ability to manage these risks and the internal and regulatory own funds and liquidity reserves, taking into account the results of the stress tests related to the Bank's Internal Capital Adequacy Assessment Process ("ICAAP") and Internal Liquidity Adequacy Assessment Process ("ILAAP").

The Audit Committee of the Supervisory Board meets regularly, with the internal and external auditors participating to discuss both the design of their audit plans and the results. The Audit Committee focuses on monitoring the financial accounting process, evaluating the results of the statutory audit of accounts, ensuring the independence of the external auditor and monitoring services provided by the external auditor, monitoring the effectiveness of the internal control system across the three lines of defense as well as the implementation of regulatory-driven projects, such as DORA ("Digital Operational Resiliency Act").

The Remuneration Control Committee of the Supervisory Board meets with the primary objective to monitor the structure of the Bank's remuneration system for the Management Board and Material Risk Takers and to support the Supervisory Board with regard to the actual remuneration decision. The Remuneration Control Committee provides oversight of the alignment of remuneration processes with the Bank's policies, including the Remuneration Policy and the Malus & Clawback Policy.

The Nomination Committee advises the Supervisory Board on the structure, size, and composition of the Bank's Management Board. Suitability of the individual Management Board members as well as suitability of the Management Board as a whole is assessed by the Nomination Committee. The Nomination Committee also oversees succession planning for the Management Board and judges the suitability of potential new Management Board members.

The Committees co-ordinate their work and consult each other on matters of common interest. Additionally, the Chairs of the Committees regularly report on their work at Supervisory Board meetings.

2.2.2. Management Board

The J.P. Morgan SE Management Board, currently consisting of five executive members, is responsible for the management of the company in accordance with the law, the Articles of Association of J.P. Morgan SE, and the Rules of Procedure for the Management Board, with the objective of creating sustainable value in the interests of the Bank. It considers the interests of the Shareholder, employees, and clients. The members of the Management Board are collectively responsible for managing the Bank's business.

The Management Board decides on all matters prescribed by law and the Articles of Association and ensures compliance with the legal requirements and internal guidelines. It also takes the necessary measures to ensure that adequate internal guidelines are developed and implemented. The Management Board's responsibilities include, in particular, the Bank's strategic management and direction, the allocation of resources, financial accounting and reporting, control and risk management, as well as a properly functioning business organization. The Management Board decides on the appointments to the senior management level below the Management Board. In appointing people to management functions, the Management Board takes diversity into account and strives, in particular, to achieve an appropriate representation of women.

The Management Board works closely together with the Supervisory Board in a co-operative relationship of trust and reports to the Supervisory Board at a minimum within the scope prescribed by law or administrative guidelines, in particular on all issues with relevance for J.P. Morgan SE concerning strategy, the intended business policy, planning, business development, risk situation, risk management, staff development, reputation, and compliance.

Board Member ¹	Role	Since
Stefan Behr (m)	Chief Executive Officer (and responsible Board Member for Banking including Payments, Securities Services and Commercial Banking)	June 1, 2013
Matthieu Wiltz (m)	Markets	April 1, 2023
Pablo Garnica (m)	Private Bank	January 24, 2022
Burkhard Kübel-Sorger (m)	Chief Financial Officer	April 12, 2010
Nicholas Conron (m)	Chief Risk Officer	May 1, 2018
N.N. (f)	Outsourcing, Operations & Technology	

¹ Where (m/f) denotes the gender of the Board Member.

In 2023, the five segments – Banking, Markets, Securities Services, Commercial Banking and Private Bank – were managed by three members of the Management Board. The segments were controlled and supported by two additional members of the Management Board, namely the CFO and the CRO (who respectively shared responsibilities for Outsourcing, Operations and Technology since March 16, 2023).

In the spirit of strong governance, JPMSE's Management Board has mandated a number of committees to oversee the day-to-day activities. It has delegated the monitoring of operational business activities and the associated operational risks to the JPMSE Headquarter Location Operational Risk & Control Committee ("LORCC"). The LORCC, which is chaired by the Location Control Manager for Germany, acts across segments and consists of representatives from each of these segments, the various control functions and the corporate functions. In its monthly meetings, the LORCC oversees operational risk handling, control themes or issues originating within or impacting the Bank. This enables the LORCC to (i) identify operational risks and control aspects, trends or issues that require escalation in accordance with the applicable criteria, (ii) ensure the necessary monitoring of operational risks and control issues, including the recommended remedial action,

and (iii) trigger the necessary actions in order to address the identified operational risks accordingly. Furthermore, the LORCC has established four sub-fora to allow technical discussion with subsequent reporting to the LORCC. These are the JPMSE Technology Forum, JPMSE Outsourcing Forum, JPMSE Change Advisory Forum, and the Frankfurt Regulatory Change Monitoring Forum.

The Management Board has also mandated the Risk Oversight Committee, which is chaired by the CRO and which consists of experts of all significant types of risk, with the following tasks: It is responsible for setting J.P. Morgan SE's risk appetite, for monitoring the risk strategy, developing adequate methods and procedures for the assessment of the risk-bearing capacity, for analyzing individual risk events and for regularly informing the Management Board about the risk profile of J.P. Morgan SE.

The Management Board also oversees business activities and adherence with legal entity strategy, key policies and regulatory obligations of the 14 branches in line with our strategy through the Branch Oversight Committee, which is chaired by the CEO.

Management Board Sub-Committees

Assets and
Liabilities
Committee

Branch
Oversight
Committee

Data
Governance
Committee

ICAAP Steering
Committee

Location
Operational
Risk & Control
Committee

R&R Steering
Committee

Risk Oversight
Committee

Additionally, the Management Board has mandated the Assets & Liabilities Committee, which is chaired by the Bank's Treasurer, to monitor the liquidity and refinancing risk, the interest rate risk in the banking book of the Bank as well as the quarterly ILAAP results. The ICAAP Steering Committee is chaired by the CFO. It defines the ICAAP normative and economic perspective methodology as well as the stress scenarios for the quarterly ICAAP update and analyzes the quarterly results in preparation of the subsequent discussion by the Management Board.

The R&R Steering Committee, also chaired by the CFO, is responsible for the oversight of all Recovery & Resolution activities of J.P. Morgan SE and its branches, including the preparation and annual update of the Bank's recovery plan as well as execution of the multi-annual work program of the Single Resolution Board ("SRB"), working closely with the Firmwide Recovery & Resolution function with J.P. Morgan SE being classified as a "Material Legal Entity" for the JPM Group.

The Data Governance Committee was put in place in December 2023 and is chaired by the JPMSE Data Governance Lead to provide an update to the Management Board on BCBS 239

related matters. The JPMSE Data Governance Committee further acts to support the Bank's local adherence to the Firmwide Data Governance framework as well as data-related regulatory requirements. The Data Governance Committee reports quarterly to the Management Board.

Our corporate governance is embedded in the Firmwide structures and spans across all locations of JPMSE. The three lines of defense model enables us to oversee all business activities across all locations from where JPMSE operates.

2.2.3. Three Lines of Defense Model

The Three Lines of Defense Model is generally a regulatory requirement of European financial institutions. J.P. Morgan SE has recognized this model as an opportunity to operate the Bank effectively and to have a robust governance framework in place, able to minimize risks and to adequately react to changes in the macroeconomic situation. We will continue operating in the Three Lines of Defense Model and identifying opportunities enabling the Firm to respond to an increasing complexity and fast-moving risk landscape of the banking sector. The senior management respectively J.P. Morgan SE's management bodies (Management Board and Supervisory

Board) receive independent information from the functions allocated to the Three Lines of Defenses about the Firm's most relevant activities and risks.

The J.P. Morgan SE Management Board sets clear expectations on the tasks and duties of the Lines of Defense, while outlining distinct roles and responsibilities within the organization to the Lines of Business, Risk Management and Compliance organizations, Single Officer Function as well as Internal Audit. This model is aligned to the German Banking Act, detailed in the MaRisk, and the Securities Trading Act.

The First Line of Defense acts as business and process owners. At J.P. Morgan SE, this is predominantly represented by the different Business Segments. It also encompasses Treasury/Chief Investment Office ("TCIO") and Business Segment aligned Operations, Outsourcing, Technology, Data Governance and Control Management. Other Corporate Functions, such as Finance, Human Resources ("HR"), Legal and Enterprise Technology contribute to the control environment; being allocated across the Line of Defenses.

All Business Segments and functions have the prime responsibility to ensure adherence to applicable laws, rules, and regulations within the day-to-day operational activities. The First Line of Defense acts within the overarching governance measures formalized by our Risk Management/Compliance Framework and further internal control functions. These governance measures include, amongst others, defining policies, standards, frameworks, limit and thresholds setting as well as monitoring and testing activities.

The Second Line of Defense ensures effective risk management by supporting the identification of emerging risks in the

economic environment J.P. Morgan SE is performing business in. It provides additional expertise, process excellence and performs monitoring and testing activities. The Second Line of Defense activities are distinct from the First Line of Defense to have an independent risk management and senior management reporting. At J.P. Morgan SE, the Second Line of Defense is represented by the Independent Risk Management function which consists of our Risk Management and Compliance organizations as well as the Single Officer, including respective support functions.

For the development and maintenance of policies and standards introduced by the J.P. Morgan SE Risk Management function, the Compliance and Risk functions as well as the Single Officer operate with respect to their own processes.

Furthermore, the Second Line of Defense function monitors and tests First Line of Defense controls. Those activities include the independent assessment and challenge, as appropriate, of the First Line of Defense's implementation efforts and control performance regarding established governance measures and risk management requirements.

Neither the J.P. Morgan SE Risk Management and Compliance organizations nor the Single Officer can be a guarantor of JPMSE's operational performance. There are clear circumstances in which J.P. Morgan SE accepts that an important reliance is placed on the performance of individuals and groups within each of the Business Segments and functions to identify, manage, control, and escalate issues which would not be separately captured or validated by the Second Line of Defense. All areas of JPMSE, except Internal Audit (Third Line of Defense), are subject to the Risk Management Framework established by the Second Line of Defense.

Within the Three Lines of Defense Model, Internal Audit is the function with the highest level of independence and objectivity. It reports directly to the management bodies and provides an overview regarding effectiveness of governance, risk management and internal controls. This is achieved by performance of independent evaluation of processes and controls across the First and Second Line of Defense activities.

Internal Audit does not only aim to bring a systematic and disciplined approach to evaluate the activities of the First and Second Line of Defense, but also aims to improve the effectiveness of the organization's governance, risk management, and internal control processes.

2.3. LEGAL ENTITY OVERVIEW

J.P. Morgan SE is core to J.P. Morgan's long-term European legal entity strategy, offering a sustainable legal entity platform for CIB clients in the EEA and PB clients in EMEA. The Bank offers a scalable powerful platform across segments. It also acts as one of the two strategic intermediate EU parent undertakings or IPU within the Firm.

The Bank is a fully licensed credit institution (Einlagenkreditinstitut) under the direct supervision of the ECB. As part of the Single Supervisory Mechanism ("SSM"), the ECB cooperates with the national competent authorities – the BaFin, the German Central Bank (Deutsche Bundesbank) and the Financial Sector Supervisory Commission (Commission de Surveillance du Secteur Financier, "CSSF"). In 2020, JPMAG (now JPMSE) was classified as a significant institution by the ECB.

Governance and business responsibility reside with the members of the Management Board (Vorstand) which is controlled by a Supervisory Board (Aufsichtsrat). JPMSE is

audited by external auditors annually as well as by a fully-fledged internal audit function as defined in its audit plan, which is approved by the JPMSE Management Board on an annual basis.

JPMSE is subject to the German mandatory deposit guarantee scheme for deposit-taking credit institutions (Entschädigungseinrichtung deutscher Banken GmbH) and also participates in the voluntary Deposit Protection Fund of the Association of German Banks (Einlagensicherungsfonds des Bundesverbands deutscher Banken) (the "Einlagensicherungsfonds").

JPMSE benefits from being part of a strong global firm with product innovation as well as being a provider of both, a local office and global capabilities. It utilizes global product and technology supported by JPMSE leadership's constant effort to provide the highest-quality services, best people management and prime customer focus.

The operating model for JPMSE is based on the Firm's Business Principles as well as key design principles which are focused on ensuring that JPMSE has effective governance and control at legal entity level, while embedding operations within the global JPM Group service model.

The following exhibit below illustrates our Segments (LOB = Line of Business) and the underlying businesses (sub-LOB) structure:

JPMSE's Core Business Groups per Sub-LOB								
Corporate & Investment Bank	Banking	Investment & Corporate Bank	Debt Capital Markets (DCM)	Equity Capital Markets (ECM)	Mergers and Acquisitions (M&A)			
		Payments	Payments & Commerce Solutions	Liquidity & Account Solutions	Trade & Working Capital			
		Lending						
	Securities Services		Custody Services	Depositary Services				
		Securities Services		Trading Services				
			Fund Services					
	Markets	Equities	Cash Equities	Equity Derivatives Group	Prime Financial Services			
			Global Rates & Rates Exotics	Global Currencies & Emerging Markets	Global Commodities	Fixed Income Financing	Global Credit Trading & Syndicate	Global Securitized Products Group
		Fixed Income						
Commercial Banking	Commercial Banking	Commercial Banking						
Asset and Wealth Management	Wealth Management	Private Bank						

■ LOB ■ Sub-LOB

Corporate

The Corporate segment consists of Treasury/Chief Investment Office ("TCIO") and Other Corporate functions. TCIO is predominantly responsible for measuring, monitoring, reporting and managing the Firm's liquidity, funding, capital, structural interest rate and foreign exchange risks. The major Other Corporate functions include Technology, Legal, Corporate Finance, Human Resources, Internal Audit, Risk Management, Compliance, Control Management, Corporate Responsibility and various Other Corporate groups. The Corporate segment is not considered as a core business segment/operating segment.

3. Our Business Segments and Performance 2023 (IFRS)

The 2023 financial year was a very successful one for J.P. Morgan SE, with total revenues of € 5,600 million exceeding its Plan by 11 %. The development of Actuals in 2023 was generally driven by interest rates' development.

This was a strong year across all segments which either exceeded the Plan revenues or were marginally below by less than 4%. The sound financial result was mainly driven by outperformance

in Payments (within Banking) and Commercial Banking due to higher than initially forecasted interest rate hikes that occurred during the year combined with Markets having an exceptionally strong H1 2023 where each sub-LOB was able to capitalize on interest rates movements and also capture a significant part of client activity. Despite experiencing a challenging H2 2023 due to less volatile markets and decreasing market volumes, Markets continued to be among the Top 3, and in some cases being Number 1, in the EEA markets. Banking experienced a shortfall due to lower revenues in Investment & Corporate Banking while revenues in Securities Services and Private Bank were slightly below Plan.

Total Expenses were materially in-line with the Plan 2023. Expected Credit Losses were significantly lower than Plan which was mainly driven by releases of loan loss provisions in the Private Bank and Lending following build-ups in 2022 as a result of the war in Ukraine.

Therefore, the positive business development in 2023 is ultimately reflected in a strong pre-tax profit of € 2,567 million, being 33 % or € 640 million above Plan, demonstrating a solid expense management in spite of unplanned provisions for salary tax and VAT in France.

3.1. OVERVIEW OF INFLUENCING FACTORS IMPACTING BUSINESS ACTIVITIES IN 2023

2023 has been a year of economic uncertainty, inflation challenges and policy adjustments. Economies in Europe and North America have endured a sustained period of inflation and cost of living issues which have not been seen for a generation. Uncertainty was also fuelled by bank collapses in the US and in Europe and increase in ongoing geopolitical tensions in Russia and the Middle East.

Last winter, Europe did well to avoid an energy-related recession with signs for a bounce in spring. However, the Euro-zone economy weakened towards the second half of the year, posing the question whether the region was headed into a recession. Although the impact of inflation eased towards the end, it remained above the central banks' targets at the end of the year, with central banks maintaining peak interest rates.

As we move into 2024, fears of a slide into recession are continuing. For an economy such as Germany's, with a relatively modest growth potential of around 1 %, the list of headwinds could wipe out any growth. At the same time, the shocks since 2019 continue to have economic repercussions, with some of them being positive.

3.2. BANKING

Corporations, governments and institutions throughout Europe entrust us with their business. Our Investment & Corporate Banking business provides strategic advice, capital raising and risk management expertise. Payments offers a full suite of treasury, trade and global payment solutions, while Lending supports the activities of our clients by granting loan commitments.

3.2.1. Investment & Corporate Banking

J.P. Morgan SE's Investment & Corporate Banking business is one of the leading wholesale banking client franchises in the EEA. This includes the activities of Debt Capital Markets ("DCM"), Equity Capital Markets ("ECM") and Mergers & Acquisitions ("M&A").

We serve clients, including corporations, governments, banks and financial institutions, private equity companies and family/start-up companies. Our clients operate in the EEA and beyond.

With the strength of our franchise, we offer a complete range of strategic banking services to help clients achieve their goals. Our approach to serving clients has always centered on doing first-class business in a first-class way. We strive to build trusted, long-term relationships by taking a holistic and forward-looking view on our relationships, and identifying ways to help clients achieve their most important business objectives.

2023 has been another challenging year across DCM, ECM and M&A as a result of continued macroeconomic and geopolitical uncertainty which led to a significant contraction of the total Investment Bank market wallet. Nevertheless, we continued to maintain the #1 rank in EEA Investment Banking with a wallet share of 7.2 % for FY 2023 (Dealogic) in a very competitive market environment.

Equity and debt capital market activity remained largely at 2022 levels driven by the high interest rates environment which weighed on clients' financing and borrowing costs. Year-on-year, J.P. Morgan SE observed overall stagnant fee income growth for capital markets with moderate growth in DCM.

Announced volumes for Mergers & Acquisitions were subdued in 2022–2023 leading to a decrease in fee income year-on-year for the M&A division.

Throughout these challenging times, we have supported our clients as part of our continued partnership with them. Through our branch network across Europe, the Investment & Corporate Bank has presence in all major EU markets, enabling us to meeting strategic needs in local markets.

Subject to ongoing macroeconomic and political developments, we expect to see the total Investment Banking market

to return closer to a normalized, pre-pandemic, pre-crisis wallet over the next two to three years. Our expectations are based on strong corporate balance sheets, an anticipated increase in sponsor activities (M&A) as well as signs of recovery of capital markets supported by a strong deal pipeline and refinancing needs of debt maturities in 2024 and beyond.

Climate change is one of the most pressing challenges of our age. Considering Europe's renewable energy strategy, a huge opportunity exists in committing capital and expertise to help clients transition to the low-carbon economy. Going forward, we plan to deepen coverage of clients engaged in the green economy and low-carbon transition, develop new products and allocate capital to finance ESG objectives, and build on the success of our two centers of excellence, the Center for Carbon Transition and ESG Solutions, a specialist team of investment bankers providing ESG-related advice and transaction support. For further details on the Firm's 2030 portfolio level emissions intensity reduction targets, refer to our Separate Non-Financial Report.

3.2.2. Payments

Payments in J.P. Morgan SE is comprised of Payments & Commerce Solutions (excluding Merchant Services and Commercial Cards), Liquidity & Account Solutions, and Trade & Working Capital to offer integrated, comprehensive payment, liquidity and financing solutions to clients across industry segments and markets, and a suite of working-capital and risk management solutions.

J.P. Morgan SE Payments services Financial Institutions (including Central Banks), Public Sectors, Non-Bank Financial Institutions (incl. FinTech companies), Corporates and other JPM Group entities.

We have 6 booking locations with Frankfurt, Amsterdam, Dublin and Luxembourg representing major Payments booking centers while Brussels and Paris have become smaller booking locations after the migration of JPMorgan Chase Bank, N.A., Brussels branch and JPMorgan Chase Bank, N.A., Paris branch into J.P. Morgan SE branches in 2022 and 2023 respectively.

J.P. Morgan SE continues to bear the global responsibility for Group-wide “high value” payment transactions in Euro. The Bank is a member of all relevant Euro-clearing systems, for high-value and for low-value, and is one of the leading banks in the area of clearing in TARGET2 (“T2”) and EURO1. In 2023, we have seen a considerable growth in Euro-clearing business. In October 2023, the Bank’s Euro-clearing SWIFT market share was 4.1 % globally, with an increase of 0.3 % compared to October 2022.

With respect to Euro-Clearing, as of October 2023 J.P. Morgan SE’s volume market share amounted to 5.3 % of the total volume of all direct participants in T2, up from 5.0 % in October 2022 and with a simultaneous growth of 3.7 % year-on-year in the monthly average volumes.

When considering the total market for Euro-clearing volume through EURO1 and T2 combined, volume share accounted for 6.1 % in October 2023, increasing by 0.3 % compared to October 2022. Being the Firm’s Euro-clearing hub in both T2 and EURO1 by value and volume, J.P. Morgan SE is one of the leading banks in this area and is looking to further focus on growth.

Digital transformation remains one of the key business drivers in Payments. In today’s payments landscape, regulators are creating new legislation to accelerate the modernization of

payments, providing a level playing field to facilitate the entry of new players, and continuing to focus on delivering financial innovation through data. As the European Commission works towards its digital decade targets, interoperable digital payment ecosystems are being developed, and JPMorgan Chase will be interacting with providers across the industry and other industries to deliver enhanced payments solutions. As part of this process, the industry anticipates on-going change with the implementation of new payment instruments, faster and more transparent payments, increased user control of personal data, and new challenges such as more sophisticated types of fraud. Ultimately most of these changes will benefit the end consumer, as they are empowered to make better payment choices and have access to more innovative financial solutions.

3.2.3. Lending

In 2023, J.P. Morgan SE continued to support its clients in the EEA, including private and public corporates, financial institutions and private equity companies, by granting further loan commitments. The product range includes bilateral, syndicated and bridge loans, club deals, asset-based lending as well as agent and trustee services.

JPMSE, together with the loan commitments made in the European branches of JPMorgan Chase Bank, N.A., increased its market share to 12.1 %, according to Dealogic, and was even able to expand its leading position in the EEA in 2023. Our extra efforts resulted in the overall Wholesale Lending portfolio across the CIB and CB to increase by 25 % between 2022 and 2023.

The size of our loan portfolio in J.P. Morgan SE is expected to remain relatively stable in the coming years based on the current JPM Group booking model.

3.3. COMMERCIAL BANKING

Commercial Banking provides comprehensive financial solutions, including lending, payments and investment banking products across two primary coverage teams within J.P. Morgan SE:

- Corporate Client Banking & Specialized Industries (“CCBSI”) International manages relationships with EEA headquartered corporates. The team primarily provides traditional corporate banking products as well as investment banking products to its clients, including DCM, ECM, M&A and Corporate Derivatives.
- Commercial Banking International (“CBI”) manages relationships with EEA-domiciled subsidiaries of foreign multinational clients and primarily provides clients with Payments, FX, loan and trade solutions. Subsidiaries are predominantly within the US CCBSI, Middle Market and Specialized Industries (“MMBSI”), and Commercial Real Estate Banking (“REB”) business segments of the CB.

Commercial Banking leverages the product and service offerings of other businesses in Payments, DCM, ECM, M&A and Corporate Derivatives to meet customer needs. Commercial Banking significantly relies upon the service, operations and technology departments within the CIB. Commercial Banking also has a Credit Market team of debt solutions specialists focused on helping clients with their financing needs.

With further investments planned in client relationship managers and product specialists, we expect Commercial Banking to remain one of the most dynamic growing segments within JPMSE.

3.4. SECURITIES SERVICES

J.P. Morgan SE offers the full range of services through branches in Amsterdam, Brussels, Copenhagen, Dublin, Hel-

sinki, Luxembourg, Oslo, Stockholm and the Headquarters in Frankfurt. Our range of products covers custody and depositary services, fund services consisting of fund accounting, transfer agency and alternative fund services, trading services consisting of securities financing, collateral management services, and cash, FX and liquidity services, and data solutions. Our clients include Traditional & Alternative Investment Managers (including Hedge Funds), Asset Owners (Pension Funds, Insurance Companies and Corporates) and Banks & Broker Dealers.

As a global custodian, J.P. Morgan SE also uses the services within JPMorgan Chase. With a total of 100 sub-custodian locations, we have one of the largest networks in the world. 13 of these sub-custodians are managed directly by JPMorgan Chase.

In 2023, we provided safekeeping for a total volume of € 2.6 trillion for our institutional clients. Within key EEA locations, we are the 2nd largest custodian in Luxembourg, 4th largest in Ireland and 6th largest in Germany. We are also the 2nd largest administrator in Luxembourg.

As in previous years, we have given high priority to the implementation of product- and process-related adjustments as part of our custody and depositary business. We continue to offer our business in the usual high-quality way, taking into account the increased customer expectations.

The Securities Services industry continues to transform the way business is conducted. Trends that commenced a few years back continue to gain momentum and impact the industry. This includes the heightened focus on ESG data obligations, the expansion of digital assets, the trend towards private capital and the increasing need for access to transparent, real-time data. Through all these changes, we will continue to support our customers as a competent and innovative partner.

3.5. MARKETS

J.P. Morgan SE is JPM Group's primary entity for clients from the EEA in the Markets segment and some other third countries, and in particular holds membership to all trading venues in the EEA in line with the Firm's strategy. The Bank's client base consists of institutional clients including banks, asset managers, pension funds, insurance companies, hedge funds, private equity firms, special purpose vehicles, public sector entities and classic and unlisted corporates.

J.P. Morgan SE employs trading staff in Paris, Frankfurt, Madrid, Milan and Dublin and sales staff in Paris, Frankfurt, Madrid, Milan, Brussels, Helsinki and Stockholm.

An overview of the business areas in the "Markets" segment is provided below:

Fixed Income:	Equities:
Global Rates & Rates Exotics	Cash Equities
Global Currencies & Emerging Markets	Equity Derivatives
Commodities	Prime Finance
Fixed Income Financing	Futures and Derivatives Clearing
Global Credit Trading & Syndicate	
Securitized Products Group	

The strategic direction of our Markets segment remains unchanged and aims at the continuous gain in market share as a full-service provider in Markets products and services, through consistent, reliable and high-quality service, both in terms of client interactions as well as execution services and capabilities. Competition varies in scope and intensity within the different business segments.

In the last three years, JPM Group and J.P. Morgan SE have maintained a leading position with clients in the EEA or European Union and currently hold top 3 positions in our main business areas of Fixed Income and Equities according to external league tables¹.

Given the continued investment in people, products and services, as well as our brand, we strive to maintain these leadership positions to deepen our client base across all asset classes, and to look to keep ahead via innovation and client focus, responding to their demands especially when it comes to further automation of processes and digitalization.

The results of the Markets segment are characterized in particular by the financial and geopolitical events. For example, strong interest rate movements in H1 2023 led to significantly higher client activity and thus indirectly to a particularly strong half-yearly result in 2023. The second half of the year has tended to be more challenging due to less volatile markets and decreasing market volumes.

The high dependency of our earnings potential on financial and geopolitical events reinforces our strategic orientation to consistently pursue our competitive position as a target. In 2023, the Markets segment saw a gain in market share in the majority of the sub-segments and thus successfully concluded the year.

3.6. PRIVATE BANK

The Private Bank ("PB") in J.P. Morgan SE has a strategic focus to provide services to Ultra-High Net Worth ("UHNW") clients across EMEA and offers expertise across wealth management disciplines to help advance toward their goals to grow, manage and sustain their wealth. PB has defined a clear multi-year growth plan focusing on client acquisition

¹ Coalition Proprietary Analytics

and client deepening (increase in the existing clients' share of wallet).

J.P. Morgan SE's PB aims to provide holistic advice on wealth management: assets, liabilities, income and liquidity to clients and consistent delivery of investment, credit, and banking solutions to fulfil client needs. The Line of Business is focused on providing exceptional client experience, increasing efficiency and scalability by simplifying our business.

PB serves clients in the existing core onshore markets Benelux (Belgium, Netherlands, Luxembourg), France, Germany, Greece, Italy, Spain, United Kingdom, Nordics (Denmark, Finland, Norway, and Sweden) and offshore markets Ireland (covered out of Luxembourg), MENA (Middle East, North Africa, and Turkey) and Emerging Markets (Eastern Europe and Israel). To achieve the growth targets, we are focused on organic growth and continue to invest in talent and technology by increasing the advisor population, leveraging the branches of J.P. Morgan SE and improving advisor experience via digital tools, upgraded systems and simplified processes.

2023 had been a difficult year for the Private Banking industry in Europe, being a continuation of 2022 where Europe's UHNW population had fallen by 5.4% (compared to a 6.9% drop in 2022). Conflicts in Europe, rising commodity prices, monetary policy tightening and subsequently heightened market volatility were the key factors for the difficult market environment. However, the Private Bank in J.P. Morgan SE has done very well in 2023 in spite of these circumstances with higher flows and more clients.

In 2023, the PB business grew to \$ 152 billion in client balances up 23% YoY driven by new client acquisition and

increase in existing clients share of wallet combined with the business transfer from the JPMorgan Chase Bank, N.A., Paris branch entity in October 2023 (+ \$ 8 billion). Over the year, the Private Bank gathered a total of + \$ 7.5 billion in clients assets flows meeting our 2023 budget, mainly driven by investment securities, custody and liquidity funds. Talent acquisition and development, and investment in technology continue to be key priorities.

4. Earnings, Financial and Asset Position

J.P. Morgan SE's internal control and regulatory reporting is based on IFRS. For this reason, after the presentation of the earnings, financial and asset situation according to IFRS, a reconciliation for the profit after tax from IFRS to HGB will be provided and a subsequent presentation of the earnings, financial and asset situation is presented according to HGB as well.

4.1. IFRS

4.1.1. Earnings

In the financial year 2023, the net fee and commission income was € 2,664 million, 2% up compared to the previous year. The net interest income shows a positive trend which is driven by several interest rate hikes by central banks in 2023 and is reported at € 1,440 million, which is € 905 million higher than previous year. This higher interest rate environment is the main factor and drove the increase in net interest income, notably in the Corporate segment.

The net income from financial assets and liabilities measured at fair value in the amount of € 1,509 million was lower in 2023 compared to € 1,665 million in the prior year. This is mainly driven by the trading and market making activities.

In the financial year 2023, the loan loss provisions with a net release of € 56 million (in 2022 a net charge of € 67 million) contributed notably to the profit before tax performance. This net release was primarily driven by a release of provision on fully repaid facilities, and in line with our expectation that the ECL charged and reserved hereto in 2022 would not lead to economic losses in 2023.

The total administrative expenses and depreciations remained stable and have only risen slightly by 3 % in 2023.

Profit before tax for the year increased significantly from € 1,743 million to € 2,567 million. The planned profit before tax for the financial year 2023 was overachieved by 33 %. The annual result in the financial year 2023 amounts to a profit after taxes of € 1,684 million.

This IFRS result leads to a Return on Equity of 6.8 % compared to 5.2 % in the prior year.

4.1.2. Financial Position

4.1.2.1. Principles and Objectives

The total balance sheet as of December 31, 2023, decreased by 3 % compared to the balance sheet as of December 31, 2022. One of the drivers of the relatively small decline in total balance sheet size was a decrease of the trading assets and trading liabilities while other balance sheet positions were equally contributing, being offset by others without a structural change of the overall balance sheet composition.

J.P. Morgan SE was always provided with sufficient liquidity in 2023. The liquidity coverage ratio of 149 % as of December 31, 2023 is significantly above the mandatory minimum rate of 100 %.

4.1.2.2. Capital Structure

The regulatory capital of J.P. Morgan SE remained strong in 2023 and clearly above regulatory minimum requirements.

Regulatory capital increased by the profit from prior year which was transferred to reserves and through the capital injection by € 2.5 billion carried out on May 22, 2023, in consideration for the issue of Subordinated Tier 2 Floating Rate Notes based on a issuance and purchase agreement between J.P. Morgan SE (Issuer) and J.P. Morgan International Finance Limited (Purchaser). The Subordinated Tier 2 Floating Rate Notes in the amount of € 2.5 billion have a maturity date of May 23, 2033, and a reference interest rate based on the Compounded Euro STR Average Rate plus the margin of 1.74 percent per annum with a minimum interest rate of 0.00 % and a monthly interest payment.

The transfer of JPMCB Paris to J.P. Morgan SE Paris in October 2023 was performed through a contribution in kind. JPMCB contributed all of the assets and liabilities relating to the French activity carried out via JPMCB Paris and legally transferred to JPMSE Paris in exchange for new shares issued by JPMSE. Impact to the Bank's capital adequacy at the time of migration, decrease of the Tier 1 Ratio by 0.2 % and Total Capital Ratio by 0.3 %.

As of December 31, 2023, J.P. Morgan SE had a Tier 1 capital ratio of 19.96 %² (19.73 % in prior year) and a total capital ratio of 34.41 %² (33.80 % in prior year) according to the CRR³ regulation. With these capital holdings and in the view of the Management Board, J.P. Morgan SE is in a solid position to provide the required capital underpinning for the existing business as well as further planned business activities. J.P. Morgan SE's regulatory capital of € 41,651² million was

² includes recognition of 2023 profit

³ CRR = Capital Requirements Regulation = Regulation (EU) No. 575/2013 of the European Parliament and of the Council of June 26, 2013

made up of the following components as of the reporting date of December 31, 2023:

- Core capital (Tier 1): € 24.164² million in share capital and reserves; and
- Tier 2 capital: € 17,486 million from subordinated loans and issued Tier 2 notes.

4.1.2.3. Off-Balance Sheet Business

The irrevocable loan commitments totaling € 16.4 billion are related to business activities in the Banking segment – Lending. In addition, in the Banking segments – Payments, J.P. Morgan SE has largely continued to directly collateralize its own credit risks in the form of contingent liabilities within the rest of the JPM Group.

Besides the aforementioned, the residual unused lending-related commitments totaling € 20.4 billion constitute mainly of financial guarantees, whereas J.P. Morgan SE is acting as an agency lender by guaranteeing the lender of the securities in an ASL (Agency Security Lending) arrangement against the failure of the borrower to return the lent securities, and of standby letters of credit issued to third-party clients.

Other unused commitments include J.P. Morgan SE's commitments for notes, warrants and certificates issued by J.P. Morgan Structured Products B.V. (JPMSPBV) of € 4.3 billion (December 31, 2022: € 4.6 billion) that are not held by third parties (please refer to note 39.) and residual guarantees/commitments of € 0.3 billion (December 31, 2022: € 0.4 billion).

Furthermore, J.P. Morgan SE is a member of several securities and derivative exchanges and clearing houses through which it provides clearing services. Membership in these CCPs requires the bank to pay a pro-rata share of the losses incurred by the

organization as a result of the default of another member. For some CCPs, the bank can only estimate maximum possible exposure under these membership agreements (based on the CCPs' rulebooks), which are as well reported in "Other unused commitments" as an off-balance sheet item. As at December 31, 2023, the commitment amounted to € 2.4 billion (December 31, 2022: € 1.8 billion). These unfunded capped default fund commitments, which represent the maximum potential loss, relate to a commitment to provide funds to clearing houses and central counterparties (CCPs) in the event of default by a member of those counterparties. When a member defaults, the loss incurred by the counterparties is allocated on a pro-rata basis among the other non-defaulting members, where the amount of loss is allocated based on the volume of activity between the non-defaulting member and the defaulting member.

4.1.3. Asset Situation

Loans and advances to customers increased by € 1,056 million to € 20,802 million which was mainly driven by an increase in lending activities in the Banking segment. Claims on banks, including deposits with central banks, decreased by € 8,047 million, primarily due to lower central bank placings, to € 77,057 million (thereof deposits with central banks: € 63,666 million). Securities purchased under agreements to resell or borrowed increased by € 5,887 million to € 72,130 million mainly in the Corporate segment – Treasury, partially offset by the Markets segment. Trading assets decreased by € 9,132 million to € 210,237 million in the Markets segment mainly due to volatility in the balance sheet position.

Deposits from customers increased by € 2,843 million to € 97,623 million, especially in the segment Banking, for multiple reasons, such as the more favourable interest rate environment, excellence in client service and new client acquisition as well as the flight for quality in times of uncertainty. Deposits

² includes recognition of 2023 profit

from banks decreased by € 452 million, mainly due to lower deposits in the Corporate segment – Treasury, to € 42,645 million on the balance sheet date. Trading liabilities decreased by € 12,249 million to € 182,292 million in the Markets segment. The position of subordinated liabilities increased by € 2,386 million driven by the new subordinated Tier 2 Floating Rate Notes in the amount of € 2.5 billion.

4.1.4. Reconciliation of Profit after Taxes from IFRS to HGB

€M	2023	2022
Profit for the year (IFRS)	1,684	1,238
Amortization of intangible assets	-27	-41
Valuation adjustments according to § 340e para. 3 and 4 HGB	-211	-181
Loan loss provision	28	-48
Change in fair value of the plan assets	20	-85
Day 1 P&L and other valuation differences related to assets valued at FVPL under IFRS vs. AC under HGB	20	63
ESG FVPL	-5	11
Taxes	5	-76
Others	5	4
Profit of the year (HGB)	1,518	884

Profit after tax as of December 31, 2023, based on HGB is at € 1,518 million compared to € 1,684 million under IFRS (€ 166 million lower). In addition to valuation changes, the two accounting frameworks have differences in terms of presentation.

Amortization of intangible assets which are related to goodwill, have a different treatment between IFRS and HGB. Goodwill, which has resulted from replacement cost related to Brexit-headcount transfers, has been amortized under HGB,

whereas for IFRS it was directly debited to equity. These amortization amounted to € 27 million in 2023.

Net impact of the trading portfolio related to valuation adjustments amounted to € 211 million, of which the trading-related special reserve was charged at year-end with € 210 million and offset by the VaR risk discount of € 1 million. Trading-related special reserve, as stipulated in § 340e para. 4 of HGB, requires the Bank to add at least 10% of the net trading income to a trading related-special reserve, if that special reserve does not meet at least 50% of the average net trading income of the last 5 years (only considering years with a net trading income, not years with net trading losses, before consideration of the special reserve, respectively). Additionally, as per § 340e para. 3 HGB, the Bank has to account and value financial instruments in the trading book at their fair value, considering a valuation adjustment based on value at risk of the trading book. The valuation adjustment aims at covering with a certain probability, the potential risk that unrealized gains considered as of the balance sheet date won't be realizable in the future.

The loan loss provision under HGB has a broader scope than IFRS, meaning that held for sale loans and fair value loans are subject to ECL calculation. The loan loss provision as a result of the difference in scope amounted to € 28 million in 2023.

Change in fair value of plan assets resulted in € 20 million difference between the two GAAPs. This is attributed to the valuation parameters for pension liabilities and market price movements of assets valued through profit and loss for HGB versus other comprehensive income for IFRS.

Other valuation differences between HGB and IFRS which impact net trading profit and net interest income are related to the mark down valuation difference and Day 1 P&L for assets

classified as level 3 on the fair value hierarchy. The mark down valuation difference consists in reversing the write-down for loans (in IFRS held to collect and sell) for HGB. Additionally, as previously stated, these loans are subject to ECL recognition, which is not the case for IFRS. Day 1 P&L is another valuation difference which is being performed under IFRS, however not applied under HGB. Day 1 P&L represents the gains or losses that are recognized (at the time of initial recognition) as the difference between a transaction price (in relation to an asset or a liability) and the item's fair value (please refer to note 30. for further details on fair value measurement and hierarchy). In HGB, fair value measurement is applied in accordance with § 255 Para. 4 HGB (please also see HGB note 2.2.). The net amount resulting from this different approach between the two GAAPs totalled € 20 million, respectively: mark-down of loans (held to collect and sell) is € 7 million and Day 1 P&L is € 27 million.

Net trading profit is impacted by another delta which is related to ESG loans treatment under IFRS at the amount of € 5 million. Given that the ESG loans held at amortized cost have failed the assessment under which contractual cash flows are solely payments of principal and interest ("SPPI" test), they were considered to be accounted for as fair value through profit and loss. As these loans have an interest rate which is linked to ESG-features related to the borrower, these features do not represent an embedded derivative which would need to be separated under HGB. Thus, under HGB these loans are measured in their entirety at amortized cost therefore leading to a delta between the two GAAPs.

Taxes are treated differently under IFRS and HGB leading to a delta presented in the walk from one GAAP to the other. Under HGB, deferred taxes are reversed given the optionality (per § 274, Para. 1 sentence 2, HGB) that exists to do

that. Additionally, current taxes are treated differently under IFRS. The overall delta attributed to taxes for year-end 2023 is € 5 million.

"Others" includes all the valuation differences which are not material when compared to the above-mentioned deltas.

4.1.5. Reconciliation of Total Assets from IFRS to HGB

€M	2023	2022
Total Assets (IFRS)	421,006	435,829
Derivatives & Cash Collateral	-138,630	-147,028
Notional Pooling	15,874	7,749
Reverse Repurchase Agreements	53,792	107,402
Central Counterparties Balances related to OTC derivatives	-31,730	-40,180
Others	140	752
Total Asset (HGB)	320,452	364,524

Total assets as of December 31, 2023 based on HGB are at € 320.5 billion compared to € 421.0 billion under IFRS and therefore € 100.5 billion lower. In addition to valuation changes, the two accounting standards differ with one another in terms of presentation.

With regards to assets, under HGB the reverse repo transactions (except reverse repo positions in the banking book) amounting to € 90.3 billion are reclassified from loans and advances to banks and customers into trading assets. Derivatives and cash collateral have different treatment between the two GAAPs, and this delta at the amount of € 138.6 billion has been presented in the table above. This difference shows the net between what is applicable under IFRS to be grossed-up or offset (in compliance to IAS 32) and what is applicable under HGB to be offset or grossed up (in compliance to local German

regulation). Difference in rules and treatments of derivatives offsetting and cash collaterals are the main drivers of this difference between the two GAAPs.

Notional Pooling accounts for a further difference of € 15.9 billion due to different netting requirements being applied for IFRS, nonetheless due to stricter netting criteria under HGB, this netting is not applicable for HGB purposes and client deposits are grossed-up.

Reverse repurchase agreements account for a difference of € 53.8 billion between the two GAAPs which pertains to the presentation of these instruments. Netting of the positions is not allowed under HGB. Therefore, a reversal is applied compared to IFRS.

Moreover, the recognition of CCP clearing OTC derivatives leads to a gross-up of the balance sheet in accordance to IFRS, amounting to € 31.7 billion which under HGB is not applicable.

The "Others" category encompasses multiple differences with the main contributor being: client money (trust assets) which is being derecognized from the balance sheet for IFRS purposes, whereas for HGB the balances are shown under trust assets/trust liabilities at the amount of € 3.6 billion. Additionally, failed receivables and payables netting of € 0.6 billion which are allowable under IFRS under specific conditions, are not allowed under HGB. Further, the gross-up of CCP clearing of exchange traded derivatives is allowable under IFRS whereas under HGB there is no such applicability and accounts for € 4.8 billion. Deferred taxes were not capitalized in the HGB financial statements, given that there is the optionality according to § 274 Para. 1 sentence 2 HGB to not capitalize.

4.2. HGB

4.2.1. Earnings

As at December 2023, the net fee and commission income amounting to € 2,141 million remained stable and has only declined slightly by 0.3% compared to the previous year. The net interest income shows a positive trend which is driven by the several interest rate hikes in 2023 and is reported at € 830 million, which is € 173 million higher than previous year. The higher interest rate environment is driving this development in net interest income.

The net income from trading portfolio in the amount of € 1,893 million in 2023 was € 525 million above the prior year. This notable development is on the one hand driven by client trading and market making activities. On the other hand, this impact was overcompensated by the increased income earned on Reverse Repos in Markets, which are to be reported in net income from trading portfolio under HGB and presented in net interest income under IFRS (for further details hereto and also on the differences between the two GAAPs, please refer to the sections 4.1.1, 4.1.4 and 4.1.5 of this Management Report).

In financial year 2023, the loan loss provisions with a net release of € 83 million (in 2022 a net charge of € 115 million) contributed notably to the profit before tax performance.

The total administrative expenses and depreciations declined slightly by 2 % in 2023, which was mainly due to higher one-off merger-related business costs in the prior year which did not continue to occur in 2023 and by a decline in pension-related contribution costs due to a positive development of the market value of pension assets throughout the year compared to a negative impact of the market value of pension assets in the prior year.

Profit before tax for the year increased significantly from € 1,466 million to € 2,398 million. The annual result in the financial year 2023 amounts to a profit after taxes of € 1,518 million.

4.2.2. Financial Position

4.2.2.1. Principles and Objectives

The basic statements about the composition of the balance sheet do not differ significantly from the statements made in the relevant IFRS section. The balance sheet as of December 31, 2023, decreased considerably compared to the balance sheet as of December 31, 2022, from € 364.5 billion to € 320.5 billion. The main drivers were the decrease affected by the positions in the trading portfolio primarily in debt and equity derivatives and the decline in receivables/liabilities to credit institutions caused by lower excess Euro liquidity placements (in the Corporate segment – Treasury). In addition, collateral pledged margins (in Markets) decreased as well.

4.2.2.2. Capital Structure

The information on the capital structure according to the German Commercial Code (HGB) does not differ from the information provided in the corresponding IFRS section.

4.2.2.3. Off-Balance Sheet Business

The information on off-balance sheet transactions does not differ between IFRS and HGB.

4.2.3. Asset Situation

Receivables from customers increased by € 10,989 million to € 47,156 million primarily driven by the loans receivables positions (mainly in the segments Banking and by Commercial Banking). Receivables from banks, including the deposits with central banks, decreased by € 3,580 million to € 122,038 mil-

lion (thereof cash reserve with central banks: € 1,769 million and receivables with central banks: € 61,897 million, mainly due to lower need of liquidity in the operating business segments and lower deposits deployed by Corporate segment – Treasury. Liabilities to customers increased by € 17,157 million to € 120,313 million primarily attributed to increased higher deposits from Banking segment – Payments and from Commercial Banking. Liabilities to banks decreased by € 15,542 million to € 37,366 million mainly due to lower intercompany deposits and lower treasury activities on the balance sheet date. Other reasons for the reduction of the balance sheet are mainly related to the decrease in the trading portfolio of approx. € 43,279 million on the asset-side and € 48,882 million on the liability-side of the balance sheet mainly as a result of the market uncertainty and market volatility throughout the year.

Total assets of J.P. Morgan SE has decreased by around 12 % compared to the prior year and stood at € 320,452 million as of December 31, 2023.

4.2.3.1. Overall Statement on Earnings, Financial and Assets Position

In summary, the earnings, financial and asset position can be assessed as positive and strong. The expectations from the beginning of 2023 for the development of the profit of the year have been clearly overachieved thanks to the strong performance across most segments with the exception of Investment Banking due to continued market uncertainty in light of growing geopolitical tension. The capital measures taken in 2023 and in 2022 had the expected effect on the capital ratios over the course of the year. As predicted, the requirements for the liquidity coverage ratio remained clearly over the threshold during the financial year.

4.3. FINANCIAL AND NON-FINANCIAL PERFORMANCE INDICATORS

4.3.1. FINANCIAL PERFORMANCE INDICATORS

Financial performance indicators according to IFRS, which are used for the internal management of J.P. Morgan SE, include in particular absolute KPIs such as net interest income, fee and commission income and the profit of the year. In addition, return on equity, cost-income ratio, return on RWA and profit margin before taxes are used to assess the performance. The KPIs are derived directly from the information contained in the balance sheet and the income statement of the IFRS individual financial statements and are as follows for the current and previous year.

€M	2023	2022
Total operating income	5,617	4,817
Net interest income	1,440	535
Net fee and commission income	2,664	2,616
Loan loss provision	-56	67
Total administrative expenses, depreciation and amortization	3,106	3,007
Profit before tax	2,567	1,743
Profit for the year	1,684	1,238
Equity	25,390	23,700
Return on Equity (RoE) (Profit of the year/Equity)	6.83 %	5.22 %
Return on Investment (Profit of the year/Total Balance Sheet)	0.40 %	0.28 %
Return on Risk Weighted Assets (RoRWA) (Profit of the year/Total Risk Weighted Assets)	1.42 %	1.15 %
Cost-Income-Ratio before loan loss provision (Sum of administrative expenses and depreciation and amortization/Total operating income)	55.29 %	62.42 %
Pre-tax profit margin (Profit before tax/Total operating income)	45.70 %	36.19 %
Tier 1 capital ratio ¹	19.96 %	19.73 %
Total capital ratio ¹	34.41 %	33.80 %

¹ includes recognition of 2023 profit

The profit for the year increased from € 1,238 million to € 1,684 million in 2023. The return on equity (RoE) increased from 5.2% in the previous year to 6.8% in 2023. The cost-income ratio improved from 62.4% in the previous year to 55.3%. The total capital in J.P. Morgan SE has increased so that we are reporting a total capital ratio of 34.4% as of December 31, 2023. In our last years initial Outlook for 2023, we expected a stable development of the Tier 1 ratio and the total capital ratio which we even improved during 2023. In addition, in our Plan for 2023 we targeted a cost-income ratio before loan loss provision of below 61%⁴ which we surpassed as well with 55.3% for the year 2023.

4.3.2. Business Drivers, Non-Financial Performance Indicators and Operational Excellence

Non-financial performance of a firm acts as the link between value-driving activities and its economic performance. In order to provide a more holistic picture of our performance, the following section focuses on non-financial indicators.

We have identified key business steering metrics as part of our strategic planning process, and each business monitors specific drivers as an indicator of strategic alignment to the Bank's business plan. Additionally, we fully embrace the business principles of the Firm, which translate into tangible objectives for J.P. Morgan SE, focusing on "First Class Business" measurements. These objectives also consider the Bank's approach of leveraging the global operating model and its commitment towards strong governance and are monitored on a frequent basis.

Exceptional Client Service

At J.P. Morgan SE, we measure Exceptional Client Service, amongst others, by the numbers of client complaints and

⁴ The planned cost-income ratio goal before loan loss provision for 2023 has been revised throughout the year (initial Plan stipulated a cost-income ratio below 65 %).

leverage the respective complaints to improve our products, services and the underlying services. In 2023, the number of complaint cases raised against our line of businesses experienced a slight decrease compared to previous years which is in line with expectations given our product offerings and services. We take all complaints very seriously, and endeavour to resolve all issues and find long-term solutions.

Operational Excellence

Our Investment Banking segment continues to retain a competitive position, ranking #1 for the fifth consecutive year with an EEA wallet share of 7.2 % for the FY 2023. The Corporate Bank saw an increase in total clients, and in the Payments business, we continue to see a strong basis in our growth trajectory given strong development of client deposits and Euro-Clearing volumes, ranking higher by volume (from #3 to #2) in 2023.

Another dimension of Operational Excellence is measured by efficiency and degree of automation in Payments, and in particular by the Straight-Through-Processing ("STP") Rate where we exceeded our 2023 target of 98.5%. This is the percentage of transactions that are passed straight through the system from start to finish without manual intervention. For 2024 we are targeting a rate of 98.8%.

In the Securities Services space, Assets under Custody ("AUC") of € 2.6 trillion and assets under administration ("AUM") of € 850 billion are another signal of trust that our customers have in J.P. Morgan SE. In Commercial Banking, we saw stable growth together with a solid client deposits base.

The Markets segment had a strong performance in 2023 in a mature and extremely competitive market during the year. The Private Bank also contributed to J.P. Morgan SE's performance,

showing an increase in client balances and flows, supported by client acquisition beating plan by 40%.

To support the breadth of the Firm's business, technology plays a key role. At JPMorgan Chase, we are one of the world's biggest technology-driven companies, spending \$ 15 billion in technology, at unparalleled global scale and speed⁵. The technology strategy is to deliver best-in-class products, platforms and experiences across business segments and strengthen software development and infrastructure, as well as protect the Firm and its clients.

A Commitment to Integrity, Fairness and Responsibility

Information on how we support our communities, clients and employees is detailed in section 3. of J.P. Morgan SE's Separate Non-Financial Report (see Annex "Separate Non-Financial Report" of this Annual Report).

A Great Team and Winning Culture

The number of employees at J.P. Morgan SE in 2023 was 4,649 employees on average, compared to an average of 4,105 employees at J.P. Morgan SE the year before⁶. The increase is primarily due to the transfer of the business activities and staff from JPMCB Paris to JPMSE Paris and due to the set-up of our Berlin office as investment in future business activities.

The staff turnover rate was 6.3 %, being in line with our expectations. Of the total number of employees, 3 % took advantage of flexible work arrangements⁷.

⁵ unaudited

⁶ This excludes interns and part-time employees working under 20 hours a week.

⁷ Flexible work arrangement defined as those working part-time hours who are benefits eligible

Statement on corporate governance pursuant to § 289f Abs. 4 HGB (disclosures on the quota for women)

As with 2022, the five-year target of 30 % for the number of women on both the Supervisory Board and the Management Board has been retained by the J.P. Morgan SE Supervisory Board. This represents 4 women on a Supervisory Board with 12 members, and 2 women on a Management Board with 6 members. Likewise, the Management Board retained the target of 30 % women at the two management levels below the Management Board. The target will be reviewed for key levels below the Management Board in 2024 and the Supervisory Board and Management Board in 2027.

We know we have more work to do to increase the representation of women in senior roles. Guided by the Firmwide framework of Diversity, Equity & Inclusion (DEI), the Management Board works to advance an inclusive workplace culture where our people feel supported to bring their whole, authentic selves to work every day, confident that they can thrive with equal opportunities for career advancement. DEI is what makes the Bank and our Firm strong, and we want to build a workforce that brings together people with unique skills, backgrounds and professional experiences.

4.4. RELATIONSHIPS WITH RELATED COMPANIES

We identified our parent company, J.P. Morgan International Finance Ltd., and also J.P. Morgan Securities plc and JPMorgan Chase Bank, N.A., as well as the J.P. Morgan Structured Products B.V. as companies closely related to J.P. Morgan SE. We consider the members of the Management Board and the Supervisory Board of J.P. Morgan SE and their family members as well as related persons.

The following financial transactions are carried out with related companies:

- Money market transactions, investing and borrowing money;
- Financial guarantees;
- Foreign currency transactions;
- Intra-Day and Overdraft Credit Facilities;
- Transactions in OTC derivatives and other trading related positions;
- Transactions in the Global Clearing and Cash Equity sector;
- Reverse Repos;
- Nostro accounts;
- Provision of subordinated capital; and
- Purchasing and supplying corporate services.

4.4.1. Declaration on Dependency Company Report in Accordance with § 312 German Stock Corporation Act ("AktG")

J.P. Morgan SE is a dependent company of J.P. Morgan International Finance Limited. Since there is no domination agreement between the companies, the Management Board of J.P. Morgan SE prepared a report on relationships with affiliated companies in accordance with § 312 of the German Stock Corporation Act ("AktG"), which concludes with the following declaration:

"The Management Board declares that J.P. Morgan SE has received an appropriate consideration for each legal transaction in accordance with the circumstances that were known to it at the time when that individual legal transaction was entered into or the step undertaken or refrained from, and was not placed at a disadvantage due to the measure being taken or refrained from."

4.5. INTERNAL CONTROL SYSTEM

4.5.1. General Remarks

Please refer to the explanations provided in the Risk Report for a description of the risks and the measures for mitigat-

ing these risks. The internal control system (“ICS”) and the risk management system, which cover the J.P. Morgan SE accounting process, focus on the guidelines, procedures and measures taken to ensure the efficacy, economic viability and orderliness of the accounting as well as guaranteeing adherence to the key statutory regulations. The ICS consists of two areas, namely Control, and Monitoring. In organizational terms, the Financial Control & Tax division is responsible for the control.

The Monitoring measures consist of elements integrated into the process as well as external and independent elements. Among other factors, the integrated measures include a monthly control process covering all of the Bank’s activities, during which the balance sheet as at that date and the income statement are examined to assess and confirm their correct presentation and risks. Moreover, in all instances the four-eye principle is applied, along with technical controls, mainly by software-controlled audit mechanisms. In addition, qualified staff members with due expertise and specialist functions such as Financial Control & Tax take part in the process-integrated monitoring and control functions.

The Management Board and the Supervisory Board (in particular the Audit Committee) as well as the internal audit department are engaged in the internal monitoring system in the form of process-independent audit measures. The audit of the annual financial statements constitutes a key element of process-independent monitoring. With reference to accounting, the risk management system is geared to identify, evaluate and communicate risks from faulty bookkeeping, accounting, and reporting in a timely manner.

4.5.2. IT Use

The software used in the Bank to support accounting processes is made up of the IT applications used throughout JPM Group. The proper running of programs and interfaces is regularly assessed and confirmed. As part of the IT audit, the Group auditors check the due operation of accounting-related applications at all computer center locations. The general IT system, including that for accounting, is secured against unauthorized access.

4.5.3. Key Regulations and Control Activities

The rules and measures of the ICS aim to ensure that business transactions are recorded in compliance with legal and internal requirements in a timely and complete manner, and that assets and liabilities within the annual financial statements are properly estimated, valued and reported. The booking documentation provides a reliable information base and a clear paper trail.

In the JPM Group, the regulations of the Financial Accounting Standard Board are applied as uniform valuation and accounting principles according to US GAAP and supplemented and commented on by the JPM Group’s “Accounting Policies” department. Here, too, stipulations are made with regard to the JPM Group accounting practices. As part of the preparation of the annual financial statements according to HGB and the IFRS individual financial statements for J.P. Morgan SE, a reconciliation is made from US GAAP to the HGB and IFRS financial statements. Local work directives regulate the formal requirements and the material information in the annual financial statements and in the IFRS separate financial statements, respectively.

5. Business Outlook

5.1. SIGNIFICANT OPPORTUNITIES AND RISKS FOR THE UPCOMING FINANCIAL YEAR

As part of the Bank's 3-year business plan and strategy, external factors also play a critical role, as these could bear, on one hand, a significant risk to the execution of our plans, and on the other hand potential meaningful business opportunities as result of a proactive and determined management addressing the impacts. This section also focuses on key industry trends which are taken into account as part of our Legal Entity Strategy, capturing the main topics which have recently impacted or will impact the business in the upcoming years.

5.1.1. Industry Trends

Macroeconomic and Geopolitical Factors

Following subdued growth last year, the EU economy has entered 2024 on a weaker footing than expected. After narrowly avoiding a technical recession in the second half of last year, prospects for the EU economy in the first quarter of 2024 remain weak. The long-standing effects of years of expansionary monetary and financial policy will shape the economy in 2024. Even though the successive interest rate rises that were implemented in a short time period seem poised to be reversed sooner or later, the interest rate environment is completely different to what Western countries have experienced in the recent past and a quick recovery seems unlikely.

Inflation has generally improved in the USA and Europe, giving the central banks opportunity to lower interest rates. The US Federal Reserve and the ECB are likely to cut interest rates by the end of 2024.

While recession in the Eurozone is likely to end in the spring, economic weakness will still remain as, in the case of Germany especially, other problems in addition to the new interest rate environment need to be dealt with. Energy prices will remain high, and many companies, especially those dependent on exporting, will have to adapt as recent geopolitical developments could have a particularly negative long-term impact on Europe owing to its dependency on the global East and South for imports of raw materials, exports of finished goods and services.

Rising defaults and negative rating actions on European high-yield bond and leveraged loan issuers towards the end of 2023 indicated continuing cost pressures and weaker sales volumes. In early 2024, several bond and loan issuers entered restructuring processes or hired advisors. The general consensus is that bond and loan defaults will rise further in 2024.

Geopolitical risks in Ukraine and the Middle East remain elevated and with the increasingly firm resolve of the European Commission to confront Russia (and perhaps even China), Europe is upping geopolitical risk factors for its economy. The U.S. versus China trade dispute could also possibly intensify. The interdependencies of ongoing crises around the world could impact the markets in 2024.

Potential setbacks in the conflict with Russia and transition to a multipolar world likely would exert further political and economic pressures within Europe. One should keep in mind that with the fall of the Soviet bloc and transition to a unipolar world, some 25 new countries (as political entities) emerged. It should not be inconceivable that a partial reversion to a multipolar world could similarly lead to a reshaping of geopolitical arrangements.

ESG and Climate Change

Climate change is a global challenge that has presented – and will continue to present – risks for businesses and communities around the world. Since the Paris Agreement in 2015, climate change has been one of the most important drivers of the market impacts of ESG factors. Despite challenging macroeconomic conditions, especially from the geopolitical backdrop, we expect that sustainability will remain a megatrend which will continue to shape the finance industry. The growth in ESG strategies has been supported by record levels of sustainable financing and the evolving regulatory framework in Europe and beyond, which are increasingly focusing on corporate disclosures.

Climate change remains the primary focus of many ESG strategies, and we expect that investors are increasingly focusing on credible transition strategies in highly-exposed sectors such as oil & gas and cement. But in the end, climate change impacts every industry sector, including the financial industry. We see new business opportunities for the Bank to support companies that are thinking strategically about this transition and that are positioning themselves to adapt to sustainably focused trends over time. For J.P. Morgan SE this transformation process is led by the ESG Coordinator that reports directly to the Bank's CEO. Oversight of these risks is part of the schedule of responsibilities of our Management Board. Section 3.1. of our Separate Non-Financial Report describes how we support our customers in the transition to a low-carbon economy.

But the ESG spectrum is broader than climate change. We expect Diversity, Equity & Inclusion to become increasingly strategic for organizations in order to attract investors and talents and to meet global values, including how we want to interact and live with each other. We report on social and

employee matters in section 3. of our Separate Non-Financial Report.

IT and Cybersecurity

2024 is poised to bring new cybersecurity challenges, with the potential for significant impact on both businesses and individuals.

In 2023, there were rapid advancements in developing applications and tools that use generative artificial intelligence (AI). AI now holds defensive potential and can be valuable for cybersecurity controls. AI can analyze network traffic in real-time and identify potential security threats. We can also utilize AI to detect behavior that aligns with malicious activity, aiding in proactive defense measures. However, this also means that adversaries of all skill levels will find it easier to carry out cyberattacks using AI.

The cybersecurity outlook for J.P. Morgan SE and the financial sector for 2024 will be driven, in large part, by the continued geopolitical instability and socioeconomic volatility that businesses continue to face. Geopolitical tensions have risen globally, impacting the digital realm. Nation-states may employ tactics such as extortion, ransomware, disruptive attacks on critical infrastructure, intellectual property theft and supply chain attacks to achieve their geopolitical goals. Disinformation campaigns will continue to undermine public trust and influence public opinion. Denial-of-service attacks and defacement campaigns are other vehicles used to disrupt services and damage reputations. Collaboration among threat actors from different regions is expected to increase, leading to more sophisticated campaigns. While J.P. Morgan SE and the financial sector are not a priority target for these attacks, the Firm's suppliers could act as a conduit to its systems and its data. While we see these as a true risk for the Firm, we also

see this as an opportunity to work with our clients, suppliers and the industry to mitigate cybersecurity threats.

Social engineering remains a highly effective method for obtaining unauthorized access to organizational networks. Current trends include cybercriminals leveraging stolen data and personal information to create personalized lures. Attackers are also impersonating IT staff through text messages and phone calls, tricking employees into divulging their credentials on fake remote login pages. Additionally, callback phishing attacks persist, where targets receive deceptive emails prompting them to call a phone number to dispute a false claim, ultimately leading to the installation of malware for network access.

To protect the confidentiality, integrity and availability of the Firm's infrastructure, resources and information, the Firm maintains a cybersecurity program designed to prevent, detect and respond to cyberattacks including three 24 hours/7 days a week Security Operations Centers. J.P. Morgan SE utilizes this program. The Firm has a cybersecurity incident response plan designed to enable the Firm to respond to attempted cybersecurity incidents, coordinate such responses with law enforcement and other government agencies and notify clients and customers, as applicable.

Innovative Technologies

JPMorgan Chase is among the top ranked banks in terms of AI readiness⁸, and the Global Research team continues to use alternative sources of Big-Data to help guide our investment advice using Machine Learning, AI, with an increasing reliance on Generative AI and traditional Natural Language Processing tools. While other tech companies have a narrower scope of things they do very well, what differentiates JPMor-

gan Chase is our ability to spend \$ 15 billion⁹ in a broad number of technologies simultaneously. This is, however, not a seismic shift, but part of a continuous business evolution. As clients and customers get accustomed to the fast pace of innovation, banks need to continue to push the limits in tech applications.

As an integral part of the JPM Group structure, J.P. Morgan SE benefits tremendously from the global investment in technology by the Firm.

5.1.2. Regulatory Change

J.P. Morgan SE is generally subject to supranational and various national requirements. Classified as significant institution within the meaning of the SSM Regulation, the Bank is supervised for prudential regulations by a Joint Supervisory Team ("JST") consisting of the ECB and the National Competent Authorities from both, Germany (BaFin) and Luxembourg (CSSF) in collaboration with Deutsche Bundesbank. Since J.P. Morgan SE is a German domiciled institution, the German Banking Act, its surrounding by laws and related BaFin prudential circulars are hence applicable to its European branches.

Capital Requirements, Business Resilience and Resolution Management

A major focus is on the EU-wide implementation of the outstanding Basel III reform and the transposition of CRR III/CRD VI, which will lead to increased implementation efforts for credit institutions. Following the political agreement at European level on June 29, 2023, and the endorsement of the agreed text by the EU Council and the ECON of the EU Parliament in December 2023, the respective publication of

⁸ Statista

⁹ unaudited

CRR III/CRD VI is expected during the first half (“H”) of 2024, taking effect as of January 1, 2025.

The regulatory developments in the area of business resilience and resolution management are also proving to be particularly relevant for the entire sector against the backdrop of the ongoing volatile market and rising interest environment and resulting failure of banks. We are therefore tightly monitoring on developments in that area. Accordingly, we have set up the Resolution & Recovery Steering Committee. Hosted by Finance, the Committee is the central body responsible for oversight of regulatory changes and related implementations in this area.

Recent regulatory developments in resolution management include the proposals published by the EU following their review of the Crisis Management and Deposit Insurance Framework.

Even though the proposed amendments mainly target medium-sized and smaller banks, it will affect all banks located within the EU. The proposal among others encompasses changes to the early intervention measures, information exchange between the National Competent Authorities and the resolution authority, the prioritization of depositors and the usage of funds from national Deposit Guarantee Schemes.

Recent developments in the banking industry have once again brought the capital and liquidity requirements and the resiliency management of banks and Financial Institutions back into the focus of regulators. This was fostered by the latest bank failures in the US and Switzerland, which raised concerns among regulators, governments and the

broader public on potential contagion to banks within the EEA.

Digitalization

Following the announcement of the EU Digital Finance Package in 2020, continued rapid technical advancements and the push for digitalization, the attention of regulators in this area continued to increase in 2023. With the publication of key components of the Digital Finance package, such as the Regulation on Digital Operational Resilience Act (“DORA”) and the Markets in Crypto-Assets Regulation (“MiCA”), the regulators have already announced that they will publish numerous technical standards and GL before the two regulations become applicable in 2025.

Also on local level, digitalization received the spotlight, with the German Federal Ministry of Finance publishing a draft bill on the digitalization of the financial market (Financial Market Digitalization Act – “FinmaDiG”) in October 2023. This is intended to implement the European regulations MiCA, DORA and the Transfer of Fund Regulation into German law and to regulate the corresponding supervisory powers.

Artificial Intelligence is another major driver that gained significant traction and attention in 2023 due to the broad masses’ access to technologies. As one of the first regulators in the world, the EU published the first draft of an AI Act at the end of 2022, a proposal to regulate the development and use of Artificial Intelligence. It is currently assumed that the EU will adopt the act in early 2024. The AI Act will have a cross-industry impact including the financial industry and aims to regulate the commercial use of Artificial Intelligence, including usage in banking systems. Depending on the use of the software, for example in the context of credit scoring,

even the requirements for high-risk AI systems could then apply in the banking sector.

With further growth of technological and digital influence as well as the steadily rising amount of collected and stored data, especially with the usage of cloud services, a high attention topic is appropriate Data Governance and how data is captured, managed, accessed and shared. The EU has already laid the foundations for the handling of collected data in recent years with the General Data Protection Regulation (“GDPR”) and the Data Governance Act. The latest act in this story is the EU Data Act which entered into force in January 2024, becoming enforceable around mid-2025. While GDPR regulates the handling of personal data and the Data Governance Act aims to establish processes and structures to promote data sharing by companies, individuals and the public sector, the EU Data Act sets rules on the access and use of data as well as the framework conditions under which data can be shared. Given the high volume of data within the banking industry, this regulation will also have a significant impact on J.P. Morgan SE and especially on the areas of CTC, Technology and Data Governance.

Sustainable Finance (ESG)

Sustainable Finance and the consideration of ESG aspects across all levels of the banking business remains a key topic in the regulatory environment that will continue to affect the industry and JPMSE over the next few years, as we continue to see numerous new regulations or consultations on existing regulations, especially in the area of transparency and reporting requirements, such as the Corporate Sustainability Reporting Directive (“CSRD”), the Sustainable Finance Disclosure Regulation (“SFDR”), and increased supervisory reporting and Pillar 3 Disclosure requirements.

The EU Banking Package introduces new provisions on risk management, governance, and reporting. While they are not expected to have a material impact on the Bank’s capital requirements, the implementation efforts in the mentioned areas will be substantial.

In the upcoming years, the Firm will continue efforts already addressed and will review opportunities to integrate detailed approaches in the legal-entity framework. The implementation work is advanced by the ongoing ESG-related programs and includes Business and Risk representatives. Alignment with further functions, such as Finance, Technology and Controls, will be key to holistically capture ECB expectations on J.P. Morgan SE. The individual LOBs will be guided by the broader project work and update LOB specific procedures, processes and controls if deemed appropriate.

Consumer Protection Rights

Consumer and Investor protection continues to be a high attention topic within the European Union and especially for EU Regulators. As the latest developments in the regulatory environment have shown, the focus on consumer rights has gained further momentum on the background of further technological developments and increasing digitalization.

Consequently, there is a trend towards strengthening consumer and retail investor rights with regard to digital payment services, crypto assets, tokenization in relation to new financial products and services, decentralized finance as well as financial contracts concluded remotely. In particular, further rules will be introduced related to transparency, combat of payment fraud and clear rights and obligations to manage sharing customer data within the financial sector.

Anti-Money Laundering, Counter-Terrorist Financing and Sanctions

In the fight against money laundering and terrorist financing, the European Union is making further progress with the EU anti-money laundering (“AML”) package, which was launched in 2021. With the 6th AML Directive, a regulation on the creation of the anti-money laundering authority (“AMLA”) and a further regulation on the prevention of the use of the financial system for the purposes of money laundering or terrorist financing, continue to be in final negotiations between the co-legislators.

The ongoing war between Russia and Ukraine as well as the erupting conflict in the Middle East means that the financial services sector will continue to be engaged with the implementation of financial sanctions. The implementation in J.P. Morgan SE generally has a cross-LOB and functional impact. Even though Global Financial Crimes Compliance (“GFCC”) acts as a standard setting function and translates the regulatory requirements into internal policies, the operational areas are entrusted with the compliance to these policies.

Further focus areas

Not only new or changed regulations can contribute to changing the regulatory environment of the Bank. Strategic aspects may lead to change or the expansion of the business model and product range, which results in an extension of the regulatory horizon.

In general, the regulatory environment remains highly active and challenging, which is demonstrated by the published work program for 2024 of the European Supervisory Authorities. Going forward, the Bank will continue to observe this

development with the established regulatory change monitoring governance. Based on the monitoring results, these challenges will be addressed.

5.2. EXPECTATIONS FOR THE BANK’S FUTURE PERFORMANCE

J.P. Morgan SE has seen a strong performance in 2023 across all segments (Banking, Markets, Securities Services, Private Bank and Commercial Banking). Through our diverse businesses and tailored solutions spanning investment and commercial banking, payments processing and wealth management, we are relentlessly focused on serving our clients, which acts as a solid baseline for the execution of our business strategy in the next years, allowing us to not only defend our market position in EEA, but also to expand, where possible.

JPMSE will continue its plans to launch a digital retail bank in Germany under the Group-wide Chase brand in 2024, with Berlin as the headquarters for Chase in Germany.

Due the strategic role of JPMSE as EU intermediate public undertaking (“IPU”) for the Firm, we also anticipate a growing involvement in other strategic initiatives, including acquisitions.

For 2024, we expect moderate growth in Profit before Tax (“PBT”) in comparison to 2023. We continue to expect our Tier 1 Capital Ratio to stay around 20 %, and the Total Capital Ratio to remain around 35 %. This offers us an adequate capital buffer and to efficiently pursue our strategic goals including new business opportunities. Based on the Financial plan for 2024, our profitability indicators, namely Cost-Income ratio, Return on Equity and Return on RWA, show a marginal improvement from last year.

Investment Banking	In 2023, we saw a reduction in the overall wallet size due to unfavourable market conditions and general uncertainty, resulting in 2023 being the worst year in a decade in terms of IB fee wallet in EMEA (source: Dealogic). While 2023's uncertainties and geopolitical conflicts remain present, the expectation of declining inflation and hope that interest rates have peaked are definitely setting a better mood. With the improved market situation, financial investors will become more active in the market again. As a result, we expect fee levels to normalize for 2024.
Payments	Acknowledging that 2023 had been an exceptional year, we expect 2024 to remain strong in fee revenues, while anticipating a reduction in net interest income. Overall, we are confident that we are well positioned to drive digital transformation and financial innovation through data in line with the objective of the European Commission towards the interoperability of digital payment ecosystems and in line with our client needs for enhanced payment solutions.
Securities Services	The Securities Services segment will continue to face the challenges of high competitive pressure with falling margins, high investments to ensure competitiveness and increasing regulatory requirements. Business opportunities are expected from our technologically best-in-class offering in the area of data and reporting, and our global and scalable product offering where we can offer market-leading solutions for all asset classes to our customers, combined with local support and expertise. Overall, we expect marginal growth in fee revenues which is offset by continued margin pressure and slightly lower net interest income.
Markets	Total revenues for 2024 are planned to be moderately higher than 2023 Actuals. We are confident that we will be able to defend our top tier position in substantially all Markets businesses in Continental Europe. The digitalization of business processes, the rise of algorithmic trading and the development of ESG-related products will be, in our opinion, key differentiating drivers in a highly competitive environment.
Commercial Banking	The Commercial Banking segment is primarily a coverage organization, leveraging the product capabilities of the Corporate & Investment Bank. The CCBSI Europe coverage team, which was launched in 2019, continues to expand into segments and geographies. 2024 will be a continuation of investments made in prior years. Hence, we expect this segment to be one of the most dynamic segments within JPMSE, subsequently translating into growth in operating income.
Private Bank	Global wealth will rise by 38% over the next five years, reaching \$ 629 trillion by 2027. Growth by middle-income countries will be the primary driver of global trends. We continue to invest in the Private Bank segment to grow our market share through local client advisory, continued high quality investment solutions and strategies, and regional expansion. Through continued investment in technology and the modernization of our platforms, we will also improve operational efficiencies and client experience. As a result we expect a dynamic revenue growth over the next few years and an corresponding increase in our global PB market share.

6. Risk Report

6.1. RISK MANAGEMENT

Risk is an inherent part of the business activities of J.P. Morgan SE (“the entity”) and JPMorgan Chase & Co. (“the Firm”). When J.P. Morgan SE extends a loan, makes markets in securities, or offers other products or services, it takes on some degree of risk. The overall objective is to manage its business, and the associated risks, in a manner that balances serving the interests of its clients, customers and investors and protecting the safety and soundness of the entity and the Firm.

Effective risk management in J.P. Morgan SE requires, among other things:

- Acceptance of responsibility, including identification and escalation of risks, by all individuals within the entity;
- Ownership of risk identification, assessment, data and management within each of the lines of business (LOBs) and Corporate functions; and
- Independent risk governance which is embedded into Firm-wide risk governance and oversight structure as appropriate.

The entity and the Firm strive for continual improvement in their efforts to enhance controls, ongoing employee training and development, talent retention, and other measures.

J.P. Morgan SE Risk Management has remained focused on serving its stakeholders. Over the course of 2023, the entity has continued to monitor the potential secondary impacts of the Russia-Ukraine crisis and their effects on the risk profile of J.P. Morgan SE. Instabilities in the geopolitical environment have been closely monitored and the impact on the risk profile has been assessed where applicable to individual risks; the

outbreak of the conflict in the Middle East had limited impact on J.P. Morgan SE’s risk profile as exposures to affected counterparties were limited. Market turbulences following the collapse of Silicon Valley Bank and the takeover of Credit Suisse by UBS also had limited impact on J.P. Morgan SE’s risk profile. In May 2023, J.P. Morgan SE monitored developments and assessed the potential impacts of a US Debt Ceiling crisis event in line with the approach taken at Firmwide level. More broadly, J.P. Morgan SE has implemented strategies, processes and controls designed to respond to increased market volatility, client demand for credit and liquidity, distress in certain industries or economic sectors and governmental actions, including the imposition of financial and economic sanctions. J.P. Morgan SE has also kept under observation the developments in the real estate markets where it operates, cognizant of the sudden valuation corrections that may be caused by adverse changes in market conditions. In particular, J.P. Morgan SE has observed the developments in the commercial real estate markets, where risks are posed by a host of factors like: the structural decline in demand, especially in the office and retail property segments; the significant increase in construction costs due to rising energy costs and the tightening of financing conditions following the sharp interest rates increase.

In October 2023, the JPMCB NA Paris Branch portfolio was migrated into J.P. Morgan SE; the migration led to further expansion, mainly within the Private Banking business, while leaving the risk profile of the entity unchanged, as illustrated by the risk type-level analysis conducted by the entity after the migration. More generally, following the merger in 2022, the entity has continued to enhance its already established internal processes for the management of the risk profile, for example, enhancements to risk inventory post the merger and to risk taxonomy/risk classification.

The current outlook for 2024 should be viewed against the backdrop of a series of factors: the growth in global and EU economies as well as interest rates and inflation trajectories; the Russia-Ukraine crisis, the conflict in the Middle East and the overall geopolitical environment; election risk across the EU, the UK and the US; financial markets activity; finally, the competitive environment, client and customer activity levels, and regulatory and legislative developments in the EU and other countries where the Firm does business. Each of these factors may affect the performance of the entity and the Firm. J.P. Morgan SE will continue to make appropriate adjustments to its businesses and operations in response to ongoing developments in the business, economic, regulatory, and legal environments in which it operates.

6.2. RISK GOVERNANCE FRAMEWORK

The risk governance framework involves understanding the drivers of risks, types of risks, and impacts of risks.

Drivers of risks are factors that cause a risk to exist. These include, but are not limited to, the economic environment, regulatory or government policy, competitor or market evolution, business decisions, process or judgment error, deliberate wrongdoing, dysfunctional markets, natural disasters and environmental, social and governance (“ESG”) related risks.

Types of risks are categories by which risks manifest themselves. The Firm and the entity risks are generally categorized in the following four risk types:

- Strategic risk is the risk to earnings, capital, liquidity, or reputation associated with poorly designed or failed business plans or an inadequate response to changes in the operating environment.

- Credit and investment risk is the risk associated with the default or change in credit profile of a client, counterparty or customer; or loss of principal or a reduction in expected returns on investments.
- Market risk is the risk associated with the effect of changes in market factors, such as interest and foreign exchange rates, equity and commodity prices, credit spreads or implied volatilities, on the value of assets and liabilities held for both the short and long term.
- Operational risk is the risk of an adverse outcome resulting from inadequate or failed internal processes or systems, human factors, or external events impacting J.P. Morgan SE’s processes or systems. Operational risk includes compliance, conduct, legal, and estimations and model risk.

Impacts of risks are consequences of risks, both quantitative and qualitative. There may be many consequences of risks manifesting, including quantitative impacts such as a reduction in earnings and capital, liquidity outflows, and fines or penalties, or qualitative impacts such as damage to J.P. Morgan SE’s reputation, loss of clients and customers, and regulatory and enforcement actions.

6.2.1. J.P. Morgan SE Risk Strategy

J.P. Morgan SE’s approach to risk management builds on the Firmwide approach. The Risk Strategy brings together the various components of the Firm’s and J.P. Morgan SE’s Risk Governance Framework. It sets out the principles for risk management in J.P. Morgan SE as defined by the Management Board of J.P. Morgan SE and is approved by the Supervisory Board. The completeness and suitability of the Risk Strategy are reviewed at least annually based on the J.P. Morgan SE Business Strategy.

The principles set out in the Risk Strategy are derived from J.P. Morgan SE's Business Strategy, where it outlines the key external factors that could threaten the execution of J.P. Morgan SE's Business Strategy. These include amongst others climate change, trade disputes and changes in the regulatory environment that could present difficulties for the LOBs to successfully implement their business strategies and meet their targets.

The linkage of the Risk Strategy to the business strategy is ensured by the involvement of the risk function in the business strategy process. The risk function is involved in any update to the business strategy and assesses necessary changes to the Risk Strategy and Risk Appetite from a risk perspective. It also takes into consideration the business strategy in the forward-looking risk identification process, which ultimately goes into the Risk Appetite and monitors Business Risk Indicators in the Risk Appetite Statement, especially in the RoE.

J.P. Morgan SE's businesses are highly regulated, and the laws, rules and regulations that apply to J.P. Morgan SE have a significant impact on its business and operations. The Risk Strategy of the entity is compliant to the specific rules and regulations for a German bank and through its branch network established across a number of jurisdictions in EMEA. The increased regulation and supervision of J.P. Morgan SE has affected the way that it sets its Risk Strategy and structures its risk appetite.

J.P. Morgan SE's Risk Strategy could be adversely impacted by changes in laws, rules and regulations, or changes in the application, interpretation or enforcement of laws, rules and regulations, that:

- Proscribe or institute more stringent restrictions on certain financial services activities;
- Impose new requirements relating to the impact of business activities on environmental, social and governance ("ESG") concerns, the management of risks associated with those concerns and the offering of products intended to achieve ESG-related objectives; or
- Introduce changes to antitrust or anti-competition laws, rules and regulations that adversely affect the business activities of J.P. Morgan SE.

External Market Change that can cause uncertainty to J.P. Morgan SE's businesses and operations has also been accounted in building the Risk Strategy. New monetary, fiscal and policy initiatives within the European Union could impact the European market and global economic growth and create market volatility in the financial market.

J.P. Morgan SE's overall appetite for risk is governed by the Risk Appetite framework for quantitative and qualitative risks. By setting a tolerance for risk, the entity aims to always ensure risk-bearing capacity and liquidity. The Risk Strategy covers all material risks identified by the Risk Inventory and is, if necessary, further specified for individual risk categories in the form of partial risk strategies and then made concrete and operational using policies, frameworks, guidelines, and operating procedures.

The following principles apply for overall risk management and monitoring:

- Clearly defined organizational structures and documented processes are in place for all risks and respective business activities, from which the responsibilities and competencies of all involved functions are derived.

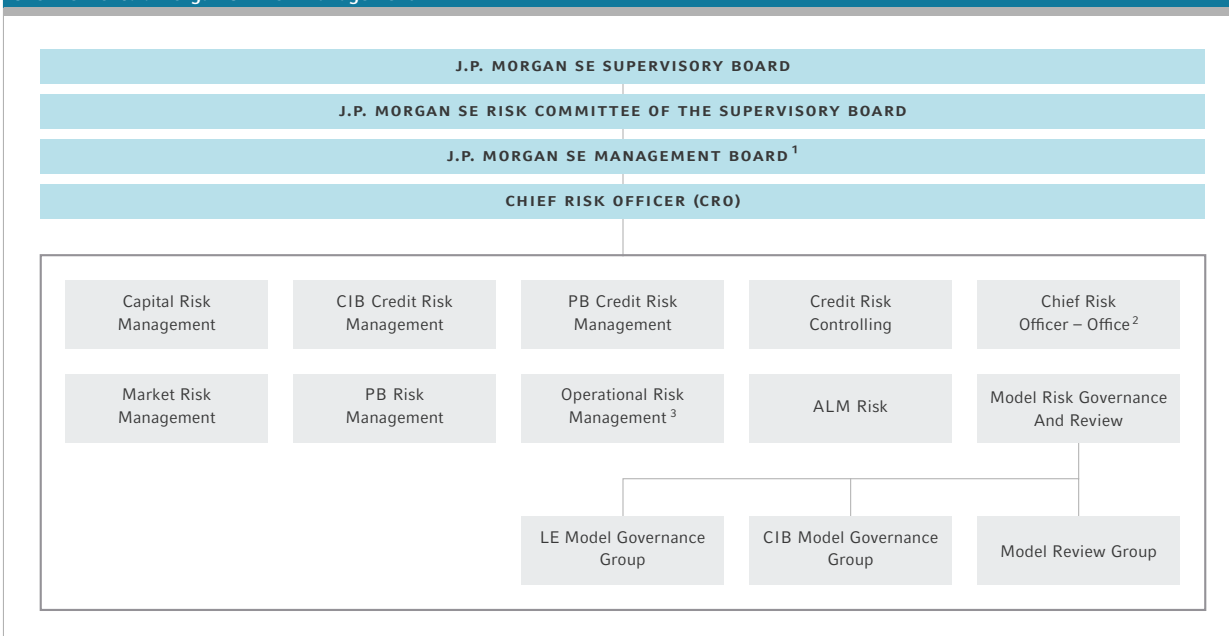
- There is a clear segregation of duties between first and second line of defense to avoid potential conflicts of interest.
- J.P. Morgan SE defines and implements suitable procedures for risk identification, measurement, aggregation, management, monitoring, and communication of the risk categories.
- There is an established approach to creating and managing a sound risk culture within the entity through the Business Conduct and Risk Culture Framework. This is further achieved through J.P. Morgan SE's Remuneration Policy to encourage individuals to behave with standards of integrity and deter excessive risk taking.

6.2.2. J.P. Morgan SE Risk Governance and Oversight Structure

J.P. Morgan SE has an Independent Risk Management (IRM) function, which consists of the Risk Management and Compliance organizations. The Chief Risk Officer ("CRO") leads the IRM function and maintains the risk governance framework of the entity.

Each area of J.P. Morgan SE giving rise to risk is expected to operate within the parameters identified by the IRM function, and within its own management-identified risk and control standards. J.P. Morgan SE's first line of defense consists of each

Overview of J.P. Morgan SE Risk Management



¹ J.P. Morgan SE Chief Risk Officer is a member.

² Includes LE Risk Reporting, RM&C Control Management and Climate Risk, J.P. Morgan SE IMM Quantitative Research (QR) Team.

³ Includes Tech & Cyber Operational Risk Management.

LOB, Treasury and Chief Investment Office (T/CIO), and certain Other Corporate initiatives, including their aligned Operations, Technology and Control Management. The first line of defense owns the identification of risks within their respective organizations and the design and execution of controls to manage those risks. Responsibilities also include adherence to applicable laws, rules and regulations and implementation of the risk governance framework established by IRM, which may include policies, standards, limits, thresholds and controls.

The second line of defense is the IRM function, which is separate from the first line of defense, and is responsible for independently measuring risk, as well as assessing and challenging the risk management practices of the first line of defense.

IRM is also responsible for the identification of risks within its respective organization, adherence to applicable laws, rules and regulations and for the development and implementation of policies and standards with respect to its own processes.

The J.P. Morgan SE CRO is responsible for independently overseeing, monitoring/controlling and reporting J.P. Morgan SE risks. In order to ensure optimal effectiveness of J.P. Morgan SE's Risk Management and to leverage the Firmwide expertise, J.P. Morgan SE Risk is integrated into Firmwide and Europe, Middle East and Asia (EMEA) risk stripes aiming to achieve consistency across legal entities.

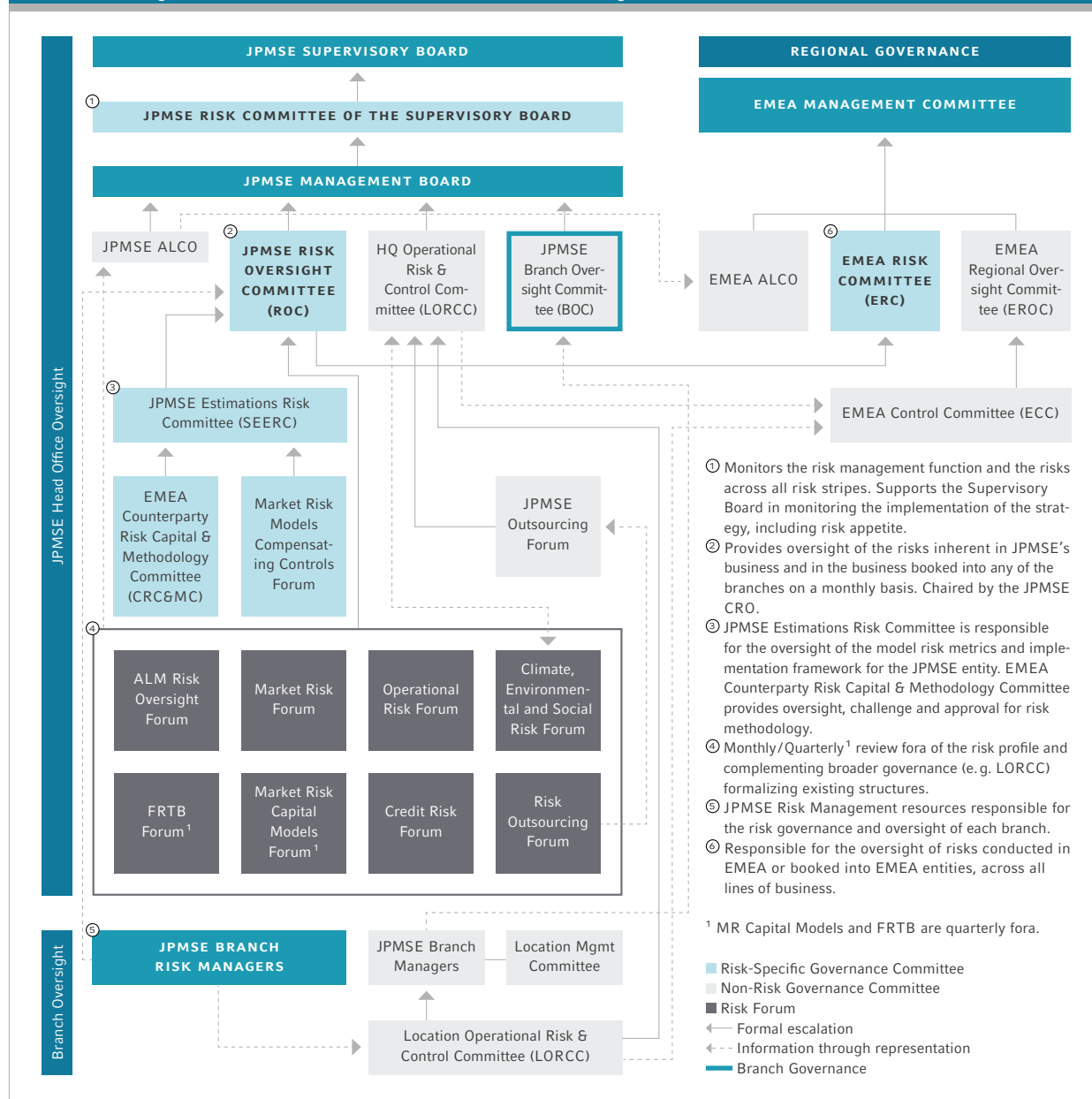
The Internal Audit function, as the third line of defense, operates independently and provides objective assessment of the adequacy and effectiveness of entity's processes, controls, governance and risk management. In addition, other functions contribute to the J.P. Morgan SE control environment but are not considered part of a particular line of defense, including Finance, Human Resources and Legal.

The independent status of the IRM function is supported by a risk governance and oversight structure that provides channels for the escalation of risks and issues to senior management, the J.P. Morgan SE Risk Oversight Committee (ROC), or the J.P. Morgan SE Management Board. J.P. Morgan SE's risk management is organized into risk functions which cover the risk profile of the entity.

The overall objective of the Management Board of J.P. Morgan SE, under the supervision of the Supervisory Board, is to take reasonable care to establish and maintain risk systems and controls that are appropriate to the business of J.P. Morgan SE and its branches. J.P. Morgan SE Management Board delegated the J.P. Morgan SE ROC to review the entity's overall risk situation monthly in light of current market conditions and identify forward-looking risk concerns and mitigations. The ROC is responsible for setting J.P. Morgan SE's risk appetite, for monitoring the risk strategy, developing adequate methods and procedures for the assessment of the risk-bearing capacity, for analyzing individual risk events and for regularly informing the Management Board about the risk profile of J.P. Morgan SE. The ROC also provides oversight on the J.P. Morgan SE Internal Capital Adequacy Assessment Process (ICAAP) and the J.P. Morgan SE Internal Liquidity Adequacy Assessment Process (ILAAP), where appropriate or required. Analysis, monitoring and reporting of performance against risk and capital limits is presented to the relevant fora on a regular basis.

If necessary, the J.P. Morgan SE ROC escalates issues to the Management Board, the Risk Committee of the Supervisory Board and/or the Supervisory Board of J.P. Morgan SE. The ROC can escalate to and feeds into the EMEA Risk Committee in order to ensure that the J.P. Morgan SE risk governance is closely aligned to the Firmwide governance.

JPMSE Risk Management – Risk LE Governance Structure and Branch Oversight



6.3. J.P. MORGAN SE RISK MANAGEMENT FRAMEWORK

6.3.1. Risk Identification

Part of J.P. Morgan SE's risk management framework is the identification of risks, as well as the design and execution of controls, inclusive of Risk Management-specified controls, to manage those risks. To support this activity, J.P. Morgan SE has established a risk inventory procedure which is based on the Firmwide risk identification framework. It is designed to supplement the existing risk management processes by providing a means to comprehensively and consistently document material risks that are inherent in the entity's business.

The classification of individual risk categories as a material risk is based on whether the occurrence of the risk could have a serious negative effect on J.P. Morgan SE's risk-bearing capacity, liquidity or capital situation or profitability. The materiality thresholds are recalibrated on an annual basis to consider the size, business model and complexity of the legal entity.

As per the risk inventory dated December 31, 2023, the following risk categories are considered material for J.P. Morgan SE:

- Credit and investment risk including wholesale credit risk, counterparty credit risk and investment portfolio risk (pension risk);
- Market risk, including interest rate risk in the banking book (IRRBB) and credit spread risk in the banking book (CSRBB);
- Operational risk; and
- Strategic risk including capital risk, business risk and liquidity risk.

The materiality assessment follows a gross approach (i.e. without taking into account actions designed to mitigate the underlying risks) and is forward-looking (1-year horizon) to

ensure a comprehensive overview of J.P. Morgan SE's potential vulnerabilities, identifying also the risks that J.P. Morgan SE may be exposed to in the future.

6.3.2. Risk Appetite

J.P. Morgan SE has developed a Risk Appetite Framework for quantitative and qualitative risks. Quantitative parameters are used to monitor and measure J.P. Morgan SE's risk bearing capacity consistent with its stated risk appetite. Qualitative Risk Appetite assessment and monitoring protocol leverage on the Firmwide Qualitative Risk Appetite Framework, but are tailored to J.P. Morgan SE's own business profile, governance, regional footprint and scale of activities.

Risk appetite is set for the material risks. It is set below risk capacity which is the maximum level of risk J.P. Morgan SE could bear without breaching constraints imposed by regulatory capital or liquidity requirements, other regulatory restrictions, or obligations to third parties which impact capital. Risk appetite must always be defined to be below Risk Capacity and incorporate a buffer deemed prudent by the J.P. Morgan SE Management Board. The buffer may be expressed in absolute or relative terms and may be lower than the "business as usual" buffer that management adheres to outside of a stress period. Where applicable, risk appetite quantitative parameters are expressed as losses under stress for individual risk types, which can be used by risk stripes to propose more granular limits calibrated to these risk appetite levels.

Quantitative Risk Appetite thresholds were calibrated to account for the updated business strategy and increased risk sensitivities coming into the entity. The operationalization of Risk Appetite remains the same and calibration was carried out on stress results as the maximum amount of risk J.P. Morgan SE is willing to take.

J.P. Morgan SE manages and mitigates each of its qualitative risks down to appropriate levels by application of materially effective controls adequate to reduce risks where possible and practical. Factors that indicate a qualitative risk is “in excess” of these appropriate levels are for example:

- Significant levels of risk that exist without mitigating controls;
- Inability to monitor and evaluate either the risk or performance of controls through metrics; or
- Indication of a breakdown in the business operating model requiring significant changes to the business strategy, organizational structure, and governance processes.

6.3.3. Risk Measurement and Reporting

Risk measurement and reporting in J.P. Morgan SE are performed by risk category on a daily (credit, capital, market, and liquidity risk), monthly (IRRBV, country and conduct risk) or quarterly cycle (CSRBB, operational, model, climate, reputation, business and pension risks). The Internal Capital (ICAAP) and Internal Liquidity Adequacy Assessment Process (ILAAP) is refreshed on a quarterly basis. All risk reports are subject to the data governance policy and the BCBS 239 framework.

In addition to regulatory limits, the Management Board at J.P. Morgan SE has defined a series of early warning indicators, which are monitored in a timely manner. Indicators and risk limits are clearly documented and include inter alia recovery indicators, credit limits, investment limits, bidding limits, position limits, as well as the minimum liquidity of J.P. Morgan SE. These also consider concentration risk with respect to other entities of the Firm.

For its meetings, the Management Board receives a detailed monthly overview of the development of the business areas, information on financial trends, a detailed risk report as well

as a report from the Corporate functions. The scope of the quarterly risk report extends considerably beyond the monthly reporting and presents the risk situation in more detail.

For their meetings, the Supervisory Board as well as its Risk Committee receive a current summary of the topics discussed in the meetings of the Management Board, including a summary of the risk report. Any changes on the overall risk strategy of the entity, including its risk appetite and guiding principles governing risk measurement and reporting are presented to the Supervisory Board.

6.3.4. Recovery and Resolution Planning

The Bank Recovery and Resolution Directive (BRRD) was adopted in 2014 in response to the financial crisis of 2008, which had shown the lack of adequate tools to effectively deal with unsound or failing credit institutions and investment firms. The purpose of these tools is to prevent insolvency or, should insolvency occur, to minimize negative repercussions by preserving the systemically important functions of the institutions as well as preventing also the use of taxpayers' money to the greatest extent possible. Recovery planning is the first tool which aims to pursue these objectives. The recovery plans set out measures to be taken in order to restore the financial position following a significant deterioration. Such plans should include the governance arrangements, set a framework of indicators to alert the entity of a deterioration and test the recovery measures in a range of severe but plausible scenarios.

In December 2023, J.P. Morgan SE submitted the 2023 update of the Recovery Plan to the ECB. The Recovery Plan is prepared in compliance with the BRRD and its German transposition, the German Act on the Recovery and Resolution of Credit Institutions (Gesetz zur Sanierung und Abwicklung

von Kreditinstituten – SAG). The Recovery Plan complies also with the relevant European Commission Delegated Regulations, the Guidelines of the European Banking Authority (EBA) and incorporates feedback provided by the ECB on the 2022 Recovery Plan submission. The 2023 J.P. Morgan SE Recovery Plan aligns to the methodology and framework adopted in the JPMorgan Chase & Co. Global Recovery Plan and other recovery planning exercises within the EMEA region and taking into account the global set-up and interconnectedness between J.P. Morgan's entities. This approach ensures JPMSE adopts a Recovery Plan governance model consistent with the approach adopted in the Firmwide recovery governance model, which enables the local JPMSE team to ensure consistency across the different recovery plans while taking into account the relevant local regulatory requirements.

The financial crisis also showed that EU authorities lacked the tools and preparation to wind down institutions in an orderly manner, therefore a cross-border resolution mechanism has been established via the BRRD, and also the Single Resolution Mechanism Regulation (SRMR), providing the resolution authorities with comprehensive powers and resolution tools to intervene when an institution is deemed failing or likely to fail (FOLTF) and subsequently meets the conditions for resolution. The Single Resolution Board (SRB), in cooperation with BaFin as the National Resolution Authority (NRA), is responsible for preparing J.P. Morgan SE's resolution plans by outlining the respective Preferred Resolution Strategy (PRS) and detailing how J.P. Morgan SE could be resolved by implementing the relevant resolution tool(s), while ensuring taxpayers avoid carrying the financial burden of the institution's failure.

Likewise it determines the institution's Minimum Requirements for own funds and Eligible Liabilities (MREL), the purpose of which is to ensure that an institution has sufficient loss

absorbing and recapitalization capacity at all times, which can credibly and feasibly be written down or converted into equity in case of resolution.

In 2023, as part of the SRB's Multi-Annual Work Program, J.P. Morgan SE continued to take relevant steps to build up and demonstrate resolution capabilities across dimensions such as governance, loss absorbing capacity, liquidity and funding, operational continuity in resolution (OCIR), access to financial market infrastructures (FMIs) and Communication in order to meet the SRB's Expectations for Banks (EfB), which requires institutions to be fully resolvable, and plans to demonstrate this to the SRB by end of July 2024. Additionally, J.P. Morgan SE continued to test the operationalization of its resolution plan, via testing of the above dimensions, as required by the SRB, and in anticipation of the SRB shifting focus towards this priority in the coming years.

6.4. INTERNAL CAPITAL ADEQUACY ASSESSMENT PROCESS (ICAAP)

The ICAAP including the risk bearing capacity analysis is a key steering instrument at J.P. Morgan SE with the goal of maintaining, at all times, an appropriate risk profile, adequate capitalization and thereby ensuring business continuity on an ongoing basis.

The normative perspective is a multi-year assessment of J.P. Morgan SE's ability to meet all capital-related regulatory and supervisory requirements on an ongoing basis under a baseline and adverse scenarios.

The economic perspective assesses capital adequacy, covering all material risks, over a 1-year horizon using internal quantification methodologies and an internal definition of economic capital resources.

J.P. Morgan SE's ICAAP architecture consists of several building blocks which coherently fit together and ensure that J.P. Morgan SE maintains at all times sufficient capital to cover the risks that it is exposed to.

- Risk identification and assessment: This forms the basis of the ICAAP and results in an inventory of risks to which J.P. Morgan SE is exposed to. These risks are subsequently assessed for materiality based on defined materiality thresholds. Further details can be found in the section "Risk Identification".
- Risk quantification: Under the economic perspective and by the usage of internal quantification methodologies, J.P. Morgan SE quantifies material risks that may cause economic losses and deplete internal capital. In order to determine the regulatory capital demand, the quantification of risks in the normative perspective follows regulatory and accounting rules. Capital is held against all material risks except for those that cannot be adequately covered by capital, e.g. liquidity risk. However, any spill over effects on capital are taken into consideration.
- Capital resources: The available capital resources represent the amount of capital available to absorb unexpected losses and meet regulatory requirements on capital. A significant portion of J.P. Morgan SE's capital resources is in the form of Tier 1 capital which is the capital form capable of absorbing losses in a business continuity environment. While the normative perspective utilizes regulatory capital aligned with CRR rules and accounting standards, the economic perspective employs a more conservative definition of capital resources building on the normative perspective whereby only capital items capable of absorbing losses in a business continuity environment are considered.
- Risk appetite: J.P. Morgan SE has established a risk appetite framework which expresses the level of risk J.P. Morgan SE is willing to take to achieve its strategic objectives. Breaches of appetite are subject to a dedicated governance framework triggering escalations and management actions aimed at maintaining capital adequacy. The risk limits which are set below the Risk Appetite introduce additional levels of escalation. Further details can be found in the section "Risk Appetite".
- Capital planning: The capital plan is compatible with J.P. Morgan SE's business strategy, risk appetite and capital resources. Internally set targets and limits of capital adequacy metrics constitute constraints in order to safeguard capital adequacy on a forward-looking basis.
- Stress testing: Capital adequacy metrics both under the normative and the economic perspective are subject to regular stress testing to evaluate J.P. Morgan SE's capital position and detect key vulnerabilities. Capital plan figures are considered under various tailored adverse scenarios in order to assess the resiliency of J.P. Morgan SE and the viability of its business strategy.
- Reverse stress testing: Reverse stress testing is a risk management tool which aims to improve the awareness of current and potential vulnerabilities, by assessing which scenarios may lead the entity to the point of non-viability. The Reverse Stress Test is an integral part of J.P. Morgan SE's stress testing and is carried out as part of the ICAAP on an annual basis. This analysis is performed on a risk-by-risk basis and takes into account the nature, size, scale and complexity of J.P. Morgan SE's business activities and risks. The list of potential scenarios and relative assumptions is the result of an assessment which considers all type of external adverse events, as well as the J.P. Morgan SE-specific risk factors, events and circumstances that could cause the business model of the entity to become unviable.
- Capital adequacy assessment: J.P. Morgan SE's Management Board produces and signs annually a Capital Adequacy Statement (CAS) reflecting its view on capital adequacy, which is linked to specific conclusions and management actions to be taken to safeguard capital adequacy on a forward-looking basis.

J.P. Morgan SE submits the results of the annual ICAAP, signed by the Management Board, to the supervisory authorities as part of the monitoring by the ECB. Further, the ICAAP as a key risk management instrument is at least refreshed and reported to the management body on a quarterly basis.

6.4.1. Normative Perspective

J.P. Morgan SE can, from a capital adequacy perspective, comfortably execute its business strategy for 2024–2026. According to its capital plan, J.P. Morgan SE's Tier 1 ratio is not expected to fall below 19 % and the Total Capital ratio not below 33 % in the next three years.

Capital methodologies in the normative perspective

- Credit Risk and Counterparty Credit Risk: J.P. Morgan SE applies the standardized approach (CRSA of CRR) to calculate its pillar 1 capital requirements for credit risk. External credit ratings are used to determine the credit quality steps and the associated risk weights based on the exposure class. The risk weights are then applied to the exposure to derive risk weighted assets (RWAs).
 - For OTC derivatives, both the internal model method (IMM) and SA-CCR are used to calculate exposure.
 - For securities financing and other collateralized transactions, the financial collateral comprehensive method, including supervisory volatility adjustments, is used to calculate exposure values.
- Market Risk: J.P. Morgan SE currently uses the standardized approach to calculate its regulatory market risk capital requirements. Capital requirements for FX risk, Interest Rate risk, Equity risk, and Commodity risk are calculated and aggregated without consideration of diversification effects. The calculation depends on the underlying product and risk and can be split into the following main sub risk types:

- Interest Rate Risk: J.P. Morgan SE uses the maturity approach, but for sub-sets of products, it has received the permission by the ECB to apply sensitivity models for interest rate risk in 2021.
- Equity Risk: The standardized approach is used with a look-through for stock indices for the purposes of specific and general equity risks.
- Commodity Risk: The maturity ladder approach is used to calculate capital requirements.
- Non-delta risks (i.e. gamma and vega): The entity uses both the Delta-Plus method and the equity asset class scenario approach to quantify non-delta risks.
- Credit Valuation Adjustment (CVA) Risk: J.P. Morgan SE currently uses the standardized approach to calculate a CVA risk charge for OTC derivatives. Both the Internal Model Method (IMM) as well as SA-CCR are used to calculate the exposures.
- Operational Risk: Under the Basic Indicator Approach (BIA) as defined in the CRR, the capital requirement is equal to 15 % of the average over the previous three years of the relevant indicator. J.P. Morgan SE applies currently until 2023 the modified BIA for calculating its OpRisk-RWA, where also forward-looking revenues are used instead of historical revenues. This approach avoids an underestimation of the OpRisk RWA during this transitional phase where historical revenues aren't representative of the current state of the entity following the transformation it has undergone through Brexit and the completed merger into J.P. Morgan SE. Starting from 2024, J.P. Morgan SE will use the BIA with the historical revenues for calculating the OpRisk RWA.

6.4.2. Economic Perspective

J.P. Morgan SE assesses its internal capital adequacy from an economic perspective as the ratio of total economic capital demand to internal capital resources. As per December 31,

2023, utilization is 37 % compared to 39 % a year earlier. The economic capital demand increased slightly by +7 % in 2023. Over the same period, the internal capital increased by € 1.2 billion mainly driven by the profit after tax in 2023. The economic capital demand and internal capital is calculated at least on a quarterly basis and reported, as part of J.P. Morgan SE's risk reporting, to the Management Board.

J.P. Morgan SE does currently not take into account inter-risk diversification (i.e. between risk types) in the calculation of its total economic capital demand. The risk aggregation approach in use sums up risk-level economic capital results.

€M	Q4 2023	Q4 2022
Internal Capital¹ Usage under the Economic Perspective	37 %	39 %
Total Internal Capital	24,629	23,383
Total Risk Capital Demand	8,460	7,902
Credit Risk	3,261	3,078
Market Risk	1,467	1,941
IRRBB + CSRBB ²	980	403
Operational Risk	1,307	1,168
Business Risk	1,374	1,288
Pension Risk	70	25

¹ After deducting the Loss Absorbing Capacity

² EBA guidelines (EBA/GL/2022/18) "Guidelines on the management of interest rate risk and credit spread risk on non-trading book positions", as they pertain to CSRBB, are considered live from December 31, 2023; this component of the market risk on non-trading book positions was neither applicable nor calculated for Q4 2022. IRRBB stand-alone per Q4 2023 amounts € 662 m.

Economic capital risk measurement methodologies

All material risks are considered in the total economic capital demand:

- Credit Risk: Credit Risk is quantified using the wholesale Economic Credit Capital model (ECC), with add-ons for risks

not yet covered by the model. ECC seeks to capture the distribution of portfolio losses arising from credit risk through either defaults or changes in value. The model produces loss distributions that are then used to assess the entity's capital adequacy in the ICAAP. The principal drivers of portfolio capital are the risk characteristics of individual exposures and the correlations among different borrowers.

- Market Risk: J.P. Morgan SE determines its market risk capital requirements under the economic internal perspective using a Basel 2.5 market risk model, which is based on a combination of full-revaluation and sensitivity approaches across all trading book positions within a consistent risk factor simulation framework capturing both linear and high-order risk factors during market movements.
- IRRBB & CSRBB: J.P. Morgan SE's capitalization methodology determines the amount of internal capital required to cover for a reduction in JPMSE's economic value of equity for adverse changes in the underlying market interest rate, market credit- and/or liquidity-spread environment.
- Operational Risk: The operational risk capital quantification for J.P. Morgan SE is based on results of a scenario analysis process in addition to analysis of historical recurring losses and existing legal matters. The risk scenarios that are quantified during the scenario analysis process are derived from the list of material risks and therefore are a representation of the most material risks within J.P. Morgan SE. The lower and upper bound of an exceptional but plausible loss is used as an input into the economic capital model to derive the operational risk capital for the entity.
- Business Risk: The quantification is based on historically observed deviations between planned and actual P&L items such as operating income and operating expenses excluding loan loss provisions. The methodology uses historical simulation of the observed (weighted) deviations and calculates business risk factors by determining the 99.9th quantile

from the historical distribution. Applied to the current P&L plan, it results in an estimated capitalization amount for Business Risk over a 1-year risk horizon.

- Pension Risk: Economic capital is derived by stressing both assets and liabilities in J.P. Morgan SE's defined benefit pension schemes and capitalizing any resulting deficits which the entity could be liable to fund.

While the general aim is to quantify all material risks, some of the defined risks are not (directly) quantified as part of the ICAAP. This is the case when the risk is covered in a separate process: General Liquidity Risk is covered as part of the ILAAP. Capital risk is considered intrinsically within the ICAAP framework.

6.4.3. Internal Capital Resources

J.P. Morgan SE uses its regulatory own funds as a starting point for deriving its internal capital. Adjustments are made for positions that do not reflect the fair value concept underlying the economic perspective. Furthermore, capital items that do not provide loss absorbing capacity in a going concern situation (e.g. Tier 2 capital) are de-recognized for internal capital purposes.

In J.P. Morgan SE's view, all risks are adequately covered by capital and the capital in the entity is of high quality as it mainly consists of CET1 capital.

6.5. RISK CATEGORIES

The following paragraphs provide details of the individual risk types. The 2023 Risk Management Report is aligned with International Financial Reporting Standard 7 (IFRS 7) Financial Instruments: Disclosures. Key sections include financial instruments grouped appropriately to the nature of the information presented and aligned with audited financial reports.

The report also contains key figures which are referenced to the Pillar 3 of Basel 3 information published in the Financial Reporting section of the J.P. Morgan SE.

6.5.1. Credit Risk

Credit risk is the risk associated with the default or change in credit profile of a client, counterparty or customer. J.P. Morgan SE is exposed to credit risk through its underwriting, lending, market-making, capital markets and hedging activities with and for clients and counterparties, as well as through its operating services activities (such as cash management and clearing activities), securities financing activities, and cash placed with banks.

J.P. Morgan SE Credit Risk's overall strategy is to manage risks arising from the execution of the business strategy in a manner that balances serving the interest of its clients, customers and investors and protects the safety and soundness of the entity. To achieve this, J.P. Morgan SE Credit Risk seeks to maintain a risk profile that is diversified in terms of obligor type and rating, product type, industry, credit family, collateral and geographic concentration.

Credit Risk Management

Credit Risk Management is an independent risk management function that monitors, measures and manages credit risk in J.P. Morgan SE and defines credit risk framework and procedures. This includes:

- Maintaining a credit risk management framework;
- Monitoring, measuring and managing credit risk across all portfolio segments, including transaction and exposure approvals;
- Setting industry and geographical concentration limits as appropriate, and establishing underwriting guidelines;

- Assigning and managing credit authorities in connection with the approval of credit exposure;
- Managing criticized exposures and delinquent loans; and
- Estimating credit losses and supporting appropriate credit risk-based capital management.

The comprehensive Firmwide Credit Risk Framework is supplemented by regional frameworks as required. As such, J.P. Morgan SE's Credit Risk Management framework supplements the Firmwide credit risk policy framework and is approved by J.P. Morgan SE's Management Board and the ROC. It specifies that credit decisions are made on the basis of clearly-defined, separate responsibilities for "Front Office" ("Markt") and "Back Office" ("Marktfolge") as well as the process of assigning and managing credit authorities in connection with the approval of all credit exposure.

Risk appetite

J.P. Morgan SE Quantitative Risk Appetite framework incorporates Net Charge-Off (NCO) parameters for Credit Risk, including projections under relative adverse stress scenario for Wholesale NCOs. Please refer to section 6.3.2. for a description of the Risk Appetite framework.

Risk identification and measurement

The Credit Risk Management function monitors, measures, manages and limits credit risk across J.P. Morgan SE's businesses. Credit risk measurement employs several methodologies for estimating the likelihood of obligor or counterparty default. Methodologies for measuring credit risk vary depending on several factors, including type of asset, risk measurement parameters, and risk management and collection processes. Credit risk measurement is based on the probability of default (PD) of an obligor or counterparty, the loss severity given a default event (LGD) and the exposure at default (EAD).

Risk ratings are reviewed regularly by Credit Risk Management and revised as needed to reflect the borrower's current financial position, risk profile and related collateral. The calculations and assumptions are based on both internal and external historical experience and management judgment are reviewed regularly.

For portfolios that fluctuate in value based upon an underlying reference asset or index, potential future exposure is measured using probable and unexpected loss calculations based upon estimates of probability of default and loss severity given a default.

Expected credit losses

J.P. Morgan SE uses an expected credit loss model (ECL) in accordance with IFRS 9 to determine the credit risk provisioning on financial assets and credit-related obligations. The ECL is calculated for financial instruments valued at amortized cost or FVOCI. For financial instruments in Levels 1 and 2, the calculation is model-based, while for financial instruments in Level 3, the ECL is generally determined individually. Level 1 as performing instruments, level 2 as performing instruments that have experienced a Significant Increase in Credit Risk since initial recognition and level 3 as non-performing instruments.

The measurement of ECLs reflects an unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes. To this end J.P. Morgan SE uses five economic scenarios and calculates the ECL by weighting the outcomes.

The effects of the prevailing economic environment are captured in macroeconomic scenarios which in turn are reflected in the calculation of ECLs. Additionally, similar to 2022, J.P. Morgan SE has decided to retain the adjustment to

the standard weighting scheme similar to previous year and attribute higher weights to the adverse scenarios to further reflect uncertainties in the outlook.

The measurement of ECL also reflects how the Firm categorizes and manages the financial instruments for credit risk purposes, specifically Traditional Credit Products ("TCP"), and Non-Traditional Credit Products ("Non-TCP"). Instruments in scope for TCP include loans and lending-related commitments stemming from extensions of credit to borrowers; whereas Non-TCP includes, but is not limited to, other debt instruments valued at amortized cost such as reverse repurchase agreements and margin loans.

The determination of the ECL is based on the Staging of financial instruments. Stage 1 captures the instruments for which credit risk has reduced or has not significantly increased since initial balance sheet recognition. The ECL for Stage 1 assets is the expected credit losses over the next year (12-month ECL). Stage 2 captures the instruments for which credit risk has increased significantly since initial balance sheet recognition. The ECL for Stage 2 assets considers the expected credit losses over the entire residual term of the instrument (Lifetime ECL). Stage 3 assets are those which are classified as impaired as of the reporting date.

The ECL is determined for Stage 1 and Stage 2 customers as well as 90dpd only defaults in Stage 3 on a collective basis using statistical risk parameters and forecasts of the economic environment. The underlying modelling framework is regularly reviewed, and updated if necessary. For impaired instruments other than technical 90dpd, the ECL is determined individually on counterparty level. For Stage 3 exposures, J.P. Morgan SE considers several counterparty specific scenarios as a base for calculation of the allowance. An impaired loan's allowance

is measured using the present value of expected cash flows, discounted using the contractual interest rate as of the date the loan was deemed to be impaired. If the present value of expected cash flows is less than the gross carrying amount of the instrument, the ECL is equal to the shortfall.

In determining how exposures should be grouped for collective valuation, J.P. Morgan SE considers many factors including, but not limited to, internal credit ratings, loan duration, borrower country, and industry sector. Internal risk assessments generally correspond to those defined by Standard & Poor's ("S&P") and Moody's Investors Service.

During the course of the year, Expected Credit Losses arising from loans and other lending-related commitments decreased to € 220 million at the end of March, then rose to € 244 million by end of June, at the end of September the ECL decreased to € 190 million and by year-end it rose to € 229 million. The fluctuation is mainly caused by idiosyncratic movements of exposures and ratings. At year-end, allowance for credit losses of non-performing loan (NPL) was € 30.8 million, while recovery for the year totalled € 13.4 million, across five of the NPL positions.

Modelling approach used for calculation of Stage 1 and Stage 2 allowances

J.P. Morgan SE uses the models of the Firm to determine the ECL results for the credit portfolio. The historical credit data of the Firm is pooled to generate a broad database for the calibration and validation of the risk models. The models are then specifically tailored to regions and industry sectors.

To model the default risk of credit exposures, the Firm separately models the point-in-time PD as well as risk migrations between grades. These results are combined with a through-the-cycle approach for the PD beyond the reasonable and supportable

(R&S) period (eight quarters). The point-in-time PD and migrations are driven by the macroeconomic variables (MEV) in the different scenarios that reflect regional information for Europe.

For LGD modelling purposes J.P. Morgan SE differentiates by client specifics, credit product as well as type of collateral. The model generates point-in-time forecast dependent on the MEVs of the underlying scenario for the R&S horizon and through the cycle forecasts beyond that horizon.

The exposure at default is modelled based on the type of the credit facility, utilization and line of business. Future utilization is considered dependent on the underlying scenario for the R&S horizon. After the R&S forecast period, a long run EAD is determined.

Portfolio-based component

The portfolio-based component begins with a quantitative calculation that considers the likelihood of the borrower changing delinquency status or moving from one risk rating to another. The quantitative calculation covers expected credit losses over an instrument's expected life and is estimated by applying credit loss factors to the Firm's estimated exposure at default. The credit loss factors incorporate the probability of borrower default as well as loss severity in the event of default. They are derived using a weighted average of five internally developed macroeconomic scenarios which consist of a central, relative adverse, extreme adverse, relative upside and extreme upside scenario, and are updated by the Firm's central forecasting team. The scenarios take into consideration the Firm's macroeconomic outlook, internal perspectives from subject matter experts across the Firm, and market consensus and involve a governed process that incorporates feedback from senior management across LOBs, Corporate Finance and Risk Management. The scenarios are reviewed by the JPMSE IFRS 9

Working Group which decides on appropriate weighting of the scenarios from the perspective of the JPMSE portfolio as well as the need for additional local overlays and corrections.

Stress testing

Stress testing is important in measuring and managing credit risk in J.P. Morgan SE's credit portfolio. The process assesses the potential impact of alternative economic and business scenarios on estimated credit losses for J.P. Morgan SE.

Economic scenarios and the underlying parameters are defined centrally, articulated in terms of macroeconomic factors and applied across the businesses. The stress test results may indicate credit migration, changes in delinquency trends and potential losses in the credit portfolio. In addition to the periodic stress testing processes, management also considers additional stresses outside these scenarios, including industry and country specific stress scenarios, as necessary. Stress testing is used to inform decisions on setting risk appetite, as well as to assess the impact of stress on individual counterparties.

Credit Risk Approval and Control

- Approval of clients: All clients are subject to credit analysis and financial review by Credit Risk Management before new business is accepted.
- Establishment of credit lines: All credit exposure must be approved in advance by a J.P. Morgan SE Credit Officer with the level of credit authority required by the applicable credit authority grid. Such approvals, together with details of the credit limits, are recorded in the Credit Systems.
- In certain instances, credit lines can be approved according to predetermined rules that are subject to annual review by the appropriate J.P. Morgan SE Credit Officers and the CRO of J.P. Morgan SE.

– Intraday exposure control: Intraday overdrafts are an extension of credit during the business day that generate Operating Credit Exposure. Intraday overdrafts can arise from usage of an intraday facility, a credit approved excess usage of the intraday facility, or a credit approved payment outflow where there is no facility. Intraday overdrafts become overnight overdrafts if the account is not fully funded by close of business. Overnight overdrafts result from account debits exceeding fully available account credits by close of business, generating Primary Credit Exposure. Intraday transactions are monitored and actioned, as appropriate. Any exposure which exceeds a facility and is outside of a tolerance range requires the approval of an authorized Credit Officer.

Risk Monitoring and Management

J.P. Morgan SE implements policies and practices developed by the Firm. The credit risk governance documents are designed to preserve the independence and integrity of the approval and decision-making process for extending credit so that credit risks are assessed accurately, approved properly, monitored regularly and managed actively at both the transaction and portfolio levels. The policy framework establishes credit approval authorities, concentration limits, risk-rating methodologies, portfolio review parameters and guidelines for management of distressed exposures.

In addition, certain models, assumptions and inputs used in evaluating and monitoring credit risk are independently validated by groups separate from the LOBs.

As part of its management of credit and counterparty credit exposures, credit risk mitigation techniques are actively used to reduce the amount of credit risk, to spread the concentration of risk across the portfolio, and ultimately to ensure efficient use of capital in compliance with the applicable regulations.

This is accomplished through a number of means, including receipt of collateral, master netting agreements, guarantees and credit derivatives and other risk-reduction techniques.

Concentrations of credit risk arise when a few clients, counterparties or customers are engaged in similar business activities or activities in the same geographic region, or when they have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic conditions. J.P. Morgan SE regularly monitors various segments of its credit portfolios to assess potential credit risk concentrations and to obtain additional collateral when deemed necessary and permitted under J.P. Morgan SE's agreements. Senior management is involved in the credit approval and review process, and risk levels are adjusted as needed to reflect J.P. Morgan SE's risk appetite. Credit risk is monitored regularly at an aggregate portfolio, product, segment, industry and individual client and counterparty level with established concentration limits that are reviewed and revised as deemed appropriate by management, typically on an annual basis. Industry and counterparty limits, as measured in terms of exposure and economic risk appetite, are subject to stress-based loss constraints.

Wrong-way risk is actively monitored. J.P. Morgan SE may be exposed to additional credit risk as a result of the wrong way nature of certain OTC Derivatives, Cleared Derivatives, Futures & Options and Securities Financing trades, or the wrong way nature of collateral taken against these trades. Specific Wrong Way Risk (swwr) is when the potential exposure on a transaction with a counterparty is highly and adversely correlated with the counterparty's creditworthiness. This risk is generally measured on the basis of an immediate jump-to-default assumption. General Wrong Way Risk (gwwr) arises for a given counterparty when the exposure and likelihood of default of the counterparty are positively correlated with general market risk factors.

The Credit Risk Reporting Tool provides the ability for live aggregation of loans and portfolios by isolation of client or facility level attributes, for example by obligor rating, industry (and sub-industry), product or geography, permitting J.P. Morgan SE to monitor the risks, within the portfolio. A credit risk report is prepared and a forum held on a monthly basis, attended by the Credit Officers, J.P. Morgan SE LOB Heads of Credit and Credit Risk Controlling, where key trends and any concentrations in the portfolio are highlighted, discussed, and further investigated as appropriate, with further escalation to the Risk Oversight Committee (ROC) as deemed appropriate – in particular, forborne and non-performing loans are escalated to the ROC on a monthly basis.

Risk Reporting

To enable monitoring of credit risk and effective decision-making, aggregate credit exposure, credit quality forecasts, concentration levels and risk profile changes are reported regularly to senior members of Credit Risk Management.

Credit risk reporting is carried out daily (e.g. for overdrafts), while a monthly credit risk report is used for monitoring credit risk and to support effective decision-making on the part of J.P. Morgan SE. Monthly reporting includes aggregate credit exposure, concentration levels and risk profile changes and is reported regularly to senior members of Credit Risk Management. Detailed portfolio reporting of industry, clients, counterparties and customers, product and geographic concentrations also occurs monthly, and the appropriateness of the allowance for credit losses is reviewed by senior management at least on a quarterly basis.

Through the risk reporting and governance structure, credit risk trends and limit exceptions are provided regularly to, and discussed with, the Risk Oversight Committee, the LOB Heads

of Credit Risk and Credit Risk Controlling, the CRO and the Management Board of Directors as appropriate.

Credit Portfolio

J.P. Morgan SE's credit risk profile continued to evolve in 2023 as a result of business growth and further portfolio migrations into J.P. Morgan SE. As at year end 2023, the credit portfolio consists of € 54.0 billion primary exposure which is comprised of Traditional Credit Products (TCP), Derivatives Risk Equivalent (DRE) and Securities Risk Equivalent (SRE). DRE is a measure of derivative exposure intended to be equivalent to the risk of loan exposures. SRE is the primary measure of credit exposure (i.e. expected plus unexpected potential loss) on counterparty securities trading, securities financing and margin lending transactions. The key risk components as at year end are € 35.4 billion of TCP (committed facilities and utilizations under advised lines), € 15.1 billion of DRE and € 3.5 billion of SRE. Unused uncommitted exposure is characterized by Undrawn Internal Guidance and Advised Lines, which are credit facilities J.P. Morgan SE has made available to obligors on a revolving but non-binding basis for traditional credit products, and amounted to € 20.6 billion at year end.

J.P. Morgan SE focuses on the management and diversification of its industry exposures and pays particular attention to industries with actual or potential credit concerns. The breakdown of the credit portfolio by industry is shown in the following table.

The credit portfolio continues to show a high concentration in the Individuals category driven by the AWM business. Individuals, Asset Managers and Banks & Finance Cos represent 23 %, 18 %, and 9 % of the portfolio, respectively.

The breakdown of the credit portfolio by geography is shown in the below table. Geographic concentrations in the portfolio are monitored and reported on a monthly basis. The credit

€M	2023		2022	
Industry	Exposure	% of portfolio	Exposure	% of portfolio
Individuals	12,402	23.0 %	28,945	41.9 %
Asset Managers	9,788	18.1 %	11,190	16.2 %
Banks & Finance Cos	4,915	9.1 %	3,078	4.5 %
Other	4,313	8.0 %	2,874	5.2 %
Consumer & Retail	3,978	7.4 %	3,104	4.5 %
Technology, Media & Telecommunications	2,989	5.5 %	2,303	3.3 %
Utilities	2,346	4.3 %	2,507	3.6 %
Industrials	2,202	4.1 %	2,874	4.2 %
Central Government	2,157	4.0 %	2,291	3.3 %
Other Industries	8,943	16.6 %	9,110	13.2 %
Total ¹	54,032	100 %	69,003	100 %

¹ Does not include the Unused uncommitted exposure.

€M	2023					2022	
Country	TCP	DRE	SRE	Total Exposure	% of portfolio	Exposure	% of portfolio
Funds Global ¹	4,403	4,670	70	9,142	16.9 %	10,101	14.6 %
France	3,609	2,141	809	6,559	12.1 %	6,974	10.1 %
United States	4,999	579	71	5,650	10.5 %	9,242	13.4 %
Diversified Assets ²	3,946	7	0	3,953	7.3 %	12,178	17.6 %
Germany	1,507	1,323	771	3,601	6.7 %	3,360	4.9 %
Spain	2,675	567	41	3,283	6.1 %	3,359	4.9 %
United Kingdom	2,902	155	40	3,097	5.7 %	5,818	8.4 %
Belgium	1,534	251	643	2,428	4.5 %	2,611	3.8 %
Sweden	2,091	240	0	2,331	4.3 %	1,891	2.7 %
Other	7,785	5,165	1,039	13,989	25.9 %	13,468	19.5 %
Total	35,451	15,097	3,484	54,032	100 %	69,002	100 %

¹ Funds Global: classification used for Investment Managers of mutual funds and hedge funds, as well as the investment vehicles themselves, whose business is managing investments in traditional and alternative financial products where the underlying assets are generally diversified across multiple countries and where no single country represents a significant concentration over a sustained period.

² Diversified Assets: Asset Management LOB-specific designation assigned if the Lending Value (LV) of the firms collateral is less than 50% concentrated in a single security or group of securities in the same country.

portfolio is considered well diversified as of December 31, 2023. Funds Global, France and United States represent the

largest country concentrations with 17 %, 12 %, and 10 % of the credit portfolio, respectively.

€M	2023		2022	
Internal Rating Equivalent	Exposure	% of portfolio	Exposure	% of portfolio
AAA/Aaa to AA-/Aa3	15,696	29.0 %	27,709	40.2 %
A+/A1 to A-/A3	8,905	16.5 %	10,540	15.3 %
BBB+/Baa1 to BBB-/Baa3	16,941	31.4 %	17,972	26.0 %
BB+/Ba1 to B-/B3	10,824	20.0 %	11,200	16.2 %
CCC+/Caa1 and below	1,604	3.0 %	1,538	2.2 %
NR ¹	61	0.1 %	42	0.1 %
Total	54,032	100 %	69,002	100 %

¹ The NR category includes obligors not graded because J.P. Morgan SE relies on guarantor's grade, and obligors not graded because all exposure is fully secured by cash or marketable securities (with acceptable margin).

The above table summarizes the ratings profile of the credit portfolio. Internal ratings equivalent to BBB-/Baa3 or higher are considered investment grade. Overall, we believe the portfolio has a good credit quality, with 76.9% of the portfolio being classified investment grade and 23.1% sub-investment grade as at December 31, 2023, out of which non-performing exposure represents less than 0.5% of the credit portfolio and 8 clients were considered in default as at December 31, 2023.

6.5.2. Market Risk

Market risk is the risk associated with the effect of changes in market factors such as interest and foreign exchange rates, equity and commodity prices, credit spreads or implied volatilities, on the value of assets and liabilities held for both the short and long term.

Market Risk monitors market risks in J.P. Morgan SE and defines market risk policies and procedures. J.P. Morgan SE's Market Risk function reports to the CRO, and seeks to manage risk, facilitate efficient risk/return decisions, reduce volatility in operating performance and provide transpar-

ency into J.P. Morgan SE's market risk profile to the senior management bodies and its committees in J.P. Morgan SE, and the regulators. J.P. Morgan SE's Market Risk objectives are achieved through a comprehensive and holistic approach to risk management as described in the following section.

Risk Governance & Policy Framework

J.P. Morgan SE's approach to market risk governance mirrors the Firmwide approach and is defined in J.P. Morgan SE's Market Risk Management Framework which outlines the following:

- Responsibilities of the CRO and the Market Risk Officer ("MRO");
- Market Risk measures utilized such as VaR, Stress Testing and non-statistical measures; and
- Controls such as J.P. Morgan SE's market risk limits framework (limit levels, limit signatories, limit reviews; and escalation).

The Management Board approves substantive changes to the Framework and approves the Framework annually.

Risk measurement

There is no single measure to capture market risk and therefore J.P. Morgan SE uses various metrics, both statistical and nonstatistical, to assess risk including:

- Value-at-risk (VaR);
- Stress testing;
- Other sensitivity-based measures.

Value-at-Risk (“VaR”)

J.P. Morgan SE utilizes VaR, a statistical risk measure, to estimate the potential loss from adverse market moves in the current market environment.

The VaR framework is employed using historical simulation based on data for the previous twelve months. The framework’s approach assumes that historical changes in market values are representative of the distribution of potential outcomes in the immediate future.

VaR is calculated assuming a one-day holding period and an expected tail-loss methodology which approximates a 95 % confidence level. VaR provides a consistent framework to measure risk profiles and levels of diversification across product types and is used for aggregating risks and monitoring limits

across businesses. VaR results are reported to senior management and regulators.

As VaR is based on historical data, it is an imperfect measure of market risk exposure and potential future losses. In addition, based on their reliance on available historical data, limited time horizons, and other factors, VaR measures are inherently limited in their ability to measure certain risks and to predict losses, particularly those associated with market illiquidity and sudden or severe shifts in market conditions.

For certain products, specific risk parameters are not captured in VaR due to the lack of inherent liquidity and availability of appropriate historical data. Proxies are used to estimate the VaR for these and other products when daily time series are not available. It is likely that using an actual price-based time series for these products, if available, would affect the VaR results presented. J.P. Morgan SE therefore considers other non-statistical measures such as stress testing, in addition to VaR, to capture and manage its market risk positions.

The following table shows the result of J.P. Morgan SE’s VaR measure, using a 95 % confidence level, based on a one day holding period.

95 % 10Q VaR	As of Year-End			2023			2022	
€M	2023	2022	Avg.	Min.	Max.	Avg.	Min.	Max.
VaR by Risk Type – Risk Type Explained								
Fixed Income	10	11	12	8	24	9	5	16
Foreign Exchange	1	1	1	0	8	1	0	4
Equities	2	3	2	1	4	3	2	8
Commodities and Other	0	0	0	0	0	0	0	0
Total VaR	8	10	11	7	22	10	5	15

The VaR as of 2023 year-end for J.P. Morgan SE is € 8 million. J.P. Morgan SE's market risk profile is predominantly driven by Credit, Interest Rates and Equity related exposures. Out of the standard stress scenarios that J.P. Morgan SE is subject to, the Worst Case stress loss during 2023 was primarily driven by the Credit Crisis scenario.

J.P. Morgan SE is the primary risk management entity for the below trading activities:

- Global Rates & Rates Exotics: European government bonds, sovereign derivatives CDS, products linked to European inflation indices, Secondary Frequent Borrower's activity on the Quasi-Sovereign (e.g. Agency, Local, Supranational) issuers, EUR Swaps & xccy and EUR Options;
- Currencies & Emerging Markets: Sovereign debt and associated financing activity in CE4 (Poland, Czech Republic, Hungary, Romania) issuers;
- Global Credit Trading & Syndicate: Market making on a subset of Corporate bonds & CDS, Secondary Loan facilities with EEA regulated borrowers and/or counterparties, European credit indices (including Options as well as iBoxx) and Credit Linked Notes. As such the entity holds both hedging as well as market making exposures. Additionally, trades with derivative exposure to European Sovereigns are also risk managed in the entity;
- Global Equities: Facilitate block trades, rights issues and financing trades (margin loans) driven by EEA clients. Market making in Warrants, Single Stock & Index flow options, Exotic structures on less-liquid/proxy Indices and Delta One products on European underlyings (excluding MSCI);
- Securitized Products Group: EUR denominated securitized product inventory (i.e. Residential Mortgage-Backed Security [RMBS], Asset-Backed Security [ABS], and Commercial

Mortgage-Backed Securities [CMBS]), balance guaranteed swaps and lending activities;

- Global CVA/FVA: JPMSE risk manages xVA since 2023. The desk engages in risk management/hedging activities related to J.P. Morgan SE's counterparty credit risk exposure on derivatives. Hedge instruments traded by the desk include Single name CDS, Index CDS, Interest rate derivatives including single and cross currency swaps and swaptions, FX derivatives including FX forwards and FX options, Equity Derivatives including futures and options, Commodity Derivatives including financially settled forwards;
- Fixed Income Financing: Financing trades with high EEA nexus.

J.P. Morgan SE reports the market risk exposure which the entity manages in the J.P. Morgan SE Daily Legal Entity Market Risk Summary report. Due to diversification benefit, J.P. Morgan SE level VaR would be lower than the simple aggregation of VaR from individual business areas.

Stress Testing

Along with VaR, stress testing is an important tool used to assess risk. While VaR reflects the risk of loss due to adverse changes in markets using recent historical market behavior, stress testing reflects the risk of loss from hypothetical changes in the value of market risk sensitive positions applied simultaneously. Stress testing measures J.P. Morgan SE's vulnerability to losses under a range of stressed but possible market scenarios. The results are used to understand the exposures responsible for those potential losses and are measured against limits.

The stress framework covers market risk sensitive positions in J.P. Morgan SE. The framework is used to calculate multiple magnitudes of potential stress for both market rallies and market sell-offs, assuming significant changes in market factors such as credit spreads, equity prices, interest rates, currency

rates and commodity prices, and combines them in multiple ways to capture an array of hypothetical market scenarios. The scenarios focus on tail events in specific asset classes and geographies, including how the event may impact multiple market factors simultaneously. Scenarios also incorporate specific idiosyncratic risks and stress basis risks between different products. The flexibility in the stress framework allows risk managers to construct new scenarios that can test the outcomes against possible future stress events.

J.P. Morgan SE runs weekly stress tests on market-related risks across the LOBs using multiple stress scenarios. Scenarios include, but are not limited to, Inflation Crisis, Equity Collapse, Credit Crisis, Bond Selloff, Eurozone Crisis, USD Crisis, Energy Crisis and Commodities Selloff. The stress results for each scenario are used to understand the position exposures responsible for those potential losses. Worst case scenario stress losses are monitored against limits set at the legal entity and business area level. Stress results are reported to the senior management bodies and its committees in J.P. Morgan SE, and the regulators.

The following table shows J.P. Morgan SE's Stress Testing results (Worst Case Stress Loss), as of 2023 and 2022 year-end. The change in stress loss between year-end 2022 and 2023 was predominantly driven by change in interest rate and credit exposures in Global Rates & Rates Exotics business.

€M	2023	2022
Worst Case Scenario	Credit Crisis	Inflation Crisis
Worst-Case-Stress Loss	-322.0	-158.6

As of 2023 year-end, the Worst Case Scenario was Credit Crisis with a € 322 million stress loss. The key assumptions are

that the stress test is a one-time, instantaneous event and that the sale of assets, or adaptive behavior such as hedging and re-hedging is not modelled, as per standard industry practise around market risk stress testing. The Credit Crisis scenario models an orthodox surge in credit spreads, contagion into other risky assets including equities, non-US dollar currencies and commodities and inflows into the safer G10 interest rate products. The catalyst for this scenario is not a default of a specific corporation, government, or asset complex, but the expectation that borrowing costs will sharply increase for all but the highest quality government issuers.

Other Non-statistical risk measures

Aside from VaR and stress testing, J.P. Morgan SE utilizes non-statistical risk measures, such as, but not limited to, Foreign Exchange Net Open Position (FX NOP) and Interest Rate Basis Point Value (IR BPV) to measure and monitor risk.

Risk Monitoring and Control

Limits

Market risk exposure is managed primarily through a series of limits set in the context of the market environment and business strategy. In setting limits, Market Risk takes into consideration factors such as market volatility, product liquidity, accommodation of client business, and management judgement. J.P. Morgan SE Market Risk maintains different levels of limits. J.P. Morgan SE level limits include VaR and stress limits, supplemented by certain nonstatistical risk measures. Limits are also set within J.P. Morgan SE Business Area level.

Market Risk sets limits and regularly reviews and updates them as appropriate. Limits that have not been reviewed within specified time periods by Market Risk are reported to senior management. The business is responsible for adhering

to established limits against which exposures are monitored and reported.

J.P. Morgan SE's limits include 95 % VaR and Stress as well as non-statistical measures established for the legal entity in aggregate, and for individual businesses operating out of the legal entity:

- J.P. Morgan SE's CEO, CRO and MRO are limit approvers of VaR & Stress limits for the legal entity in aggregate.
- J.P. Morgan SE Management Board members covering Markets business and MRO are limit approvers of non-statistical measure based limits for the legal entity in aggregate.
- Appropriate business area representatives and MRO are signatories to business area specific limits.

Limit breaches are required to be reported in a timely manner to limit approvers. In the event of a breach, Market Risk consults with senior members of appropriate groups within J.P. Morgan SE to determine the suitable course of action required to return the applicable positions to compliance, which may include a reduction in risk in order to remedy the breach or granting a temporary increase in limits to accommodate an expected increase in client activity and/or market volatility.

Limit utilizations and notifications of valid market risk limit breaches are sent to appropriate J.P. Morgan SE limit signatories and relevant members of senior management daily. A market risk valid limit breach requires that the business takes immediate steps to reduce exposure so as to be within limit, unless a temporary limit increase is granted. Aged or significant market risk limit breaches are escalated by Market Risk to the J.P. Morgan SE Market Risk Officer (MRO) if not already included as a signatory, J.P. Morgan SE Risk Oversight Committee and Firmwide Risk Executive – Market Risk.

Risk Reporting

J.P. Morgan SE has its own set of regular market risk reports, which include daily notification of limit utilizations and limit breaches, and, where applicable, granular market risk metrics which provide transparency into potential risk concentrations. J.P. Morgan SE reports the market risk exposure which the entity manages on a daily basis.

Concentration Risk

Concentration Risk refers to any significant concentration of factors (e.g. single name, positions, etc.) that may lead to financial losses for J.P. Morgan SE. This risk is inherently measured, monitored and controlled as part of the J.P. Morgan SE market risk management framework and related control. As described above, J.P. Morgan SE's market risk profile is predominantly driven by Credit, Interest Rates and Equity related exposures.

Single Name Position Risk (SNPR)

SNPR captures exposure to credit families (and entities within credit families) or stand-alone issuers/issuer families not part of credit families, assuming default of the issuer with zero recovery (DEO). Business Units should not exceed the SNPR DEO limits unless expressly pre-authorized by a Temporary Limit Approval (TLA). A valid limit breach requires that the Front Office takes immediate steps to reduce exposure so as to be within limit, unless a limit increase or TLA is granted. J.P. Morgan SE SNPR limit utilizations and breaches are reported to senior management on a daily basis.

6.5.3. Structural Interest Rate Risk and Credit Spread Risk in the Banking Book

Structural Interest Rate Risk (IRR), or Interest Rate Risk in the Banking Book ("IRBB"), is defined as the risk stemming from interest rate exposure resulting from traditional bank-

ing activities (accrual accounted positions); these include the extension of loans and credit facilities, taking deposits and issuing debt (collectively referred to as “non-trading” activities) and also the impact from the Treasury and Chief Investment Office (“T/CIO”) investment portfolio and other related T/CIO activities. IRRBB from non-trading activities can arise due to a variety of factors, including, but not limited to:

- Differences in timing among the maturity or repricing of assets, liabilities and off-balance sheet instruments;
- Differences in the amounts of assets, liabilities and off-balance sheet instruments that are maturing or repricing at the same time;
- Differences in the amounts by which short-term and long-term market interest rates change (for example, changes in the slope of the yield curve); and
- The impact of changes in the maturity of various assets, liabilities or off-balance sheet instruments as interest rates change.

The strategy for IRRBB is to preserve the long-term economic value (EV) of the balance sheet, while maximizing net interest income (NII) without adversely impacting the stability of NII. Specifically this is achieved by managing two key metrics that respectively measure the sensitivity of the entity’s EV and NII to changes in interest rates, under an array of scenarios designed to capture the vulnerabilities of the entity, such that they never exceed pre-determined levels represented by risk appetites.

Oversight and Governance

Management of IRRBB within J.P. Morgan SE is delegated to the J.P. Morgan SE Treasurer with primary oversight exercised through the J.P. Morgan SE Asset and Liability Committee (ALCO); the J.P. Morgan SE ALCO, chaired by the J.P. Morgan SE Treasurer, is responsible for reviewing the IRRBB expo-

sures and/or profile of J.P. Morgan SE, and IRRBB assumptions applied within the entity.

Independent oversight of IRRBB within J.P. Morgan SE is delegated to the J.P. Morgan SE Risk Oversight Committee (ROC).

The oversight of IRRBB is carried out by the J.P. Morgan SE ALM Risk Management function (a sub-group of International ALM Risk, within the broader Chief Investment Office [“CIO”], Treasury, and Corporate [“CTC”] Risk group). ALM Risk Management’s responsibilities include, but are not limited to:

- Measuring and monitoring IRRBB and establishing limits;
- Creating and maintaining governance over IRRBB assumptions.

Risk Identification and Measurement

The J.P. Morgan SE Treasurer manages IRRBB exposure by identifying, modelling, measuring and monitoring IRRBB across the balance sheet, including off-balance sheet items as required. This includes understanding material balance sheet impacts of new initiatives and products and executing transactions to manage IRRBB as appropriate, and ensuring compliance with internal and regulatory requirements. LOBs are responsible for developing and monitoring the appropriateness of LOB-specific IRRBB modelling assumptions.

Measures to manage IRRBB include:

- Earnings-at-Risk (EaR): estimates the change of net interest income (NII) and certain rate sensitive fees over a given horizon due to changes in interest rates;
- Economic Value Sensitivity (EVS): measures the change in economic value of equity (EVE) due to changes in interest rates.

J.P. Morgan SE's exposure to IRRBB on the non-trading book is monitored through the above mentioned economic and earnings-based measures against board approved Risk Appetites on a monthly basis. IRRBB for J.P. Morgan SE is assessed under a range of scenarios, including ± 200 bp scenarios, and scenarios defined in the 2016 BCBS IRRBB Standard (as prescribed in the EBA's Final Draft Regulatory Technical Standards (RTS) on Supervisory Outlier Tests (SOTs) (EBA/RTS/2022/10)). These scenarios include parallel, as well as steeper and flatter shifts in yield curves, and they include the prescribed interest rate floor, as defined in the EBA's Draft RTS on SOTs (EBA/RTS/2022/10).

Note that these scenarios consider the impact on exposures due to changes in interest rates, as well as pricing sensitivities of deposits, optionality and changes in product mix when applicable. The scenarios do not include assumptions about actions that could be taken in response to any such instantaneous rate changes. The pricing sensitivity of deposits in the baseline and scenarios use assumed rates paid which may differ from actual rates paid due to timing lags and other factors, and further use assumptions on the

repricing maturity of deposits based on historic observations.

The impact from the BCBS scenarios on the economic value and net interest income of J.P. Morgan SE has been estimated as of 2023 year-end according to the methodology laid out in the EBA guidelines; the results for Economic Value Sensitivity (EVS) and EaR for J.P. Morgan SE are presented in the table below.

The maximum impact to EVE under regulatory scenarios as of 2023 year-end was approximately € 790 million for the BCBS Parallel Down scenario, equating to -3.5% of Tier 1 capital. As of 2023 year-end, J.P. Morgan SE was compliant with the supervisory outlier test for EVS.

Risk Reporting

J.P. Morgan SE has a monthly IRRBB report, where different scenarios for above mentioned IRRBB metrics are reported as appropriate in order to monitor and control IRRBB for plausible interest rate changes. The report includes notification of J.P. Morgan SE IRRBB limit utilizations and breaches. The IRRBB metrics are reported to the J.P. Morgan SE ROC on a monthly basis.

€M	EVS ¹		EaR ^{1, 2}	
	2023	2022	2023	2022
Scenario				
Parallel upwards	301	107	289	514
Parallel downwards	-790	-350	-680	-572
Steeper	109	54		
Flatter	-136	-76		
Short-term interest rates upwards	45	-11		
Short-term interest rates downwards	-213	-86		

¹ Results include the interest rate floors, as well as currency specific haircuts, where applicable.

² EaR results based on a constant balance sheet.

Credit Spread Risk in the Banking Book (CSRBB)

In October 2022, the EBA published the guidelines on the management of interest rate risk and credit spread risk arising from non-trading book activities (EBA/GL/2022/14). The guidelines expanded on CSRBB related language as compared to prior guidelines, requiring the inclusion of CSRBB in the risk framework of regulated entities by the end of 2023.

J.P. Morgan SE's Management Board has delegated independent day-to-day oversight of CSRBB within the entity to the J.P. Morgan SE ROC, which is chaired by the J.P. Morgan SE CRO. J.P. Morgan SE ALM Risk provides independent assessment, measurement, monitoring, and control of CSRBB across J.P. Morgan SE; responsibilities include but are not limited to:

- Measuring and monitoring CSRBB and establishing limits;
- Creating and maintaining governance over CSRBB assumptions.

Ultimate first-line responsibility for CSRBB falls to the J.P. Morgan SE CEO with delegation to relevant business functions as appropriate.

CSRBB is defined as the risk arising from non-trading book activities, driven by changes of the market price for credit risk, liquidity, and potentially other characteristics of credit-risky instruments, which is not captured by IRBB or by expected credit/(jump-to-) default risk. Specifically, CSRBB is the risk of adverse impacts to the economic value of equity (EVE) and/or net interest income (NII) due to changes in market spreads; these risks are captured, respectively, through the following metrics:

- Economic Value Sensitivity (CSR-EVS): measures the change in EVE due to changes in market spreads;
- Earnings at Risk (CSR-EaR): measures the sensitivity of net interest income (NII) to changes in market spreads.

J.P. Morgan SE has established risk appetites for the above CSRBB measures, and computes the metrics under a range of internally defined scenarios on a periodic basis; the results for Economic Value Sensitivity (CSR-EVS) and Earnings-at-Risk (CSR-EaR) for J.P. Morgan SE for the +/-100bp scenarios are presented in the table below.

€M	Year-end 2023	
Scenario	CSR-EVS	CSR-EaR
+100 bp	-43	-70
-100 bp	-832	70

6.5.4. Liquidity Risk

Liquidity risk considers the risk of J.P. Morgan SE becoming unable to meet its contractual and contingent financial obligations as they arise or that it does not have the appropriate amount, composition and tenor of funding to support its assets and liabilities. The risk arises as a result of the business activities undertaken by the entity, and is primarily driven by secured funding outflows, intraday risk contingent outflows related to derivatives, outflows from third party client deposits and a drawdown of commitments.

The primary Liquidity Risk Strategy of J.P. Morgan SE is to ensure that the entity has sufficient amount, adequate composition and tenor of funding to support its assets and liabilities, its core businesses can operate in support of client needs and that the entity can meet contractual and contingent obligations through normal economic cycles and during stress events.

Specifically, this is achieved by managing the liquidity surplus under an array of adverse scenarios, such that it never falls below a minimum required buffer. The minimum required

buffer is managed against a risk appetite which is sized in relation to the risk bearing capacity of the entity, i.e. the capacity to support ordinary business without having to implement recovery measures.

J.P. Morgan SE may be exposed to concentration risk as it pertains to major sources of funding and liquidity, e.g. deposits. The materiality of this risk is considered at a specific client, counterparty and/or sector level, as part of a quarterly sensitivity analysis of liquidity assumptions.

The J.P. Morgan SE Management Board has ultimate responsibility for liquidity and associated risks within the entity. The Management Board reviews and establishes an appropriate level of liquidity risk appetite. The latter steers risk taking and deployment of liquidity in order to execute the business strategy and continue to service reasonable client demands throughout ordinary and stressed but plausible market environments, whilst exceeding minimum regulatory liquidity requirements. The Management Board also reviews and approves the entity's liquidity risk management framework.

J.P. Morgan SE has an established liquidity management framework. The primary objectives of effective liquidity management are to ensure that J.P. Morgan SE is able to operate in support of client needs, meet contractual and contingent obligations, to manage an optimal funding mix, and availability of liquidity sources, including under stressed conditions.

Liquidity Risk Management

The entity's Asset and Liability Management (ALM) Risk Team provides independent oversight of liquidity risk, including the assessment, analysis, monitoring, and control of liquidity risk across the entity.

The team's responsibilities include:

- Defining, monitoring and reporting liquidity risk metrics;
- Independently establishing and monitoring limits and indicators, including liquidity risk appetite;
- Developing a process to classify, monitor and report limit breaches;
- Performing independent reviews of liquidity risk management processes;
- Monitoring and reporting internal liquidity stress tests, regulatory defined metrics as well as liquidity positions, balance sheet variances and funding activities; and
- Approving or escalating for review new or updated liquidity stress assumptions.

J.P. Morgan SE's Liquidity Risk Management Framework outlines the key liquidity risk measurement metrics, and describes specific liquidity risk governance, reporting and monitoring protocols. Further, it delineates roles and responsibilities among the relevant committees, and outlines limit and escalation procedures. The limits and indicators defined under the framework are set with the purpose to ensure an appropriate liquidity buffer such that unexpected reductions in the liquidity surplus do not result in a breach of minimum requirements (both regulatory and internal).

Liquidity Management

The J.P. Morgan SE Treasurer is responsible for liquidity management in J.P. Morgan SE. The primary objectives of effective liquidity management are to:

- Ensure that the core businesses are able to operate in support of client needs and meet contractual and contingent financial obligations through normal economic cycles as well as during stress events;

- Manage an optimal funding mix and availability of liquidity sources.

J.P. Morgan SE achieves these objectives through:

- Analyzing and understanding the liquidity characteristics of assets and liabilities, taking into account legal, regulatory, and operational restrictions;
- Developing internal liquidity stress testing assumptions;
- Defining and monitoring liquidity strategies, policies, reporting and contingency funding plans;
- Managing liquidity within approved liquidity risk appetite tolerances and limits;
- Managing compliance with regulatory requirements related to funding and liquidity risk; and
- Setting transfer pricing in accordance with underlying liquidity characteristics of balance sheet assets and liabilities as well as certain off-balance sheet items.

As part of the overall liquidity management strategy, liquidity and funding are managed using a centralized, global approach in order to:

- Optimize liquidity sources and uses;
- Monitor exposures;
- Identify constraints on the transfer of liquidity between J.P. Morgan SE and other legal entities of the Firm; and
- Maintain the appropriate amount of surplus liquidity.

The primary liquidity requirements applicable to J.P. Morgan SE are set out in the directly applicable EU legislation, principally Commission Delegated Regulation 2015/61.

The Liquidity Coverage Ratio (“LCR”) is intended to measure the amount of high quality liquid assets (“HQLA”) held by

J.P. Morgan SE in relation to estimated net liquidity outflows within a 30 calendar day stress period. As of 2023 year-end, J.P. Morgan SE was compliant with the LCR requirement.

The EBA Net Stable Funding Ratio (NSFR) framework was introduced in the EU as a binding liquidity standard on June 28, 2021 as set out in CRR II legislation. NSFR aims at reducing funding risk over a longer time horizon by requiring financial institutions to fund their activities with sufficiently stable sources of funding; NSFR is expressed as a ratio defined as available stable funding (ASF) divided by required stable funding (RSF).

Risk Governance and Measurement

The committees responsible for liquidity risk governance in J.P. Morgan SE include the J.P. Morgan SE Asset and Liability Committee (“J.P. Morgan SE ALCO”) and the J.P. Morgan SE Risk Oversight Committee (“ROC”).

The J.P. Morgan SE ALCO is responsible for overseeing J.P. Morgan SE’s asset and liability management activities and the management of liquidity risk, balance sheet and interest rate risk and the oversight of liquidity risk and interest rate risk of J.P. Morgan SE, with a specific focus on balance sheet and funding management considerations. The J.P. Morgan SE ALCO includes representatives of both first and second lines of defense and is chaired by the J.P. Morgan SE Treasurer.

Intraday Liquidity Risk Governance

Intraday liquidity risk is managed centrally using the intraday dashboard (IDL dashboard).

The IDL dashboard provides real-time transparency into activity at key central banks, financial market utilities and corre-

spondent banks. The dashboard also includes real-time views at a detailed level into credit extended for J.P. Morgan SE, and further provides various analytical capabilities on the historical data to help understand trends, averages, extremes and changes in standard deviation.

Automated alerts are generated in the IDL dashboard in the event that balances exceed an agreed target balance or should the daily net movement exceed an agreed tolerance. The target balances and movement tolerances are defined by Liquidity Risk Management (“LRM”).

Intraday liquidity alerts may initiate a defined response involving collaboration from various teams representing mainly EMEA hub cash management, EMEA Treasury front office, LRM, impacted LOB, the Intraday Liquidity team and corresponding J.P. Morgan SE functions. The response process is designed to quickly understand the drivers of the liquidity alert and guide management into what action should be taken (if any) to restore liquidity. There are pre-approved actions to take in the event of limit breaches.

Internal Stress Testing

Liquidity stress tests are intended to ensure that J.P. Morgan SE retains sufficient liquidity under a variety of adverse scenarios, including scenarios analyzed as part of recovery and resolution planning. Stress scenarios are produced for JPMorgan Chase & Co. and the Firm’s material legal entities – including J.P. Morgan SE – on a regular basis, and other stress tests are performed in response to specific market events or concerns. Liquidity stress tests take into consideration:

- Varying levels of access to unsecured and secured funding markets;
- Estimated non-contractual and contingent cash outflows;

- Considerations of significant, sudden loss of confidence by JPMorgan Chase’s customers or counterparties relative to its peer group;
- Collateral haircuts;
- Intraday requirements; and
- Potential impediments to the availability and transferability of liquidity between jurisdictions and material legal entities such as regulatory, legal or other restrictions.

Liquidity outflow assumptions are modelled across a range of time horizons and currency dimensions and contemplate both market and idiosyncratic stress.

Results of stress tests are considered in the formulation of the entity’s funding plan and assessment of its liquidity position ensuring sufficient liquidity and funding is available to comply with liquidity risk tolerances and minimum liquidity requirements where access to existing funding sources is disrupted.

Key ratios monitored for liquidity risk are:

As of Year-End	2023	2022	2021
Liquidity Coverage Ratio	149 %	157 %	341 %
Net Stable Funding Ratio	150 %	152 %	153 %
JPM internal liquidity Stress surplus	€ 26.6B	€ 32.8B	€ 26.1B

Contingency Funding Plan

The JPM Group Contingency Funding Plan (CFP) together with the J.P. Morgan SE CFP Addendum sets out the strategies for addressing and managing liquidity resource needs during a liquidity stress event and incorporates liquidity risk limits, indicators and risk appetite tolerances that make up Liquidity

Escalation Points (LEP). The CFP also identifies the alternative contingent funding and liquidity resources available to J.P. Morgan SE in a period of stress along with the respective J.P. Morgan SE function and Firm senior manager responsible for execution and decision-making.

Funding

Based on its internal and external liquidity stress testing, J.P. Morgan SE's unsecured and secured funding capacity is sufficient to meet its on- and off-balance sheet obligations.

J.P. Morgan SE funds its balance sheet through diverse sources of funding including stable deposits, secured and unsecured funding in the capital markets and stockholders' equity.

The majority of short-term funding transactions by way of deposits and securities loaned or sold under agreements to

repurchase have short-dated maturities, typically less than one month. Trade creditors predominantly include unsettled trades, other liabilities include cash collateral received; both categories have short-dated maturities. Deposits from banks include unsecured Evergreen borrowing instruments with a maturity of greater one year. Financial liabilities held for trading include derivatives and short positions and are ordinarily classified as liabilities falling due within one year for the purpose of disclosure under IFRS 7 "Financial Instruments: Disclosures".

The tables below present the maturity details of financial assets based on IFRS accounting standards, and financial liabilities based on contractual undiscounted cash flows for year-end 2023.

December 2023 €M	Not later than one month	Later than one month and not later than three months	Later than three months and not later than one year	Later than one year and not later than five years	Later than five years	Total
Assets						
Cash and balances at central banks	63,666	0	0	0	0	63,666
Loans and advances to banks	13,080	26	284	0	0	13,391
Loans and advances to customers	7,970	2,204	2,288	6,401	1,940	20,802
Securities purchased under agreements to resell or borrowed	62,595	6,421	0	2,831	283	72,130
Trading assets	179,950	2,110	1,053	11,924	15,200	210,237
Other assets	40,780	0	0	0	0	40,780
Total assets	368,041	10,761	3,625	21,156	17,423	421,006

December 2023 €M	Not later than one month	Later than one month and not later than three months	Later than three months and not later than one year	Later than one year and not later than five years	Later than five years	Total
Liabilities						
Securities issued (if not treated as retail deposits)	4	9	126	5,531	14,713	20,384
Secured lending and capital market driven transactions	105,415	2,458	8,178	744	0	116,795
Deposits received (excluding deposits received as collateral)	112,857	4,898	10,090	4,180	0	132,026
FX-swaps maturing	2,275	2,154	2,505	2,275	455	9,665
Derivatives amount payables	1,130	2,353	1,115	1,666	4,260	10,524
Other outflows	26,227	597	767	1,227	1,717	30,536
Total outflows	247,908	12,469	22,781	15,624	21,146	319,928

€M	Not later than one month	Later than one month and not later than three months	Later than three months and not later than one year	Later than one year and not later than five years	Later than five years	Total
Off balance sheet items						
2023	7	436	1,738	13,169	874	16,224
2022	7	248	453	12,951	184	13,843

December 2022 €M	Not later than one month	Later than one month and not later than three months	Later than three months and not later than one year	Later than one year and not later than five years	Later than five years	Total
Assets						
Cash and balances at central banks	75,341	0	0	0	0	75,341
Loans and advances to banks	9,607	3	53	100	0	9,763
Loans and advances to customers	6,719	2,741	3,260	5,675	1,352	19,747
Securities purchased under agreements to resell or borrowed	52,950	8,999	2,737	1,097	461	66,244
Trading assets	197,797	958	1,653	9,226	9,735	219,369
Other assets	44,350	0	0	0	0	44,350
Total assets	386,764	12,701	7,703	16,098	11,548	434,814

December 2022 €M	Not later than one month	Later than one month and not later than three months	Later than three months and not later than one year	Later than one year and not later than five years	Later than five years	Total
Liabilities						
Securities issued (if not treated as retail deposits)	60	801	495	760	15,628	17,744
Secured lending and capital market driven transactions (Counterparty is non-Central Bank)	206,971	6,723	5,812	2,707	0	222,213
Deposits received (excluding deposits received as collateral)	112,977	8,478	2,508	3,099	0	127,062
FX-swaps maturing	3,614	3,656	3,135	2,682	556	13,643
Derivatives amount payables	1,024	2,917	1,485	2,463	3,881	11,770
Other outflows	40,445	326	265	1,365	7,708	50,109
Total outflows	365,091	22,901	13,700	13,076	27,772	442,540

Credit Ratings

The cost and availability of financing are influenced by credit ratings. Reductions in these ratings could have an adverse effect on access to liquidity sources, increase the cost of funds, trigger additional collateral or funding requirements and decrease the number of investors and counterparties willing to lend to the Firm. The nature and magnitude of the impact of ratings downgrades depends on numerous contractual and behavioral factors, which the Firm believes are incorporated in its liquidity risk and stress testing metrics. Based on its internal and external liquidity stress testing, J.P. Morgan SE maintains sufficient liquidity to withstand a potential decrease in funding capacity due to ratings downgrades of the Firm.

6.5.5. Operational Risk

Operational risk is the risk of an adverse outcome resulting from inadequate or failed internal processes or systems, human factors, or external events impacting the Firm's or the entity's processes or systems. Operational Risk includes compliance, conduct, legal, and estimations and model risk.

Operational risk is inherent in the entity's activities and can manifest itself in various ways, including fraudulent acts, business disruptions (including those caused by extraordinary events beyond the control of the entity), cyberattacks, inappropriate employee behavior, failure to comply with applicable laws, rules and regulations, inappropriate model application or failure of vendors or other third party providers to perform in accordance with their agreements. Operational Risk Management attempts to manage operational risk at appropriate levels in light of the entity's financial position, the characteristics of its businesses, and the markets and regulatory environments in which it operates.

Operational Risk Management Framework

J.P. Morgan SE Compliance, Conduct and Operational Risk Management Framework (J.P. Morgan SE ccor Management Framework) is designed to enable J.P. Morgan SE to govern, identify, measure, monitor and test, manage and report on the legal entity's operational risk.

Operational Risk Governance

The LOBs and Corporate are responsible for the management of operational risk. The Control Management Organization, which consists of control managers within each LOB and Corporate, is responsible for the day-to-day execution of the J.P. Morgan SE ccor Management Framework.

The J.P. Morgan SE Head Quarter Location Operational Risk and Control Committee ("LORCC") receives reports on quality and stability of processes, addressing key operational risk issues, focusing on processes with control concerns, and overseeing control remediation.

The Firm's Global Chief Compliance Officer ("cco") and Firm-wide Risk Executive ("FRE") for operational risk and qualitative risk appetite is responsible for defining the ccor Management Framework and establishing minimum standards for its execution. The LOB and Corporate aligned ccor Lead Officers report to the Global cco and FRE for operational risk and qualitative risk appetite and are independent of the respective businesses or functions they oversee. At J.P. Morgan SE, the Operational Risk Officer ("oro") reports to the Chief Risk Officer ("cro"). The cro has delegated establishment of the J.P. Morgan SE ccor Framework to the J.P. Morgan SE cco and oro.

The Firm's ccor Management Framework is included in the Risk Governance and Oversight Policy that is reviewed and approved by the Board Risk Committee. The J.P. Morgan SE

ccor Management Framework is reviewed and approved by the J.P. Morgan SE cco and the ORO periodically, at least annually.

New operational risk concerns and actual operational risk events are escalated, as required, to the LORCC, as well as other relevant governance bodies.

Operational Risk Identification

J.P. Morgan SE utilizes a structured risk and control self-assessment process that is executed by the LOBs and Corporate. As part of this process, the LOBs and Corporate evaluate the effectiveness of their respective control environment to assess the circumstances in which controls have failed, and to determine where remediation efforts may be required. J.P. Morgan SE's operational risk and compliance organization ("Operational Risk and Compliance") provides oversight and challenge to these evaluations and may also perform independent assessments of significant operational risk events and areas of concentrated or emerging risk.

Material Risk identification is facilitated by J.P. Morgan SE's second line of defense (including J.P. Morgan SE's Operational Risk Management, "ORM") in conjunction with the relevant First Line subject matter experts.

Operational Risk Measurement

Operational Risk and Compliance performs an independent assessment of operational risks inherent within the LOBs and Corporate, which includes evaluating the effectiveness of the control environment and reporting the results to Risk Senior Management and the Management Board.

In addition, Operational Risk and Compliance assesses operational risks through quantitative means, including operational risk-based capital and estimation of operational risk losses under both baseline and stressed conditions.

J.P. Morgan SE measures its regulatory capital using the Basic Indicator Approach (BIA) while economic capital for operational risk is measured using an internal approach that leverages an operational risk scenario analysis framework.

As required under the Basel III capital framework, J.P. Morgan SE's operational risk-based capital methodology incorporates internal and external losses as well as management's view of tail risk captured through operational risk scenario analysis, and evaluation of key business environment and internal control metrics.

Operational risk scenarios focus on exceptional but plausible operational risk events which may or may not have previously impacted J.P. Morgan SE which include legal risk and regulatory fines. Such operational risk events result from inadequate or failed internal processes or systems, human factors, or due to external events. The scenario analysis process is an important tool for assessing the operational risk, providing a forward-looking view to the Management and Supervisory Board of potential future losses under stressed conditions based on the risk profile of J.P. Morgan SE.

The outputs from the scenario analysis process are used as an input into the Capital Model to derive the operational risk capital for J.P. Morgan SE.

In addition, J.P. Morgan SE considers the impact of stressed economic conditions on operational risk losses and develops a forward-looking view of material operational risk events that may occur in a stressed environment.

J.P. Morgan SE's Operational Risk Measurement framework is utilized in calculating results for the Legal entity's ICAAP process.

Operational Risk Losses

In 2023, J.P. Morgan SE's risk profile has remained stable, and business activities reflect the growth of the entity through the merger in January 2022.

As of December 31, 2023, operational risk losses show a net gain of approximately € 1.5 million. This is explained by an external Fraud Loss event in 2022 that was partially recovered in 2023 (€ 3.8 million).

Operational Risk events in €M	31/12/2023	31/12/2022 restated ¹
Customer and Client Management	0.23	0.28
Financial Reporting and Accounting	0.5	-0.59
Transaction Processing and Reporting	1.21	-2.71
Market Practices	0	0
External Theft and Fraud	-3.84	4.5
Sales Practices	0	0
Other	0.37	0.96
Total	-1.52	2.45

¹ In 2022, some Loss events were approved and reported post the 2022 annual report submission. More specifically, those backdated events include a Fraud Loss event (€ 4.5 million) and approx. 50 loss events under the category Transaction Processing and Reporting (€ 5.1 million). Overall the restated 2022 actuals account for a loss of € 2.45 million.

Operational Risk Monitoring and Testing

The results of risk assessments performed by Operational Risk and Compliance are used in connection with their independent monitoring and testing compliance of the LOBs and Corporate with laws, rules and regulations. Through monitoring and testing, Operational Risk and Compliance independently identifies areas of heightened operational risk and tests the effectiveness of controls within the LOBs and Corporate.

J.P. Morgan SE's ORM is directly involved as required in monitoring and testing activities impacting J.P. Morgan SE and lever-

ages the subject matter expertise of LOB and Corporate ORM and the central second line of defense testing team as required.

Management of Operational Risk

The operational risk areas or issues identified through monitoring and testing are escalated to the LOBs and Corporate to be remediated through action plans, as needed, to mitigate operational risk. Operational Risk and Compliance may advise the LOBs and Corporate in the development and implementation of action plans.

Operational Risk Reporting

All employees of J.P. Morgan SE are expected to escalate risks appropriately. Risks identified by Operational Risk and Compliance are escalated to the J.P. Morgan SE Risk Oversight Committee (ROC) and the LORCC, as needed.

Operational Risk and Compliance has established standards designed to ensure that consistent operational risk reporting and operational risk reports are produced on an entity-wide basis as well as by the LOBs and Corporate.

Reporting includes the evaluation of key risk and performance indicators against established thresholds as well as the assessment of different types of operational risk against stated risk appetite. The standards reinforce escalation protocols to the J.P. Morgan SE Management Board and Supervisory Board.

Insurance

One of the ways in which operational risk may be mitigated is through insurance maintained by the Firm. The Firm purchases insurance from commercial insurers and maintains a wholly-owned captive insurer, Park Assurance Company. Insurance may also be required by third parties with whom the Firm does business.

Examples of Operational Risks

Operational Risk can manifest itself in various ways. Operational risk subcategories include Compliance risk, Conduct risk, Legal risk, and Estimations and Model risk.

War in Ukraine and Sanctions

In response to the war in Ukraine, numerous financial and economic sanctions have been imposed on Russia and Russia-associated entities and individuals by various governments around the world, including the authorities in the U.S., U.K. and EU. These sanctions are complex and continue to evolve. J.P. Morgan SE continues to face increased operational risk associated with maintaining these complex compliance-related matters. To manage this increased risk, J.P. Morgan SE has implemented controls reasonably designed to mitigate the risk of non-compliance and to prevent dealing with sanctioned persons or in property subject to sanctions, as well as to block or restrict payments as required by the applicable regulations.

Cybersecurity Risk

Cybersecurity risk is the risk of the Firm's exposure to harm or loss resulting from misuse or abuse of technology or the unauthorized disclosure of data. Cybersecurity risk is an important and continuously evolving focus for the Firm and J.P. Morgan SE.

The Firm has experienced, and expects that it will continue to experience, a higher volume and complexity of cyberattacks against the backdrop of heightened geopolitical tensions. The Firm has implemented measures and controls reasonably designed to address this evolving environment, including enhanced threat monitoring. In addition, the Firm continues to review and enhance its capabilities to address associated risks, such as those relating to the management of administrative access to systems. J.P. Morgan SE benefits from these enhancements by leveraging the Firm's Cybersecurity Security Program.

Third parties with which the Firm and J.P. Morgan SE do business or that facilitate business activities (e.g. vendors, supply chains, exchanges, clearing houses, central depositories, and financial intermediaries) are also sources of cybersecurity risk. As with other aspects of technology, J.P. Morgan SE outsources day-to-day operation of its Cybersecurity controls to the Firm. The Firm maintains an Information Security Program, which is designed to prevent, detect and respond to cyberattacks in order to help safeguard the confidentiality, integrity and availability of the Firm's infrastructure, resources and information. J.P. Morgan SE leverages the program. The Firm actively partners with appropriate government and law enforcement agencies and peer industry forums, participating in discussions and simulations to assist in understanding the full spectrum of cybersecurity risks and in enhancing defenses and improving resiliency in the Firm's operating environment.

The governance structure for the Global Cybersecurity and Technology Controls (CTC) organization is designed to appropriately identify, escalate and mitigate cybersecurity risks. Cybersecurity risk management and its governance and oversight are integrated into the Firm's operational risk management framework, including through the escalation of key risk and control issues to management and the development of risk mitigation plans for heightened risk and control issues. IRM independently assesses and challenges the activities and risk management practices of the Global Cybersecurity and Technology Controls organization related to the identification, assessment, measurement and mitigation of cybersecurity risk. As needed, the Firm engages third-party assessors or auditing firms with industry-recognized expertise on cybersecurity matters to review specific aspects of the Firm's cybersecurity risk management framework, processes and controls. In addition J.P. Morgan SE is in scope of horizontal reviews by regulators evaluating the financial industries cyber resilience.

The Firmwide CTC organization is represented locally through a dedicated team which provides governance, oversight and local coordination of Cybersecurity-related topics for J.P. Morgan SE. J.P. Morgan SE CTC manages and monitors a set of entity-specific controls and metrics to ensure appropriate ongoing monitoring, oversight and awareness of Cybersecurity-related risks. As part of the IRM, J.P. Morgan SE Technology and Cybersecurity ORM (Operational Risk Management) team provides independent oversight and also includes the regulated role of the Information Security Officer (ISO).

The Firm has a cybersecurity incident response plan designed to enable the Firm to respond to attempted cybersecurity incidents, coordinate as appropriate with law enforcement and other government agencies, notify clients and customers, as applicable, and recover from such incidents. The Cybersecurity Incident Management process is a centralized process utilized for cybersecurity incidents that requires escalated engagement in alignment with the Security Incident Management standard and the Cybersecurity Incident Management Playbook. J.P. Morgan SE also has its own Cybersecurity Incident Management Playbook which aligns with Firmwide processes.

Third party incidents such as system breakdowns or failures, misconduct by the employees of such parties, or cyberattacks, including ransomware and supply-chain compromises, could have a material adverse effect on the Firm and J.P. Morgan SE, including in circumstances in which an affected third party is unable to deliver a product or service to the Firm or where the incident delivers compromised software to the Firm or results in lost or compromised information of the Firm or its clients or customers. Clients and customers are also sources of cybersecurity risk to the Firm and its information assets, particularly when their activities and systems are beyond the

Firm's own security and control systems. The Firm engages in periodic discussions with its clients, customers and other external parties concerning cybersecurity risks including opportunities to improve cybersecurity.

Business and Technology Resiliency Risk

Disruptions can occur due to forces beyond J.P. Morgan SE's control such as the spread of infectious diseases or pandemics, severe weather natural disasters, the effect of climate change, power or telecommunications loss, failure of a third party to provide expected services, cyberattacks and civil or political unrest or terrorism.

The Firmwide Business Resiliency Program, which J.P. Morgan SE leverages, is designed to enable the Firm to prepare for, adapt to, withstand and recover from business disruptions including occurrence of an extraordinary event beyond its control that may impact critical business functions and supporting assets (i.e. staff, technology, facilities and third parties).

The program includes governance, awareness training, planning and testing of recovery strategies, as well as strategic and tactical initiatives to identify, assess, and manage business resiliency risks. The program is required to be managed in accordance with the Firm's overall approach to Operational Risk Management, including alignment with technology, cybersecurity, data, physical security, crisis management, real estate and outsourcing programs.

Payment Fraud Risk

Payment fraud risk is the risk of external and internal parties unlawfully obtaining personal monetary benefit through misdirected or otherwise improper payment. The Firm and J.P. Morgan SE employ various controls for managing pay-

ment fraud risk as well as providing employee and client education and awareness training.

Third-party Outsourcing Risk

The Firm's Third-Party Oversight ("ТРО") and Inter-Affiliates Oversight ("IAO") framework assists J.P. Morgan SE in selecting, documenting, onboarding, monitoring and managing their supplier relationships including services provided by affiliates. The objectives of the ТРО framework are to hold suppliers and other third party providers to an appropriate level of operational performance and to mitigate key risks, including data loss and business disruptions. The Corporate Third-Party Oversight group is responsible for Firmwide training, monitoring, reporting and standards. J.P. Morgan SE governs third-party outsourcing risk through a centralized outsourcing management function which directly reports to the Head of Outsourcing, Operations & Technology.

Compliance Risk

Compliance risk, a subcategory of operational risk, is the risk of failing to comply with laws, rules, regulations or codes of conduct and standards of self-regulatory organizations.

Each of the LOBs and Corporate within J.P. Morgan SE holds primary ownership and accountability for managing their compliance risks. The operational risk and compliance organization ("Operational Risk and Compliance"), which are independent of the LOBs and Corporate, provide independent review, monitoring and oversight of business operations with a focus on compliance with the laws, rules and regulations obligations applicable to the delivery of the entity's products and services to clients and customers.

These compliance risks relate to a wide variety of laws, rules and regulations obligations varying across the LOBs and Cor-

porate, and jurisdictions, and include risks related to financial products and services, relationships and interactions with clients and customers, and employee activities. For example, compliance risks include those associated with anti-money laundering compliance, trading activities, market conduct, and complying with the laws, rules and regulations related to the offering of products and services across jurisdictional borders. Compliance risk is inherent in the entity's fiduciary activities, including the failure to exercise the applicable standard of care, to act in the best interest of fiduciary clients and customers or to treat fiduciary clients and customers fairly.

Other functions provide oversight of significant regulatory obligations that are specific to their respective areas of responsibility.

Operational Risk Management and compliance implement policies and standards designed to govern, identify, measure, monitor and test, manage, and report compliance risk.

Governance and oversight

Compliance is led by the J.P. Morgan SE Chief Compliance Officer ("cco") who reports to the entity's cRO. The entity maintains oversight and coordination of its compliance risk through the implementation of the cCOR Framework. The entity's cco and oRO also provide regular updates to the Management Board and the Risk Committee of the Supervisory Board, on significant compliance risk issues, as appropriate.

Code of Conduct

The Firm has a Code of Conduct (the "Code"), which is fully adopted by J.P. Morgan SE, that sets forth the Firm's expectation that employees will conduct themselves with integrity, at all times. The Code provides the principles that help govern employee conduct with clients, customers, suppliers, vendors,

shareholders, regulators, other employees, as well as with the markets and communities in which the Firm operates. The Code requires employees to promptly report any potential or actual violation of the Code, any Firm policy, or any law or regulation applicable to the Firm's business. It also requires employees to report any illegal or unethical conduct, or conduct that violates the underlying principles of the Code, by any of the Firm's employees, consultants, clients, customers, suppliers, contract or temporary workers, or business partners or agents. Training is assigned to newly hired employees upon joining the Firm, and to current employees periodically thereafter. Employees are required to affirm their compliance with the Code annually.

Employees can report any potential or actual violations of the Code through the Firm's Conduct Hotline (the "Hotline") by phone or the internet. The Hotline is anonymous, where permitted by law, and is available at all times globally, with translation services and is administered by an outside service provider. The Code prohibits retaliation against anyone who raises an issue or concern in good faith or assists with an inquiry or investigation.

Conduct Risk

Conduct risk, a subcategory of operational risk, is the risk that any action or misconduct by an employee or employees could lead to unfair client or customer outcomes, impact the integrity of the markets in which the entity operates, harm employees or J.P. Morgan SE, or compromise the entity's and the Firm's reputation.

Overview

Each LOB and Corporate is accountable for identifying and managing its conduct risk to provide appropriate engagement, ownership and sustainability of a culture consistent with the

Firm's How We Do Business Principles (the "Principles"). The Principles serve as a guide for how employees are expected to conduct themselves. With the Principles serving as a guide, the Firm's Code sets out the Firm's expectations for each employee and provides information and resources to help employees conduct business ethically and in compliance with the applicable law everywhere the entity operates. Further information about the Code can be found in the previous section on Compliance Risk.

Governance and oversight

The Firm maintains oversight and coordination of its conduct risk through the cCOR Management Framework. J.P. Morgan SE adopted this framework.

Conduct risk management encompasses various aspects of people management practices throughout the employee life cycle, including recruiting, onboarding, training and development, performance management, promotion and compensation processes. Each LOB, Treasury and CIO, and each designated Corporate completes an assessment of conduct risk periodically, reviews metrics and issues which may involve conduct risk and provides conduct education as appropriate.

Legal Risk

Legal risk, a subcategory of operational risk, is the risk of loss primarily caused by the actual or alleged failure to meet legal obligations that arise from the rule of law in jurisdictions in which J.P. Morgan SE operates, agreements with clients and customers, and products and services offered by J.P. Morgan SE.

Overview

The Legal function ("Legal") provides legal services and advice. Legal is responsible for managing J.P. Morgan SE's exposure to legal risk by:

- Managing actual and potential litigation and enforcement matters, including internal reviews and investigations related to such matters;
- Advising on products and services, including contract negotiation and documentation;
- Advising on offering and marketing documents and new business initiatives;
- Managing dispute resolution;
- Interpreting existing laws, rules and regulations, and advising on changes to them;
- Advising on advocacy in connection with contemplated and proposed laws, rules and regulations; and
- Providing legal advice to the LOBs and Corporate including their Operations, Technology and Oversight & Control functions (first line of defense), Risk Management and Compliance (second line of defense), Internal Audit (third line of defense) and Management Board.

Legal selects, engages and manages outside counsel on all matters in which outside counsel is engaged. In addition, Legal advises the Conflicts Office which reviews the Firm's and J.P. Morgan SE's wholesale transactions that may have the potential to create conflicts of interest for the Firm and the entity.

Governance and oversight

The Head of Legal of J.P. Morgan SE reports to the CEO. The entity's Head of Legal and other members of Legal regularly report on significant legal matters to the Management Board.

6.5.6. Estimations and Model Risk

Risk Definition

Estimations and Model risk, a subcategory of operational risk, is the potential for adverse consequences from decisions based on incorrect or misused estimation outputs.

Risk Profile

J.P. Morgan SE uses models and other analytical and judgment-based estimations across various businesses and functions. The estimation methods are of varying levels of sophistication and are used for many purposes, such as the valuation of positions and measurement of risk, assessing regulatory capital requirements, conducting stress testing, evaluating the allowance for credit losses and making business decisions. As estimations are simplified representations of real-world relationships, their use presents risk due to possible flaws in their methodology and numerical routines, inputs and assumptions, implementation, use, or relationships between interdependent estimations. Estimations are tiered based on complexity, exposure and reliance to provide an indicator of the potential risk posed by the estimation with Tier 1 posing the highest risk and Tier 4 the lowest. The Model Risk Governance and Review Group ("MRGR") maintains strategic systems for tracking usage and conducting assessments which are continuously enhanced to support ongoing business needs.

Risk Management Objectives

J.P. Morgan SE's model risk management objectives are to identify, monitor, measure where possible and manage model risk. To this end, model risk policies and procedures mandate the following:

- Robust review of models in order to identify model risks;
- Ensure compensating controls are considered where necessary;
- Perform ongoing performance monitoring of models to ensure that they continue to perform throughout their life; and
- Ensure all models are adequately documented and tested.

Approach to Risk Management

The J.P. Morgan SE Model Risk Governance Framework is set out in the J.P. Morgan SE Estimations and Model Risk Man-

agement Policy and Procedure and follows the same principles and guidelines as laid out in the Firmwide Framework.

Managing model risk throughout the model lifecycle is the responsibility of multiple constituents, principally the model users, model developers, model owners, and MRGR. The J.P. Morgan SE Estimations Risk Committee (SEERC), a sub-committee of the J.P. Morgan SE ROC, is responsible for the oversight of the model risk and implementation of the model risk framework for the entity.

MRGR sets forth metrics and tolerances for various model risk management activities. The extent to which metrics exceed or are within tolerances is an indicator of the aggregate level of model risk within J.P. Morgan SE.

Model risks are owned by the users of the models within the J.P. Morgan SE based on the specific purposes of such models. Users and developers of models are responsible for developing, implementing and testing their models, as well as referring models to MRGR for review and approval. Once models have been approved, model users and developers are responsible for maintaining a robust operating environment, and must monitor and evaluate the performance of the models on an ongoing basis. Model users and developers may seek to enhance models in response to changes in the relevant portfolios and in product and market developments, as well as to capture improvements in available modelling techniques and systems capabilities. Model users within J.P. Morgan SE are responsible for ensuring that any model they use is captured both in the Firmwide inventory and in the J.P. Morgan SE inventory and for abiding by the scope and other conditions of the model's approval on an ongoing basis.

MRGR within J.P. Morgan SE is an independent function reporting directly to the J.P. Morgan SE CRO, which is staffed with

personnel to assess model risk independently from model developers and model users. MRGR resources from other JPM entities support J.P. Morgan SE MRGR, subject to appropriate outsourcing arrangements and oversight. MRGR defines and governs J.P. Morgan SE's policies relating to the management of model risk and risk associated with certain analytical and judgment-based estimations, such as those used in risk management and capital planning and analysis. In its review of a model, MRGR considers whether the model is suitable for the specific purposes for which it will be used. The model tiering is also subject to MRGR's approval. When reviewing a model, MRGR analyzes and challenges the model methodology and the reasonableness of model assumptions and may perform or require additional testing, including back-testing of model outcomes. Model reviews are approved by the appropriate level of management within the MRGR based on the relevant model tier.

Under the J.P. Morgan SE Estimations and Model Risk Management Policy, MRGR reviews and approves new models, as well as material changes to existing models, prior to their use. In certain circumstances exceptions may be granted to the policy to allow a model to be used prior to review or approval. MRGR may also require the user to take appropriate actions to mitigate the model risk if it is to be used in the interim. These actions will depend on the model and may include, for example, limitation of trading activity.

While models are inherently imprecise, the degree of imprecision or uncertainty can be heightened by the market or economic environment. This is particularly true when the current and forecasted environments are significantly different from the historical macroeconomic environments upon which the models were developed. This increased uncertainty may necessitate a greater degree of judgment and analytics to inform any adjustments that the Firm may

make to model outputs than would otherwise be the case. In addition, the Firm may experience increased uncertainty in its estimates if assets acquired differ from those used to develop the models.

6.5.7. Capital Risk

Capital risk is the risk that J.P. Morgan SE has an insufficient level or composition of capital to support its business activities and associated risks during both normal economic environments and under stressed conditions.

A strong capital position is essential to J.P. Morgan SE's business strategy and competitive position. J.P. Morgan SE's capital risk management strategy focuses on maintaining long-term stability to enable it to build and invest in market-leading businesses, even in a highly stressed environment. Maintaining a strong balance sheet to manage through economic volatility is a strategic imperative of J.P. Morgan SE's Management Board. Prior to making any decisions that could impact future business activities, the Management Board considers the implications on J.P. Morgan SE's capital. In addition to considering the entity's earnings outlook, senior management evaluates all sources and uses of capital with a view to ensuring the entity's capital strength.

Capital Risk Management

J.P. Morgan SE has a dedicated Capital Risk Management function, within its Risk Management function, whose primary objective is to provide independent oversight of capital risk across the entity. Capital Risk Management's responsibilities include, but are not limited to:

- Defining, monitoring and reporting capital risk metrics;
- Establishing, calibrating and monitoring capital risk limits and indicators, including capital risk appetite;

- Developing a process to classify, monitor and report capital limit breaches;
- Performing an assessment of the entity's capital management activities, including changes made to the Contingency Capital Plan (CCP) described below; and
- Conducting assessments of the entity's regulatory capital framework to ensure compliance with applicable regulatory capital rules.

The framework used to manage capital risks within the entity is defined in J.P. Morgan SE's Capital Risk Management Framework. It is based around a regular cycle of point-in-time capital adequacy assessments, monitoring and reporting, supplemented by forward-looking projections and stress-testing, with corrective action taken when required to maintain an appropriate level of capitalization.

Through this process, key capital risk metrics such as capital ratios, leverage ratios, MREL requirements, Risk-weighted Assets (RWA) and internal capital utilization in the ICAAP economic perspective are calculated and monitored to ensure that minimum regulatory requirements as well as internally set limits and indicators defined in the framework are not breached. Each part of the process is subject to rigorous controls, including capital adequacy reporting at daily, weekly, monthly and quarterly frequencies to ensure appropriate oversight, in line with the Capital Risk Management Framework. The escalation of breaches of defined limits and indicators is also driven by this framework.

Capital Management

The Management Board is responsible for capital management. The primary objective of J.P. Morgan SE's capital management is to hold sufficient capital to:

- Support risks underlying business activities with a view of preserving capital strength;
- Meet and exceed minimum regulatory requirements on capital;
- Continue to build and invest in business activities through normal and stressed environments;
- Retain flexibility to take advantage of future investment opportunities; and
- Ensure continued operation in the event of the parent company stress or resolution.

J.P. Morgan SE addresses the above objectives through:

- Establishing internal minimum capital requirements for capital related metrics (capital ratios, leverage ratio, MREL, etc.), and maintaining a strong capital governance framework. The internal minimum capital levels consider the entity's regulatory capital requirements as well as an internal assessment of capital adequacy, in normal economic cycles and in stress events.
- Retaining flexibility in order to react to a range of potential events; and
- Regular monitoring of its capital position through established capital risk limits and indicators and following prescribed escalation protocols.

The J.P. Morgan SE Management Board receives regular updates on the capital position and projections and has oversight of decisions related to capital usage and capital strategy.

Governance

Committees responsible for overseeing J.P. Morgan SE's capital management include the ICAAP Steering Committee, the Risk Oversight Committee and the Risk Committee of the supervisory board which reviews and approves the capital risk appetite.

Capital Planning and Stress Testing

J.P. Morgan SE produces a 3-year forward-looking capital plan which is updated quarterly as part of its ICAAP. The ICAAP informs the Management Board of the processes for managing the sources and uses of capital as well as compliance with supervisory expectations for capital planning and capital adequacy. It aims to ensure that J.P. Morgan SE is adequately capitalized in relation to its risk profile and risk appetite through the economic cycle and under a range of severe but plausible stress scenarios.

Stress testing assesses the potential impact of alternative economic and business scenarios on J.P. Morgan SE's earnings and capital. Economic scenarios, and the parameters underlying those scenarios are defined and applied uniformly across the businesses. The scenarios are articulated in terms of macroeconomic factors, which are key drivers of business results; global market shocks, which generate short-term but severe trading losses; and idiosyncratic operational risk events. The scenarios are intended to capture and stress key vulnerabilities and idiosyncratic risks facing the entity.

In addition to the internal capital stress testing which is conducted quarterly as part of the ICAAP, management also considers the outcome of the EBA Stress Test – a biennial supervisory capital stress test which informs the calibration of the entity's Pillar 2 Capital Guidance (P2G).

The quarterly ICAAP results are reviewed by the ICAAP Steering Committee, the Risk Oversight Committee and the J.P. Morgan SE Management Board.

Contingency Capital Plan

J.P. Morgan SE's contingency capital plan establishes its capital management framework and specifies the principles

underlying the entity's approach towards capital management in normal economic conditions and during periods of stress. The contingency capital plan defines how J.P. Morgan SE calibrates its targeted capital levels and meets minimum capital requirements, monitors the ongoing appropriateness of planned capital distributions, where applicable, and sets out the capital contingency actions that are expected to be taken or considered at various levels of capital depletion during a period of stress.

Capital Requirements

Throughout 2023, J.P. Morgan SE remained above the various regulatory minimum capital requirements.

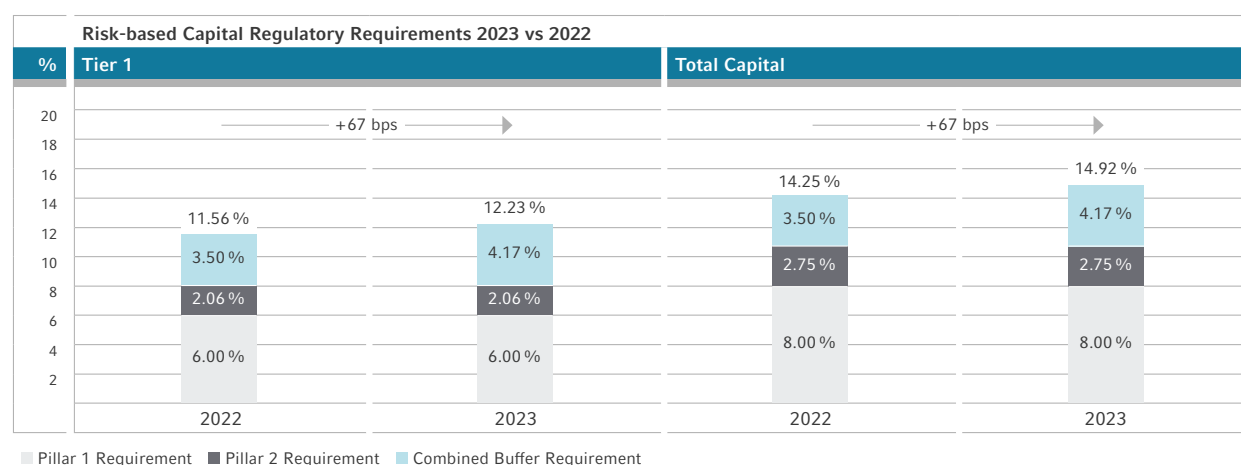
Own Funds Regulatory Requirements

The minimum risk-based regulatory capital requirements increased overall between December 2022 and December 2023. As an Other Systemic Important institution (O-SII), J.P. Morgan SE's assigned O-SII buffer increased by 25 bps

in 2023 to 1.0 % from 0.75 % in the prior year. The counter-cyclical buffer (CCyB) for J.P. Morgan SE also increased by 39 bps and a new systemic risk capital buffer for exposures in Norway was introduced in December 2023. These changes led to an overall increase in the Combined Buffer Requirement (CBR) in 2023 of 67 bps.

In addition to the above requirements, J.P. Morgan SE is expected to hold a further Pillar 2 capital add-on commonly known as the Pillar 2 Guidance (P2G) which must be met entirely with CET1 capital. Although not legally binding, the ECB expects J.P. Morgan SE to meet the P2G requirements. Failure to meet the P2G requirement does not lead to automatic supervisory measures such as restrictions of capital distributions or incentive compensation.

The chart below shows the minimum Tier 1 and Total capital requirements, excluding P2G, J.P. Morgan SE had to comply with as at December 2023 in comparison to December 2022.



The non-risk-based leverage ratio is intended to act as a supplementary measure to the risk-based capital requirements. Its objectives are to constrain the build-up of leverage in the banking sector and to reinforce the risk-based requirements with a simple, non-risk-based “backstop” measure. A minimum leverage ratio requirement of 3.0 % was introduced effective starting June 28, 2021, according to the CRR/CRD framework.

Minimum Requirement for Own Funds and Eligible Liabilities (MREL) Regulatory Requirements

The Minimum Requirement for Own Funds and Eligible Liabilities (MREL) represents the minimum amount of own funds and eligible liabilities that an entity is required to maintain so that it can absorb losses and have sufficient recapitalization capacity in the event of a resolution. The MREL requirements are set by the Resolution Authority and consist of an RWA-based requirement (MREL-RWA) and a leverage exposure-based requirement (MREL-LRE). Both requirements consist of the sum of a loss absorption amount (LAA) and a recapitalization amount (RCA) and must be met in parallel. These requirements can be met with own funds and/or eligible liabilities (i.e. bail-inable liabilities meeting certain eligibility requirements).

Given J.P. Morgan SE currently meets its MREL requirements solely with own funds (i.e. Tier 1 and Tier 2 capital), MREL-RWA has been the most binding constraint on capital since January 2022, when the MREL requirements under the Bank Recovery and Resolution Directive II (BRRD II) took effect. In 2023, JPMSE’s MREL-RWA requirement as a percentage of total RWA was 28.1 %. For leverage, the most binding MREL constraint is under the Capital Requirements Regulation II (CRR II) rules and corresponds to the leverage exposure based internal Total Loss Absorbing Capacity

(iTLAC Leverage Ratio) of 6.08 % of total Leverage Exposure.

Regulatory Capital and Ratios

Total regulatory capital for J.P. Morgan SE as of December 31, 2023 amounted to € 40 billion compared to € 36.5 billion at the end of December 31, 2022. The increase of € 3.5 billion comprises a € 1.2 billion net increase in CET1 driven by retained earnings from 2022 and a € 2.3 billion net increase in Tier 2 capital driven by a Tier 2 issuance (€ 2.5 billion) in May 2023. Tier 1 capital as of December 31, 2023 amounted to € 22.5 billion, consisting entirely of Common Equity Tier 1 (CET1) capital.

Despite the increase in CET1 capital, the CET1 capital ratio decreased to 18.6 % from 19.7 % in the prior year driven by a € 13.2 billion increase in Risk Weighted Assets. The increase in RWAs is driven mainly by exposures to Corporates (€ +5 billion) and securitization positions (€ +4.8 billion).

Leverage Ratio decreased to 5.8 % from 6.0 % in the prior year primarily driven by increased in leverage exposure (€ 32 billion) for Derivatives and SFTs partially offset by the net increase in Tier 1 capital mentioned above.

Throughout the year 2023, regulatory capital ratios and leverage ratio were comfortably above minimum requirements and internal targets. The following table shows the RWAs and capital ratio development from 2022 to 2023.

€M	Actuals	
	31/12/2023	31/12/2022
Credit Risk (incl. Counterparty Credit Risk) ¹	72,187	59,657
CVA	4,721	4,368
Market Risk	35,390	36,010
Operational Risk	8,760	7,805
Total Risk Weighted Assets	121,057	107,840
Total Pillar 1 Requirement	9,685	8,627
P2R and Combined Buffer Requirements	8,378	6,742
Overall Capital Requirement	18,063	15,370
Total CET1/Tier 1²	22,475	21,280
Total Tier 2	17,486	15,171
Total Capital Resources²	39,962	36,451
CET1/Tier 1 Capital Ratio ²	18.6 %	19.7 %
Total Capital Ratio ²	33.0 %	33.8 %
Leverage Ratio	5.8 %	6.0 %

¹ Includes securitizations, settlement risk and Other risk exposure amounts.

² Does not include the recognition of 2023 profit

€M	Actuals	
	31/12/2023	31/12/2022
MREL eligible resources	40,033	36,451
Regulatory MREL requirements (RWA-based)	34,035	28,990
Regulatory MREL requirements (LRE-based)	23,476	21,539
MREL surplus (+)/shortage (-) with respect to most binding requirement	5,997	7,637
Regulatory MREL requirements (RWA-based) in %	28.12 %	26.88 %
Regulatory MREL requirements (LRE-based) in %	6.08 %	6.08 %

The RWA-based MREL regulatory requirements increased by € 5.1 billion YoY driven by higher RWAs and a higher minimum MREL-RWA ratio. While the minimum MREL-RWA ratio increased YoY by 1.2% due to an increase in both the CBR

and the SRB minimum requirements, MREL resources also increased by € 3.6 billion. The increase in MREL resources was driven by a € 2.5 billion MREL issuance in 2023 coupled with an increase in CET1 capital from retained earnings from

2022. The leverage-based MREL regulatory requirements also increased by € 1.9 billion YoY on increased leverage exposure. Despite these increases in the MREL requirements, J.P. Morgan SE maintained a surplus on MREL throughout 2023 and continued to actively manage its MREL requirements through identification and implementation of RWA optimization actions.

6.5.8. Business Risk

J.P. Morgan SE defines business risk as the risk associated with J.P. Morgan SE's current and future business plans and objectives. Business risk includes the risk to current or anticipated earnings, capital, liquidity, enterprise value, or J.P. Morgan SE's reputation arising from adverse business decisions, poor implementation of business decisions, or lack of responsiveness to changes in the industry or external environment.

The risk is driven by a combination of factors (internal and external) where unexpected changes could adversely impact the ability of the LOBs to successfully implement their business strategies and meet their targets. A regular comparison of the actuals with the plan, which might result in adjustments if necessary, should minimize such deviations.

The business risk quantification process determines an adverse view on the planned P&L by estimating adverse effects on P&L items. The methodology uses historically observed absolute (weighted) deviations between planned and actual P&L figures and computes business risk factors by determining the 99.9th quantile from the empirical distribution. The business risk factors include a 5 % add-on and are applied to the current P&L plan to obtain an estimate of the economic capital requirement for business risk over a 1-year horizon. This economic capital requirement for business risk results together with the other economic risk categories in the total economic capital requirement of J.P. Morgan SE.

The Risk Strategy of J.P. Morgan SE aims to minimize business risks through oversight and control processes. This is reflected in the J.P. Morgan SE Business Strategy 2024 – 2026. This strategy for managing Business Risk in J.P. Morgan SE takes account of the range of uncertainties that can impact on key planning assumptions and can lead to deviations between planned and actual results. It is the role of the J.P. Morgan SE Management Board to review business results and address any material deviations from the Business Plan and anticipated changes to the business profile that may require an update to the underlying assumptions.

6.5.9. Pension Risk

J.P. Morgan SE defines pension risk as the risk caused by contractual or other liabilities to, or with respect to, a pension scheme (whether established for its employees or those of a related company or otherwise). Pension risk is driven by market and demographic risk where the pension scheme may be unable to meet future expected benefit payments. Pension risk therefore represents the potential necessity for increased pension risk provisions.

J.P. Morgan SE manages pension risk with a dedicated pension governance framework. This includes regular reporting, a pension committee and a corresponding investment committee.

J.P. Morgan SE's pension schemes are exposed to significant falls in equity and/or other risky asset markets, decreases in real and/or nominal interest rates, and increases in inflation expectations and life expectancy, each of which, or in combination, could lead to a pension capital shortfall and consequent impact to J.P. Morgan SE's Profit and Loss.

Pension risk is quantified on the basis of a VaR model with a 99.9 % confidence level and a 1-year holding period, semi-an-

nually evaluated by J.P. Morgan SE's pension administrator, and taken into account in a separate quantification. The result of the quantification is part of the overall results of the Economic perspective shown in section 6.4.2. Should this VaR exceed the asset surplus of the pension fund, this amount will be deducted from the risk-bearing capacity.

Further details on the Bank's defined benefit scheme are provided in note 5.18. and note 20. to the financial statements.

6.6. RISKS MANIFESTING ACROSS VARIOUS RISK TYPES

6.6.1. Country Risk

J.P. Morgan SE, through its LOBs and Corporate functions, may be exposed to country risk resulting from financial, economic, political or other significant developments which adversely affect the value of the entity's exposures related to a particular country or set of countries.

J.P. Morgan SE's approach to country risk management mirrors the Firmwide approach and is complemented by country-specific guidelines for exposure and stress. Entity specific thresholds for country risk are monitored monthly and reported to the Risk Oversight Committee and the Management Board.

Organization and Management

Country Risk Management is an independent risk management function that assesses, manages and monitors exposure to country risk across the Firm. For J.P. Morgan SE, this group actively monitors the portfolio of the entity with the following activities:

- Maintaining policies, procedures and standards consistent with a comprehensive country risk framework;
- Assigning sovereign ratings, assessing country risks and establishing risk tolerance relative to a country;

- Measuring and monitoring country risk exposure and stress across the entity;
- Managing and approving country limits and reporting trends and limit breaches to the Management Board;
- Developing surveillance tools, such as signalling models and ratings indicators, for early identification of potential country risk concerns; and
- Providing country risk scenario analysis.

Sources and Measurement

Country exposure includes activity with both government and private-sector entities in a country. Under the internal country risk management approach, attribution of exposure to a specific country is based on the country where the largest proportion of the assets of the counterparty, issuer, obligor or guarantor is located or where the largest proportion of its revenue is derived. This may be different from the domicile (i.e. legal residence) or country of incorporation. Individual country exposures reflect an aggregation of the entity's risk to an immediate default, with zero recovery, of the counterparties, issuers, obligors or guarantors attributed to that country. Assumptions are sometimes required in determining the measurement and allocation of country exposure, particularly in the case of certain non-linear or index products, or where the nature of the counterparty, issuer, obligor or guarantor is not suitable for attribution to an individual country. The use of different measurement approaches or assumptions could affect the amount of reported country exposure.

Under the internal country risk measurement framework:

- Deposits with banks are measured as the cash balances placed with central banks, commercial banks, and other financial institutions;
- Lending exposures are measured at the total committed amount (funded and unfunded), net of the allowance for

credit losses and eligible cash and marketable securities collateral received;

- Securities financing exposures are measured at their receivable balance, net of eligible collateral received;
- Debt and equity securities are measured at the fair value of all positions, including both long and short positions;
- Counterparty exposure on derivative receivables is measured at the derivative's fair value, net of the fair value of the eligible collateral received; and
- Credit derivatives exposure is measured at the net notional amount of protection purchased or sold, for the same underlying reference entity, inclusive of the fair value of the derivative receivable or payable reflecting the manner in which the Firm manages these exposures.

Some activities may create contingent or indirect exposure related to a country (for example, providing clearing services or secondary exposure to collateral on securities financing receivables). These exposures are managed in the normal course of business through the credit, market, and operational risk governance.

Stress Testing

Stress testing is an important component of the country risk management framework, which aims to estimate and limit losses arising from a country crisis by measuring the impact of adverse asset price movements to a country based on market shocks combined with counterparty-specific assumptions.

Country Risk Management periodically designs and runs tailored stress scenarios to test vulnerabilities to individual countries or sets of countries in response to specific or potential market events, sector performance concerns, sovereign actions and geopolitical risks. These tailored stress results are used to inform potential risk reduction, as necessary.

Risk Reporting

To enable effective risk management of country risk to the Firm, country exposure and stress are measured and reported weekly, and used by Country Risk Management to identify trends, and monitor high usages and breaches against limits.

6.6.2. Reputation Risk

Reputation risk is the risk that an action or inaction may negatively impact perception of the Firm's integrity and reduce confidence in the Firm's competence by various stakeholders, including clients, counterparties, customers, communities, investors, regulators, or employees.

The types of events that may result in reputation risk are wide-ranging and can be introduced by the Firm's employees, business strategies and activities, clients, customers and counterparties with which the Firm does business. These events could contribute to financial losses, litigation, regulatory enforcement actions, fines, penalties and other sanctions as well as other harm to the Firm.

Organization and Management

Reputation Risk Management is an independent risk management function that establishes the governance framework for managing reputation risk across the Firm's LOBs and Corporate Functions. Reputation risk is inherently challenging to identify, manage and quantify.

The Firm's reputation risk management function includes the following activities:

- Maintaining a Firmwide Reputation Risk Governance policy and a standard consistent with the reputation risk framework;
- Providing oversight of the governance framework through processes and infrastructure to support consistent identi-

cation, escalation and monitoring of reputation risk issues Firmwide.

Governance and Oversight

The Reputation Risk Governance policy establishes the principles for managing reputation risk for the Firm. J.P. Morgan SE has adopted the Firmwide Reputation Risk governance framework for the management of reputation risk within the entity. It is the responsibility of each LOB, Corporate Function and employees to consider the reputation of the Firm when deciding whether to offer a new product, engage in a transaction or client relationship, enter a new jurisdiction, initiate a business process or consider any other activity. Environmental impacts and social concerns are increasingly important considerations in assessing the Firm's reputation risk, and are a component of the Firm's reputation risk governance.

6.6.3. Climate Risk

Climate risk is the risk associated with the impacts of climate change on J.P. Morgan SE's clients, customers, operations and business strategy. Climate change is viewed as a driver of risk that may impact existing types of risks (credit & investment, market, operational and strategic) managed by J.P. Morgan SE. Climate risk is categorized into physical risk and transition risk.

Physical risk refers to economic costs and financial loss associated with a changing climate. Acute physical risk drivers

include the increased frequency or severity of climate and weather events, such as floods, wildfires and tropical cyclones. Chronic physical risk drivers include more gradual shifts in the climate, such as sea level rise, persistent changes in precipitation levels and increases in average ambient temperatures.

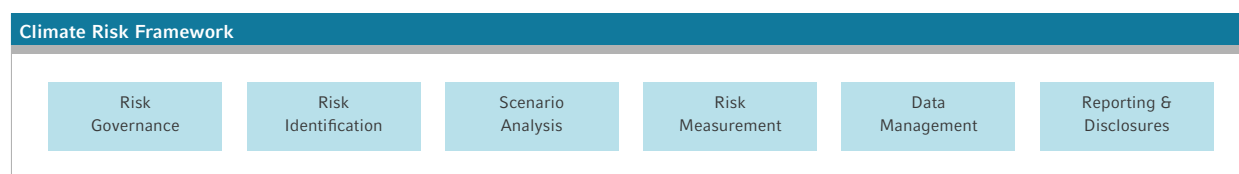
Transition risk refers to the financial and economic implications associated with a societal adjustment to a low-carbon economy. Transition risk drivers include possible changes in public policy, adoption of new technologies and shifts in consumer preferences. Transition risks may also be influenced by changes in the physical climate.

The Firm's climate risk framework sets forth the capabilities J.P. Morgan SE uses to identify, assess and manage the impacts of physical and transition risk drivers on each of our four risk types. This framework is comprised of six core Firmwide risk capabilities (pictured below) central to enabling assessment, quantification and management of the climate risks that may manifest across the Firm's diverse global footprint.

Organization and Management

J.P. Morgan SE's approach to climate risk management is driven by the Firmwide Climate Risk Management Framework described in the previous section.

The Firm has a Climate Risk Management function that is responsible for establishing the Firmwide framework and strategy for



managing climate risk, and engages across the Firm to help integrate climate risk considerations into existing risk management frameworks, as appropriate. The Firm also has a Nature and Social (“N&S”) Risk function (formerly “Environmental & Social Risk”) that establishes the Firm’s policies, standards, and processes for certain environmental and social risks that outline the consistent approach for identification, escalation and management of transactions and activities that may present an increase in such risks. The Climate Risk and N&S functions are led by the Firmwide Risk Executive for Climate, Nature and Social Risk, who is overseen by the CRO. For more information on the Firm’s overall approach to managing environmental and social risks, see page 20 of the JPMorgan Chase & Co. ESG Report 2023.¹⁰

J.P. Morgan SE Risk Management has established a dedicated setup for Climate and Environmental (“C&E”) Risk management which reflects the principle that C&E risks are risk drivers impacting existing risk types. Within the Chief Risk Office team (CRO team), a C&E Risk lead has been appointed to manage the overall Climate and Environmental Risk approach of the J.P. Morgan SE Risk Management Function and to align with the Firmwide Climate and N&S Risk functions. C&E Risk leads have also been appointed across all risk stripes.

Governance and Oversight

J.P. Morgan SE’s approach to managing climate risk is consistent with the Legal Entities’ risk governance structure. The Lines of Business (LOBs) and Corporate are responsible for integrating climate risk management into existing governance frameworks, or creating new frameworks, as appropriate. J.P. Morgan SE Risk Management is integrated into the wider legal entity governance structure. The C&E Risk lead or the head of the CRO team represent J.P. Morgan SE in all relevant Climate and Environmental Risk fora and committees within J.P. Morgan SE and in the Firm.

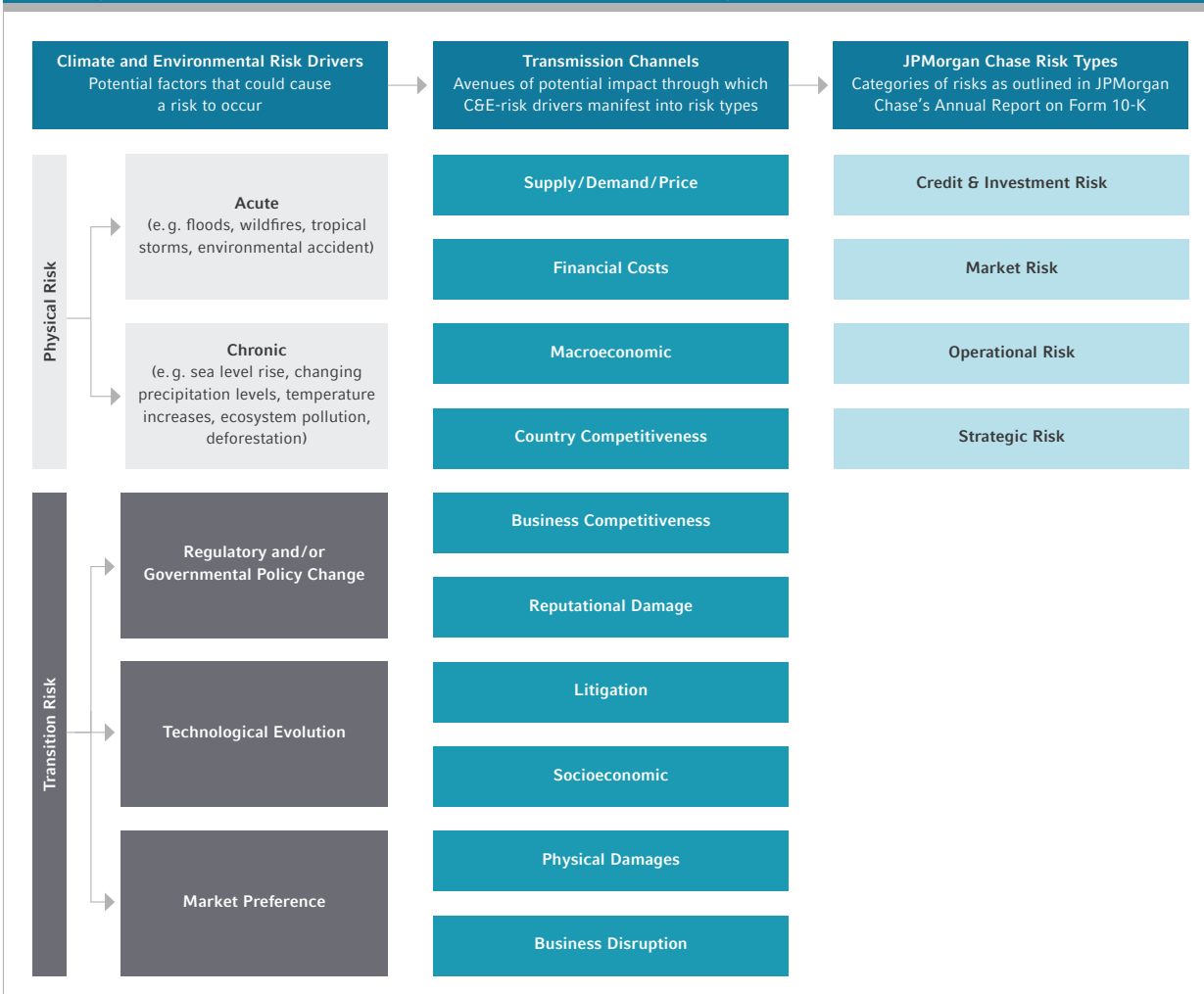
Moreover, J.P. Morgan SE has established a dedicated program for its C&E Risk-related deliverables (“C&E Risk Program”) to align to regulatory requirements on C&E Risk Management. Program updates are reported within the program as well as through the wider J.P. Morgan SE governance. The J.P. Morgan SE Risk Oversight Committee, Management Board as well as the Supervisory Board are regularly updated on project progress as well as key deliverables.

Risk Identification

In the Firmwide framework, LOBs and Corporate are responsible for the identification, assessment and management of climate risks present in their business activities and for adherence to applicable climate-related laws, rules and regulations. The Firm believes that this practice helps support a risk-aware business culture and an effective risk management process. J.P. Morgan SE leverages the Firmwide risk identification framework and has integrated climate and environmental risk into its own risk identification framework as a driver of existing credit & investment, market, operational and strategic risk types. Supporting this framework is a classification system, illustrated below, that describes how climate and environmental risk drivers could translate into potential impacts to our clients and our operations. JPMSE continues to systematically enhance the capture of climate and environmental risks in the risk inventory. At the time of writing this report, a significant extension of the approach is ongoing including, amongst others, the usage of heatmaps to scan for pockets of climate and environmental risks. JPMSE expects that C&E risks will be identified as material drivers of credit risk. The preliminary assessment identifies credit exposures in sectors or geographies potentially vulnerable to transition and/or physical. The assessments are based on qualitative and quantitative considerations covering the short-, medium- and long-term time horizons.

¹⁰ <https://www.jpmorganchase.com/content/dam/jpmc/jpmorgan-chase-and-co/documents/jpmc-esg-report-2023.pdf>

Translating Climate and Environmental Risk Drivers into Potential Risks to J.P. Morgan SE¹



¹ List is not exhaustive. We continue to refine our taxonomy based on an evolving understanding of how climate-related and environmental risk drivers may manifest as risks to the Firm.

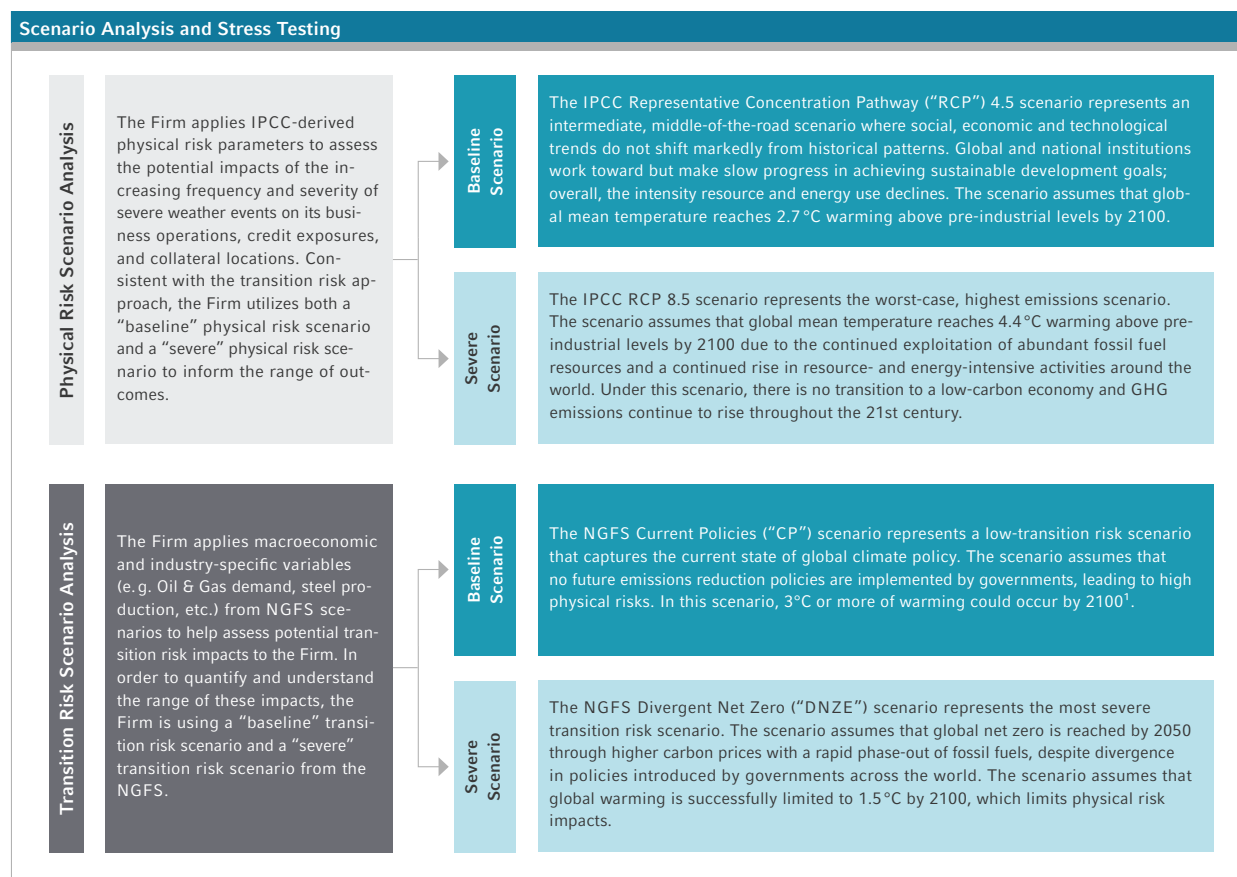
Moreover, J.P. Morgan SE has completed an initial assessment of social and governance risks.

Scenario Analysis and Stress Testing

J.P. Morgan SE leverages the Firm's capabilities in order to perform scenario analysis and stress testing exercises that

are designed to assess the range of potential climate-related financial and economic impacts to the legal entity.

To assess the range of potential climate-driven paths and outcomes, the Firm applies an array of scenarios to its internal risk processes. The Firm uses internationally recognized scenarios



¹ Temperature increases are relative to global mean temperatures at pre-industrial levels (1850–1900).

from the Network for Greening the Financial System (“NGFS”) and the Intergovernmental Panel on Climate Change (“IPCC”) to inform its measurement of the potential financial and economic impacts to the Firm from the manifestation of climate risks.

The NGFS and IPCC scenarios represent widely accepted plausible pathways for society’s future GHG emissions and consider the complex interactions between global socioeconomic systems and natural Earth systems over time. The average global temperature in 2022 was approximately 1.15°C above pre-industrial levels (1850–1900)¹¹. The Firm defines this as the “current state” of the climate, with assessments of future physical and transition risk based on further warming above this state.

Risk Management by Risk Type

J.P. Morgan SE is using its own and the Firm’s resources to better understand how physical and transition risks may manifest and their potential impacts on the existing risk types J.P. Morgan SE manages.

Credit Risk

Credit risk is the risk associated with the default or change in the credit profile of a client, counterparty or customer.

For Wholesale Credit Risk, the Firm has built a stress framework to estimate potential impacts from a range of climate transition pathways on client financials and credit ratings. For clients operating in carbon-intensive sectors (e.g. Oil & Gas, Automotive Manufacturing, Power Generation, Steel and Cement Manufacturing), the Firm estimates the potential impact of a climate transition scenario on their credit rating by projecting detailed cashflows within the context of a transition scenario (see Scenario Analysis and stress testing). This estimation takes into account the client-level Carbon

Assessment Framework quantitative and qualitative scores, which assesses a client’s historical emissions reductions, current and forecasted carbon intensity, as well as actions taken to advance their decarbonization. Financial impacts from the transition to a low-carbon economy could manifest in a variety of ways, including weaker demand for carbon-intensive products, resulting in lower revenue, or higher operating costs for carbon-emitting companies, if a carbon tax is implemented. Additionally, companies may need to increase their capital expenditures through investments that improve resilience to the low-carbon transition (e.g. power companies investing in renewables). To assess the impact of climate transition risk on sectors with relatively lower carbon intensity, the Firm conducts a separate client-specific internal stress analysis¹². The potential effect on a client’s credit rating is estimated by stressing client financials consistent with industry projected performance in the transition scenario, and factoring in the additional costs incurred due to a carbon tax on the company’s emissions. The Firm has also developed risk management capabilities including catastrophe modelling to estimate the potential impact of severe weather events exacerbated by climate change on its Commercial and Residential Real Estate portfolios. Damages from floods could cause potential physical damage to the underlying properties, leading to expenses for repairs and disruptions in revenue, as well as changes in overall property values thus impacting the credit quality of the portfolio.

Market Risk

Market risk is the risk associated with the effect of changes in market factors, such as interest and foreign exchange rates, equity and commodity prices, credit spreads or implied volatilities, on the value of assets and liabilities held for both the short and long term. Climate risk drivers may lead to sharp volatility or persistent changes in the prices of commodities

¹¹ World Meteorological Organization

¹² Climate transition stress analysis for clients in lower carbon sectors is used for internal climate analysis and not used in client decisioning.

and financial assets; for example, companies in carbon intensive industry sectors without credible transition plans may have assets which are viewed as stranded, resulting in materially depressed equity prices. The Firm has established a stress framework to quantify the impact of the transition risk stress scenarios to vulnerable asset classes, including impacts at J.P. Morgan SE level. The Firm has also analyzed a series of physical drivers to estimate the potential impacts of various acute and chronic physical risk events to markets exposures, including impacts at J.P. Morgan SE level.

Country Risk

J.P. Morgan SE, through its LOBs and Corporate, may be exposed to country risk resulting from financial, economic, political or other significant developments, which adversely affect the value of the legal entity's exposures related to a particular country or set of countries. The negative implications from climate change may impact a country's economic, fiscal, monetary or political frameworks in numerous ways, in turn, adversely affecting its sovereign credit ratings. Climate risk considerations are incorporated, as appropriate, into existing sovereign ratings and risk management processes. In addition, the Firm has developed a score to help explore the potential sensitivity of sovereign ratings to climate risks beyond the standard rating horizon or under specific stress scenarios.

Operational Risk

Operational risk is the risk of an adverse outcome resulting from inadequate or failed internal processes or systems, human factors or external events impacting the Firm's processes or systems. The Firm has integrated climate risk drivers into its operational risk framework and associated Firm-wide resiliency processes. Increasingly volatile and severe weather events, including more severe storms, flooding, heat and related impacts, such as drought and wildfires, have the

potential to impact the likelihood and severity of a variety of existing operational risks. Potential climate driven impacts are evaluated through ongoing assessments of operational risks to employees and customers, the Firm's facilities, property and service providers, and the Firm's business activities.

Strategic Risk

Strategic risk is the risk to earnings, capital, liquidity or reputation associated with poorly designed or failed business plans or inadequate response to changes in the operating environment. An example of such a risk could be the failure to attract green business opportunities as society shifts towards a low-carbon economy. In response to climate change, and in support of our clients transitioning to a lower-carbon economy, J.P. Morgan SE may make changes to its business strategy, product offerings and risk profile (see for example section 2. of the "Annex: Separate Non-Financial Report 2023" for further information on the approach to environmental sustainability).

Reputation risk

Reputation risk is the risk that an action or inaction may negatively impact perception of the Firm's and J.P. Morgan SE's integrity and reduce confidence in the Firm's and J.P. Morgan SE's competence by various constituents, including clients, counterparties, customers, investors, regulators, employees, communities or the broader public. Reputational risk assessment is designed to take into account the commercial consequences of actions or inactions that may impact clients, customers, employees, capital providers and other stakeholders. In many cases the Firm recognizes that a position it takes will be favored by some and disapproved of by others, and where all positions including neutrality can be controversial. Climate- and environmental-related business strategies and activities are under increasing scrutiny. Companies are also facing reputational risk from the real or perceived lack

of progress made toward climate-related targets, as well as in how they provide transparency around climate-related matters. The Firm may face reputation risk relating to its climate risk framework and environmental sustainability strategy.

Liquidity risk

Liquidity risk is the risk that J.P. Morgan SE will be unable to meet its contractual and contingent financial obligations as they arise or that it does not have the appropriate amount, composition and tenor of funding and liquidity to support its assets and liabilities. Liquidity could be impaired by factors such as market-wide illiquidity or disruption, unanticipated outflows of cash or collateral and lack of market or customer confidence in J.P. Morgan SE or financial institutions in general.

The liquidity stress framework has been expanded to model the impact of a transition risk stress scenario using the NGFS Divergent Net Zero scenario.

ICAAP

The approach to identify and quantify c&E risks outlined in this section contributes to the JPMSE ICAAP.

Reporting

J.P. Morgan SE has integrated climate risk into its existing risk reporting capabilities. Quarterly reporting includes integration into risk appetite, credit, market and liquidity exposures that are susceptible to climate risks, as well as outcomes from climate-related scenario analysis and stress testing exercises.

6.6.4. Fiduciary and Investment Risks

J.P. Morgan SE provides custody and investment services which requires the Bank to operate with a duty of care and loyalty towards its clients. As an Investment Manager for clients' discretionary portfolios, the Bank has a fiduciary obli-

gation to ensure clients' assets are managed in line with the agreed upon mandate with due skill, care, and diligence. In addition, J.P. Morgan SE must ensure that the best interest of the client is put before its own, its employees' or other clients' interests by identifying and managing conflicts or appearance of conflicts and that fair treatment of clients is at the heart of its business model. Further, Private Bank oversees Investment Risk including oversight, guidance, and effective challenge over managed strategies for which the Bank exercises investment discretion as part of client discretionary portfolios.

Risk Identification

J.P. Morgan SE leverages the established Firmwide Risk Identification framework which includes applicable fiduciary and investment dimensions and related risk drivers.

Governance and Oversight

The J.P. Morgan SE Management Board has delegated independent oversight of risk management activities to the J.P. Morgan SE Risk Oversight Committee; the Risk Oversight Committee may subsequently escalate material items to the J.P. Morgan SE Management Board as required. Within the second line of defense, the Compliance team, for CIB, and the PB Risk Governance team, or the Private Bank, provide independent assessment, analysis, monitoring and control of fiduciary risk across J.P. Morgan SE and may report or escalate risk matters to J.P. Morgan SE roc as needed. Within the second line of defense, the Private Bank Investment Risk & Analytics team provides independent assessment, analysis and oversight of Investment Risk, reporting or escalating risk matters as needed.

6.7. RISK SUMMARY

In our view, a conservative risk policy and solid capital resources ensure the comfortable risk position of J.P. Mor-

€M	2023	2022	2021	2020
RWA Overall	121,057	107,840	89,845	41,492
Total Capital ¹	39,962	36,451	24,965	13,668
Tier 1 Capital Ratio ¹	18.6 %	19.7 %	17.2 %	30.5 %
Total Capital Ratio ¹	33.0 %	33.8 %	27.8 %	32.9 %
Leverage Ratio	5.8%	6%	7.5%	10.1%
Liquidity Coverage Ratio	149.25%	157%	341%	147%
Risk capital demand Economic Perspective	8,460	7,902	5,997	3,757
Risk capital Economic Perspective	24,629	23,383	16,973	12,917

¹ Does not include the recognition of 2023 profit

gan SE going forward. The quantification of the capital demands for the occurring risks takes place as part of J.P. Morgan SE's ICAAP on a quarterly basis. Timely, independent and risk-based reporting for all material risks is provided to the Management Board on a regular basis.

The above key performance and risk indicators essentially represent the risk profile of J.P. Morgan SE as of year-end 2023.

7. Responsibility Statement by the Management Board

To the best of our knowledge, and in accordance with the applicable reporting principles, the financial statements give a true and fair view of the net assets, financial position and results of the operations of J.P. Morgan SE, and the management report provides a true and fair review of the development and performance of the business and the position of

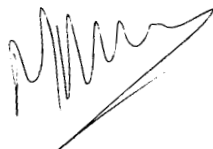
J.P. Morgan SE, together with a description of the principle opportunities and risks associated with the expected development of J.P. Morgan SE.

Frankfurt am Main, April 29, 2024

The Management Board of J.P. Morgan SE



STEFAN BEHR
Chief Executive Officer



MATTHIEU WILTZ
Markets



PABLO GARNICA
Private Bank



NICHOLAS CONRON
Chief Risk Officer



BURKHARD KÜBEL-SORGER
Chief Financial Officer

Stand-alone Financial Statements of J.P. Morgan SE
in Accordance with the International Financial Reporting Standards
for the Year ended December 31, 2023

J.P. Morgan SE

Income Statement and Other Comprehensive Income

€T	Note	2023	2022
Income statement			
Interest income calculated using the effective interest method	6	6,338,330	1,447,503
Other interest income	6	3,009,152	979,258
Interest expense	6	7,907,694	1,891,769
Net interest income		1,439,788	534,992
Fee and commission income	7	3,317,760	3,283,788
Fee and commission expense	7	654,097	667,445
Net fee and commission income		2,663,663	2,616,342
Net income from financial assets and liabilities measured at fair value through profit and loss	8	1,508,716	1,665,367
Other revenue		4,986	233
Total operating income		5,617,152	4,816,934
Loan loss provision	35	–55,700	66,836
Administrative expenses	9	3,053,011	2,960,909
Depreciation and amortization	17, 18	52,889	45,863
Total operating expenses		3,050,200	3,073,608
Profit or loss before tax		2,566,951	1,743,326
Income tax expense	10	883,351	505,488
Profit for the year		1,683,600	1,237,838
Other comprehensive income			
Items that will not be reclassified to profit or loss			
Remeasurement gains (+)/losses (–) on defined benefit plans		7,654	–32,298
Net credit risk-related gains (+)/losses (–) on financial liabilities designated at FVPL		–	–
Related tax	10	644	7,354
Items that are or may be reclassified subsequently to profit or loss			
Change in fair value of financial assets (FVOCI)			
Unrealized gains (+)/losses (–) recognized in the reporting period		–44,817	–25,594
Realized gains (–)/losses (+) reclassified to profit or loss in the reporting period		16,979	–7,252
Related tax	10	25,543	10,488
Total other comprehensive income		6,003	–47,302
Total comprehensive income for the year		1,689,603	1,190,536

Rounding differences may occur in the tables (€, %, etc.).

J.P. Morgan SE

Balance Sheet

€T	Note	December 31, 2023	December 31, 2022
Assets			
Cash and central bank balances	12	63,665,682	75,340,930
Loans and advances to banks	13	13,390,919	9,763,075
Loans and advances to customers	14	20,802,437	19,746,821
Securities purchased under agreements to resell or borrowed	15	72,130,394	66,243,630
Trading assets ¹	16	210,237,320	219,368,833
Property and equipment	17	381,077	339,209
Intangible assets	18	41,409	29,376
Deferred tax assets	10	188,122	163,668
Current tax asset	10	107,554	118,456
Other assets	19	40,061,305	43,700,342
Total assets		421,006,218	434,814,340
Liabilities			
Deposits from banks	22	42,644,570	43,096,896
Deposits from customers	23	97,622,769	94,779,794
Securities sold under repurchase agreements or loaned	15	25,352,177	27,850,933
Trading liabilities	16	182,292,030	194,540,937
Financial liabilities designated at fair value through profit or loss ¹	25	2,117,099	1,976,367
Provisions	24	167,645	86,943
Tax liabilities	10	340,461	319,200
Other liabilities	26	27,522,447	33,291,818
Subordinated liabilities	27	17,557,421	15,171,455
Total liabilities		395,616,618	411,114,343
Equity			
Subscribed capital	28	1,875,644	1,867,202
Share premium	28	5,403,704	5,403,704
Other capital reserves	28	14,060,292	14,068,733
Retained earnings	28	4,008,134	2,324,533
Other reserves	28	41,827	35,825
Total equity		25,389,600	23,699,997
Total liabilities and equity		421,006,218	434,814,340

Rounding differences may occur in the tables (€, %, etc.).

¹ Prior-year figure adjusted (see note 5.22.)

J.P. Morgan SE

Statement of Changes in Equity

€T	Note	Subscribed Capital	Share Premium	Other Capital Reserves	Retained Earnings	Other Reserves	Total
Balance as of January 1, 2022		1,867,202	5,403,704	13,918,734	1,086,695	83,127	22,359,461
Profit for the year		–	–	–	1,237,838	–	1,237,838
Other comprehensive income for the year		–	–	–	–	–	–
Actuarial gain on pension schemes		–	–	–	–	–24,944	–24,944
FV-changes of loans FVOCI		–	–	–	–	–22,358	–22,358
Total comprehensive income for the year		–	–	–	1,237,838	–47,302	1,190,536
Capital injections	28	–	–	–	–	–	–
Capital increase from conversion of subordinated debt	27	–	–	150,000	–	–	150,000
Other changes		–	–	0	–	–	0
Balance as of December 31, 2022		1,867,202	5,403,704	14,068,733	2,324,533	35,825	23,699,997
Profit for the year		–	–	–	1,683,600	–	1,683,600
Other comprehensive income for the year		–	–	–	–	–	–
Actuarial gain on pension schemes		–	–	–	–	8,298	8,298
FV-changes of loans FVOCI		–	–	–	–	–2,295	–2,295
Total comprehensive income for the year		–	–	–	1,683,600	6,003	1,689,603
Capital injections	28	–	–	–	–	–	–
Capital increase from contribution in kind	28	8,442	–	–8,442	–	–	–
Other changes		–	–	0	–	–	0
Balance as of December 31, 2023		1,875,644	5,403,704	14,060,292	4,008,134	41,827	25,389,600

Rounding differences may occur in the tables (€, %, etc.).

J.P. Morgan SE

Cash Flow Statement

€T	Note	2023	2022 ¹
Profit before tax		2,566,951	1,743,327
Non-cash movements	29	580,778	596,896
Changes in operating assets ¹	29	375,996	-53,322,844
Changes in operating liabilities ¹	29	-16,544,406	70,982,710
Cash flows from operating activities		-13,020,680	20,000,089
Income taxes paid		-915,992	-503,623
Net cash generated from operating activities		-13,936,672	19,496,466
Cash flow from investing activities			
Disposals and purchases of tangible fixed assets	17	-110,307	-219,325
Disposals and purchases of intangible assets	18	-31,666	-29,376
Cash received as a result of merger ¹	38	-22,023	14,680,576
Net cash used in investing activities		-163,995	14,431,875
Cash flow from financing activities			
Change in amounts owed to JPMorgan Chase undertakings		-	460,583
Change in subordinated liabilities with JPMorgan Chase undertakings ¹	27	2,385,966	2,691,220
Change in lease liabilities	32	39,454	25,796
Net cash generated from financing activities		2,425,419	3,177,600
Net increase (+)/decrease (-) in cash and cash equivalents		-11,675,248	37,105,941
Cash and cash equivalents at the beginning of the year	12	75,340,930	38,234,989
Cash and cash equivalents at the end of the year		63,665,682	75,340,930
Cash and balances at central banks	12	63,665,682	75,340,930
Cash and cash equivalents		63,665,682	75,340,930

Rounding differences may occur in the tables (€, %, etc.).

¹ Prior-year figure adjusted (see note 5.22.)

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1. General information

J.P. Morgan SE (hereafter – the “Bank”, “we”, or the “Company”), with registered office in Frankfurt am Main, is a European stock company (SE) under German Law registered in the Trade Register of the Frankfurt District Court under number HRB 126056, which is active in the European Economic Area (EEA) in the main business segments of Banking (consisting of Investment & Corporate Banking, Payments and Lending), Markets, Securities Services, Commercial Banking and Private Bank.

J.P. Morgan SE is an intermediate 100 % subsidiary of JPMorgan Chase & Co. with registered office in Wilmington/Delaware, in the United States of America. The Bank has a full bank license according to § 1 Para. 1 German Banking Act and pursues the banking business with institutional and wealth management clients, banks, corporate clients and public authorities. The shares of J.P. Morgan SE are in full ownership of J.P. Morgan International Finance Limited with registered office in Newark/Delaware, in the United States of America.

2. Basis of preparation

The stand-alone financial statements for the year ended December 31, 2023, have been prepared in accordance with the International Financial Reporting Standards (“IFRS”) as issued by the International Accounting Standards Board (the IASB) and as applicable under the regulations in the EU.

The Standards have been applied in preparing the financial statements for the year ended December 31, 2023, the comparative information presented in these financial statements for the year ended December 31, 2022.

The legally required financial statements of the Bank are further prepared on the basis of the German Commercial Code (HGB). For the disclosure, the voluntarily prepared stand-alone IFRS financial statements according to § 325 Para. 2a HGB are utilized.

In order to apply the option according to § 325 Para. 2a sentence 1 HGB to disclose financial statements set up according to the International Financial Reporting Standards as denominated in § 315e Para. 1 HGB, in place of financial statements according to HGB, the additional German commercial law regulations according to § 325 Para. 2a sentence 3 HGB in connection with § 340l Para. 4 HGB have been followed.

The stand-alone financial statements have been prepared on a going concern basis under the historical cost convention as modified by the revaluation of certain financial assets and financial

liabilities measured at fair value through profit or loss (FVPL) or measured at fair value through other comprehensive income (FVOCI).

The credit risk is described in note 35. Information on the market risk, the liquidity risk and the operational risk are included in the risk report as part of the Management Report (section “6.5. Risk Categories”).

3. Accounting and reporting developments

STANDARDS AND CHANGES TO STANDARDS ADOPTED DURING THE YEAR ENDED DECEMBER 31, 2023

The Bank has adopted a number of minor amendments to IFRS for the first time for the annual reporting period beginning January 1, 2023 which are not expected to significantly affect the current or future periods.

FUTURE STANDARDS AND CHANGES TO STANDARDS NOT YET IMPLEMENTED DURING THE YEAR ENDED DECEMBER 31, 2023

The forthcoming IFRS amendments have been issued however are not yet effective or adopted as of December 31, 2023. The future application of these standards is not expected to result in any material effects, with the exception of the recently published IFRS 18 standard (April 9, 2024) which has not yet been assessed.

Future Standards/Amendments	Application in periods beginning on or after	Effective date	Regulation as of	EU adoption
				Published on
Classification of Liabilities as Current or Non-current (Amendments to IAS 1)	1/1/2024	1/1/2024	19/12/2023	20/12/2023
Lease Liability in a Sale and Leaseback (Amendments to IFRS 16)	1/1/2024	1/1/2024	20/11/2023	21/11/2023
Supplier finance arrangements (Amendments to IAS 7 and IFRS 7)	1/1/2024	1/1/2024	open	open
Lack of exchangeability (Amendments to IAS 21)	1/1/2025	1/1/2025	open	open
Presentation and Disclosure in Financial Statements – IFRS 18	1/1/2027	open	open	open

4. Material accounting estimates and judgments

In the process of applying the Company’s accounting policies, management makes judgments, estimates and assumptions for certain categories of assets and liabilities. These judgments, estimates and assumptions affect the reported amounts of assets and liabilities and disclosure of

contingent assets and liabilities at the balance sheet date, and the reported amounts of revenue and expenses during the reporting period. Making judgments, estimates and assumptions can involve levels of uncertainty and subjectivity and therefore actual results could differ from the reported amounts. The Company's significant accounting policies are described in note 5.

Some of the judgments, estimates and assumptions management makes when preparing the Company's financial statements involve high levels of subjectivity and assessments about the future and other sources of uncertainty. Those that may have a material impact on the Company's financial condition, changes in financial condition or results of operations are described below.

FAIR VALUE MEASUREMENT

The Bank carries a significant portion of its assets and liabilities at fair value on a recurring basis. Certain financial instruments are classified on the basis of valuation techniques that feature one or more significant market inputs that are unobservable, and for them, the measurement of fair value is more judgmental.

- Judgments – In classifying a financial instrument in the valuation hierarchy, judgment is applied in determining whether one or more inputs are observable and significant to the fair value measurement. A financial instrument's categorization within the valuation hierarchy is based on the lowest level of input that is significant to the fair value measurement. For instruments classified in levels 2 and 3, management judgment must be applied to assess the appropriate models and level of valuation adjustments. Refer to note 30. for further information.
- Estimates – Details on the Bank's level 3 financial instruments and the sensitivity of their valuation to the effect of applying reasonable possible alternative assumptions in determining their fair value as well as the difference between the transaction price and the model value, commonly referred to as "day one profit and loss", not recognized immediately in the income statement are set out in note 30.

MEASUREMENT OF THE EXPECTED CREDIT LOSS ALLOWANCE

An expected credit loss allowance ("ECL") is required for financial assets measured at amortized cost and fair value through other comprehensive income ("FVOCI") as well as for lending-related commitments such as loan commitments and financial guarantees. The measurement of ECL requires the use of complex models and assumptions about future economic conditions and credit behaviors. Explanation of the inputs, assumptions and estimation techniques used in measuring ECL is further detailed in note 35., which also sets out key sensitivities of the ECL to changes in these inputs.

A number of judgments are also required in measuring ECL, such as:

- Determining the criteria for identifying when financial instruments have experienced a significant increase in credit risk;

- Choosing the appropriate forecasts and assumptions for the measurement of ECL;
- Determining the number and relative weightings of forward-looking scenarios for each type of financial instrument/market and the associated ECL; and
- Establishing groups of similar financial assets for the purposes of measuring ECL.

5. Significant accounting policies

The following are the significant accounting policies applied in the preparation of the financial statements. These policies have been applied consistently in each of the years presented, unless stated otherwise.

5.1. CONSOLIDATION

The sole shareholder of the Company is J.P. Morgan International Finance Limited, Newark/Delaware, and its ultimate parent company is JPMorgan Chase & Co., Wilmington/Delaware, both incorporated in the United States of America. The Company is included in the consolidated financial statements of JPMorgan Chase & Co., which are publicly available.

According to § 290 in relation to § 296 Para. 2 HGB, the Company is not required to prepare group financial statements.

5.2. FOREIGN CURRENCY TRANSLATION

Monetary assets and liabilities denominated in foreign currencies are translated in Euro at the exchange rate on the balance sheet date. Income and expense items denominated in foreign currencies are translated in Euro at the exchange rate prevailing at the date of the transaction. Any gains or losses arising on translation are recognized directly in the income statement.

Non-monetary items that are measured based on historical cost in a foreign currency are translated in Euro at the exchange rate at the date of the transaction.

Non-monetary items denominated in foreign currencies that are stated at fair value are translated in Euro at the foreign exchange rate when the fair value was determined. Translation differences arising from non-monetary items measured at fair value are recognized in the income statement.

5.3. FUNCTIONAL AND PRESENTATION CURRENCY

Items included in the financial statements of the Company are measured using the currency of the primary economic environment in which the entity and the foreign business operations operate (the “functional currency”). Euro is considered as the functional currency for all branches and used as the presentation currency of the Company.

5.4. FINANCIAL INSTRUMENTS

5.4.1. Financial assets and financial liabilities

I. Recognition of financial assets and financial liabilities

The Company recognizes financial assets and financial liabilities when it becomes a party to the contractual provisions of the instrument. Regular way purchases and sales of securities are recognized on the trade date, which is the date on which the Company commits to purchase or sell an asset. Certain margins from clients or margins to central counterparties in the Futures and Derivatives Clearing business which are related to the clearing of trades (on behalf of the clients) at exchanges aren't recorded on balance sheet, because they aren't deemed assets or liabilities of the Company.

II. Classification and measurement of financial assets and financial liabilities

On initial recognition, financial assets are classified as measured at amortized cost, fair value through other comprehensive income ("FVOCI") or fair value through profit or loss ("FVPL"). Derivatives are measured at fair value through profit or loss. The classification is based on both the business model for managing the financial assets and their contractual cash flow characteristics. Factors considered by the Company in determining the business model for a group of assets include past experience on how the cash flows for these assets were collected, how the assets' performance is evaluated and reported to the board of directors, how risks are assessed and managed, and how senior managers are compensated. This assessment results in a financial asset being classified in either a "hold to collect", "hold to collect and sell", or "other" business model.

On initial recognition, financial liabilities are measured at fair value. They are subsequently measured at amortized cost unless they are held for trading, the fair value option is applied, or they are derivatives. In all other cases, financial liabilities are measured at fair value through profit or loss.

Financial assets and financial liabilities measured at amortized cost

Financial assets are measured at amortized cost if they are held under a business model with the objective to collect contractual cash flows ("Hold to Collect") and they have contractual terms under which cash flows are solely payments of principal and interest ("SPPI"). In making the SPPI assessment, the Company considers whether the contractual cash flows are consistent with a basic lending arrangement (i.e., interest includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement). Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss.

Financial assets measured at amortized cost include cash and balances at central banks, loans and advances to banks, certain loans and advances to customers and certain securities purchased under agreements to resell and debtors that are in the Hold to Collect business model.

Financial liabilities are measured at amortized cost unless they are held for trading or are designated as measured at fair value through profit or loss. Financial liabilities measured at amortized cost include trade payables, amounts owed to JPMorgan Chase undertakings and certain other liabilities.

Financial assets and financial liabilities measured at amortized cost are initially recognized at fair value including transaction costs (which are explained below). The initial amount recognized is subsequently reduced for principal repayments and adjusted for accrued interest using the effective interest method. In addition, the carrying amount of financial assets is adjusted by recognizing an expected credit loss allowance through profit or loss.

The effective interest method is used to allocate interest income or interest expense over the relevant period. The effective interest rate is the rate that discounts estimated future cash payments or receipts through the expected life of the financial asset or financial liability or a shorter period when appropriate, to the net carrying amount of the financial asset or financial liability. The effective interest rate is established on initial recognition of the financial asset or financial liability. The calculation of the effective interest rate includes all fees and commissions paid or received that are an integral part of the effective interest rate, transaction costs, and discounts or premiums. Transaction costs are incremental costs that are directly attributable to the acquisition, issuance or disposal of a financial asset or financial liability.

Financial assets measured at fair value through other comprehensive income ("FVOCI")

Financial assets are measured at FVOCI if they are held under a business model with the objective of both collecting contractual cash flows and selling the financial assets ("Hold to Collect and Sell"), and they have contractual terms under which cash flows are SPPI. Financial assets measured at FVOCI include loans and advances that are held within the Company's Retained Lending business which are managed with the objective of both collecting contractual cash flows and realizing cash flows from sales and have contractual terms that meet the SPPI criteria.

Financial assets measured at FVOCI are initially recognized at fair value, which includes direct transaction costs. The financial assets are subsequently remeasured at fair value with any changes presented in other comprehensive income ("OCI") except for changes attributable to impairment, interest income and foreign currency exchange gains and losses. Impairment losses and interest income are measured and presented in profit or loss on the same basis as financial assets measured at amortized cost.

For debt instruments, on derecognition of financial assets measured at FVOCI, the cumulative gains or losses in OCI are reclassified from equity and recognized in the income statement ("recycling").

Financial assets and financial liabilities measured at fair value through profit or loss (mandatory)

Financial assets and financial liabilities are measured at (FVPL), unless they are measured at amortized cost or FVOCI. Under IFRS 9, a financial asset or a financial liability is defined as “held-for-trading” if it is acquired or incurred principally for the purpose of selling or repurchasing it in the near term, or forms part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit taking or it is a derivative. However, such financial instruments are used by the Company predominantly in connection with its “client-driven” market-making and/or for hedging certain assets, liabilities, positions, cash flows or anticipated transactions (i. e. risk management activities).

Financial assets and financial liabilities measured at FVPL at J.P. Morgan SE consist mainly of instruments which are held for trading. These held for trading instruments comprise both debt and equity securities, loans held for trading and derivatives.

In addition, certain financial assets that are not held for trading are measured at FVPL if they do not meet the criteria to be measured at amortized cost or FVOCI for example, if the financial assets are managed on a fair value basis or have contractual cash flows that are not SPPI.

Financial instruments measured at FVPL are initially recognized at fair value in the balance sheet. Transaction costs and any subsequent fair value gains or losses are recognized in profit or loss as they arise. Please refer to note 5.8. on the Company’s accounting policy for the recognition of trade date profit.

The Company manages cash instruments, in the form of debt and equity securities, and derivatives on a unified basis, including hedging relationships between cash securities and derivatives. Accordingly, the Company reports the gains and losses on the debt and equity securities and the gains and losses on the derivatives on a net basis in trading profit.

Financial assets and financial liabilities designated at fair value through profit or loss

Subject to specific criteria, the Company can designate financial assets and financial liabilities to be measured at fair value through profit or loss. Designation is only possible when the financial instrument is initially recognized and cannot be subsequently reclassified. Financial assets can be designated as measured at fair value through profit or loss only if such designation eliminates or significantly reduces a measurement or recognition inconsistency (accounting mismatch). Financial liabilities can be designated as measured at fair value through profit or loss only if such designation (a) eliminates or significantly reduces a measurement or recognition inconsistency; or (b) applies to a group of financial assets, financial liabilities or both that the Company manages and evaluates on a fair value basis; or (c) relates to an instrument that contains an embedded derivative unless the embedded derivative does not significantly modify the cash flows required by the contract or when a similar hybrid instrument is considered that separation of the embedded derivative is prohibited.

Embedded derivatives are implicit or explicit terms or features of a financial instrument that affect some or all of the cash flows or the value of the instrument. An instrument containing such terms or features is referred to as a hybrid. The component of the hybrid that is the non-derivative instrument is referred to as the host contract. The host contract is accounted for and measured applying the rules of the category to which the financial instrument is assigned. The carrying amount of an embedded derivative is reported at the same balance sheet line item as the host financial liability contract. If the economic characteristics and risks of embedded derivatives are not closely related to those of the host contract, the embedded derivative is bifurcated.

Financial assets and financial liabilities that the Company designates as measured at fair value through profit or loss are recognized at fair value at initial recognition, with transaction costs being recognized in profit or loss and subsequently measured at fair value. Gains and losses on financial assets and financial liabilities designated at fair value through profit or loss are recognized in profit or loss as they arise.

Changes in the fair value of financial assets designated as measured at FVPL are recognized immediately in profit or loss.

Changes in the fair value of financial liabilities designated as measured at FVPL are recognized in profit or loss except for gains/losses attributable to changes in the Company's own credit risk. These gains/losses are recognized in OCI unless doing so results in an accounting mismatch with directly offsetting financial assets measured at fair value through profit or loss.

The Company has designated financial liabilities to be measured at FVPL to significantly reduce measurement and recognition inconsistency (i.e. an accounting mismatch), as these financial liabilities are managed together with either back-to-back reverse repos or derivatives which are measured at FVPL. The Company recognizes the entire fair value change of these instruments in the profit and loss, as the own credit risk is reflected in the back-to-back trades.

The Company has managed repo liabilities and reverse repo receivables together in the Segment Markets. For the repo liabilities, the Bank applies the fair value option in order to apply the same valuation method to assets and liabilities, thus avoiding an accounting mismatch.

5.4.2. Interest income and expense

Unless a financial asset is credit-impaired, interest income is recognized by applying the effective interest method to the gross carrying amount of a financial asset. If a financial asset is credit-impaired, interest income is recognized by applying the effective interest rate to the net carrying amount of the financial asset (i.e. after adjusting for any allowance for expected credit losses).

Interest expense on financial liabilities is recognized by applying the effective interest method to the amortized cost of financial liabilities.

The effective interest rate is the rate that discounts estimated future cash payments or receipts through the expected life of the financial asset or financial liability or a shorter period when appropriate, to the net carrying amount of the financial asset or financial liability. The calculation includes all fees paid or received between parties to the contract that are an integral part of the effective interest rate transaction costs, and all other premiums or discounts. The effective interest rate is established on initial recognition of the financial asset or financial liability. While the effective interest rate of financial instruments with a contractually fixed interest rate remains constant over the period of the fixed interest rate, the effective interest rate of floating-rate financial assets and liabilities is periodically adjusted to the current contractually agreed interest rate.

Interest income on financial assets and financial liabilities measured at amortized cost and FVOCI are presented separately in the income statement under the line item "Interest income calculated using the effective interest method".

The Bank reports negative interest paid on interest-bearing assets as interest expense and negative interest received on interest-bearing liabilities as interest income.

5.4.3. Trading profit

Profits and losses resulting from the purchase and sale of securities and the revaluation of financial instruments are recognized as trading profit on a trade-date basis, including related transaction costs. Please refer to note 5.8. on the Company's accounting policy for the recognition of trade date profit.

5.4.4. Impairment of financial assets and lending-related commitments

Instruments in scope of Traditional Credit Products (TCP) include loans, lending-related commitments (including financial guarantees), and other lending products stemming from extensions of credit to borrowers. The Bank establishes an ECL for these instruments to ensure they are reflected in the financial statements at the Company's best estimate of the net amount expected to be collected. The ECL is determined on in-scope financial instruments measured at amortized cost or FVOCI. ECL are measured via a portfolio-based (modeled) approach for Stage 1 and 2 assets but are generally measured individually for Stage 3 assets. ECL is measured over the 12-month period (Stage 1) or the expected remaining maturity (lifetime) of the financial instruments (Stage 2 or 3), where the forecast horizon includes the reasonable and supportable (R&S) forecast period, the reversion period and the residual term of the financial instruments. Furthermore, the time value of money is taken into account in the ECL measurement. In determining the ECL measurement and staging for a financial instrument, the Bank applies the definition of default in accordance with the Basel definition of default to ensure consistency of definition across the organization. Refer to note 35. for non-TCP financial assets.

Determining the appropriateness of the ECL allowance is complex and requires judgment by the management about the effects of circumstances that are inherently uncertain. Further, estimating the ECL allowance involves consideration of a range of possible outcomes, which senior management evaluates to determine its best estimate. Subsequent evaluations of the TCP portfolio, in light of the circumstances then prevailing, may result in significant changes in the ECL in future periods.

The Company must consider the appropriateness of decisions and judgments regarding methodology and inputs utilized in developing estimates of ECL each reporting period and document them appropriately.

Note 35. provides more detail on how the expected credit loss allowance is measured.

5.4.5. Write-offs

Wholesale loans recognized as loans and advances on the balance sheet are charged off when, on the basis of a reasonable assessment, it is deemed highly certain that a loss has been realized in full or in part. Write-offs may relate to a financial asset in its entirety or to a portion of it. The determination of whether to recognize a write-off includes many factors, including the prioritization of the Company's claim in bankruptcy, expectations regarding the workout/restructuring of the loan and valuation of the borrower's equity or the loan collateral.

All other financial assets are written off when there is no reasonable expectation of recovery and the amount of loss can be reasonably estimated or when the asset is past due for a specified period.

5.4.6. Modification of financial instruments

The Company may modify contractual terms (modifications) with borrowers that are not experiencing financial difficulties. In these instances, the Company will make a determination of whether the modification results in a new financial asset. If the modification is substantial, the existing loan is derecognized and a new financial asset is recognized. If the modification does not result in a new financial asset, any modification gain or loss is immediately recognized in profit or loss. Modification gain or loss is determined by recalculating the gross carrying amount of the loan by discounting the new contractual cash flows using the original effective interest rate.

The Company seeks to modify certain loans in conjunction with its loss-mitigation activities. A modification may result in the Company granting one or more concessions to a borrower who is experiencing financial difficulties in order to minimize the Company's economic loss, avoid foreclosure or repossession of the collateral, and to ultimately maximize cash flows received by the Company from the borrower. Concessions granted vary by borrower and may include interest rate reductions, term extensions, payment deferrals, debt forgiveness, or the acceptance of equity or other assets in lieu of cash. Such loan modifications are included in Stage 3, and the loans

are considered to be credit-impaired until they mature, are repaid, or are otherwise liquidated, regardless of whether the borrowers perform under the modified terms. ECL are generally measured individually for Stage 3 assets.

For IBOR-related modification of loans that are measured at amortized cost or FVOCI, the Company applied the practical expedient from January 1, 2021, and reflects the changes to the basis for determining the contractual cash flows by adjusting their effective interest rate. No immediate gain or loss is recognized. Refer to note 35. for more details.

5.4.7. Derecognition of financial assets and financial liabilities

Financial assets are derecognized when the contractual right to receive cash flows from the asset has expired, or has been transferred with either of the following conditions met:

- The Company has transferred substantially all the risks and rewards of the ownership of the asset; or
- The Company has neither retained nor transferred substantially all of the risks and rewards, but has relinquished control of the asset.

Financial liabilities are derecognized when they are extinguished, that is when the obligation is discharged, cancelled or expires.

The Company enters from time to time also into certain “pass-through” arrangements whereby contractual cash flows on a financial asset are passed to a third party. Such financial assets are derecognized from the balance sheet if the terms of the arrangement oblige the Company to only pass on contractual cash flows to the third party that are actually received without material delay, and where the terms of the arrangement also prohibit the Company from selling or pledging the underlying financial asset.

5.5. FEE AND COMMISSION INCOME AND EXPENSE

The Bank earns fees and commissions from providing investment banking, asset management and administration services, lending- and deposit-related services and other commissions.

Investment banking fees

Investment banking revenue includes debt and equity underwriting and advisory fees. Underwriting fees are recognized as revenue typically upon execution of the client’s transaction. Debt underwriting fees also include credit arrangement and syndication fees which are recorded as revenue after satisfying certain retention, timing and yield criteria. Advisory fees are recognized as revenue typically upon execution of the client’s transaction.

Asset management fees, administration fees and commissions

This revenue category includes fees from investment management and related services, custody, brokerage services and other products.

Investment management fees are typically based on the value of assets under management and are collected and recognized at the end of each period over which the management services are provided, and the value of the managed assets is known. The Bank also receives performance-based management fees, which are earned based on exceeding certain benchmarks or other performance targets and are accrued and recognized when the probability of reversal is remote, typically at the end of the related billing period. The Bank has contractual arrangements with third parties to provide distribution and other services in connection with its asset management activities. Amounts paid to third-party service providers are recorded in commission expense.

The Bank receives other asset management fees for services that are ancillary to investment management services, including commissions earned on sales or distribution of mutual funds to clients. These fees are recorded as revenue at the time the service is rendered or, in the case of certain distribution fees based on the underlying fund's asset value and/or investor redemption, recorded over time as the investor remains in the fund or upon investor redemption.

The Bank receives administrative fees predominantly from custody and fund services fees. These fees are recorded as revenue over the period in which the related service is provided.

Lending- and deposit-related fees

Lending-related fees include fees earned from loan commitments, standby letters of credit, financial guarantees, and other loan-servicing activities. Deposit-related fees include fees earned in lieu of compensating balances, and fees earned from performing cash management activities and other deposit account services. Lending- and deposit-related fees in this revenue category are recognized proportionately over the period in which the related service is provided.

Other commissions

The Bank acts as a broker, facilitating its clients' purchase and sale of securities and other financial instruments. It collects and recognizes brokerage commissions as revenue upon occurrence of the client transaction. The Company reports certain costs paid to third-party clearing houses and exchanges net against commission revenue.

Fees and commissions obtained through the Bank's attribution agreements are recognized when the underlying contract becomes legally binding or at the agreed due date.

5.6. LEASES

The Company recognizes lease right-of-use (“ROU”) assets and lease liabilities at the lease commencement date. Lease ROU assets are included in property and equipment, and lease liabilities are included in other liabilities for leases in the Company’s balance sheet. The ROU asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the lease commencement date plus any initial direct costs incurred and estimated costs for dismantling, removing and restoring as stated and required by the leasing agreement, less any lease incentives received. The ROU asset is subsequently amortized on a straight-line basis of the earliest of the two periods of the end of the useful life of the ROU asset or the lease term. The estimated useful life of the ROU asset is determined on the same basis as those of the property and equipment. In addition, the ROU asset may be reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the Company’s incremental borrowing rate. The lease liability is measured at amortized cost using a constant periodic rate of interest. It is re-measured when there is a change in leasing rates as a result of a change in a consumer price index or reference rate, or if the Company changes its assessment of whether it will exercise an extension or termination option. When the lease liability is re-measured in this way, a corresponding adjustment is made to the carrying amount of the ROU asset, or is recorded in earnings if the carrying amount of the ROU asset has been reduced to zero.

Short-term leases and leases of low-value assets

The Company has elected to not recognize ROU assets and lease liabilities for leases of low-value assets and short-term leases of real estate, including equipment, that have a lease term of 12 months or less. The Company recognizes the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

5.7. FAIR VALUE

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Fair values are determined by reference to observable market prices where available and reliable. Fair values of financial assets and financial liabilities are based on quoted market prices or dealer price quotations for financial instruments traded in active markets. Where market prices are unavailable, fair value is based on valuation models that consider to the largest possible extent relevant transaction characteristics. As inputs are used observable or unobservable market parameters, including but not limited to yield curves, interest rates, volatilities, equity prices, foreign exchange rates and credit curves. Valuation adjustments such as CVA (Credit Valuation Adjustment) and FVA (Funding Valuation Adjustment) may be done to ensure that financial instruments are recorded at fair value.

For financial assets and liabilities held at fair value, most market parameters in the valuation model are directly observable. When input values do not directly correspond to the actively traded market parameters the model may perform numerical procedures in the pricing such as interpolation.

The Company classifies its assets and liabilities measured at fair value according to a hierarchy that has been established under IFRS. The fair value hierarchy is based on the transparency of inputs to the valuation of an asset or liability as of the measurement date. The fair value hierarchy gives the highest priority to quoted prices (unadjusted) in active markets for identical assets or liabilities (level 1) and the lowest priority to unobservable inputs (level 3 inputs).

A financial instrument's categorization within the fair value hierarchy is based on the lowest level of input that is significant to the fair value measurement.

Further details on fair value measurements are provided in note 30. to the financial statements.

5.8. RECOGNITION OF DEFERRED DAY ONE PROFIT AND LOSS

The Company enters into transactions where fair value is determined using valuation models that use significant unobservable inputs. Such a financial instrument is initially recognized at the transaction price, although the value obtained from the relevant valuation model may differ. The difference between the transaction price and the model value, commonly referred to as "day one profit and loss", is not recognized immediately in the income statement.

The timing of recognition of the deferred day one profit and loss is determined for each class of financial asset and liability. It is either amortized over the life of the transaction, deferred until the instrument's fair value can be determined using market observable inputs, or realized through settlement. The financial instrument is subsequently measured at fair value, adjusted for the deferred day one profit and loss.

5.9. IMPAIRMENT OF NON-FINANCIAL ASSETS

Non-financial assets that are subject to amortization are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are largely independent cash inflows. Prior impairments of non-financial assets (other than goodwill) are reviewed for possible reversal at each reporting date.

5.10. SECURITIES PURCHASED UNDER AGREEMENT TO RESELL AND SECURITIES SOLD UNDER AGREEMENT TO REPURCHASE

Securities purchased under agreements to resell, and securities sold under agreements to repurchase, are treated as collateralized lending and borrowing transactions respectively. They are predominantly measured at FVPL (partially classified as held-for-trading and partially managed at FVPL) with those held within the treasury portfolio being measured at amortized cost. The consideration for the transaction can be in the form of cash or securities. If the consideration for the purchase or sale of securities is given in cash, the transaction is recorded on the balance sheet within securities purchased/sold under agreement to resell/repurchase. In a repo transaction, the Bank retains the risks and rewards of the securities sold under repurchase agreement, these securities are not derecognized from the balance sheet. In a reverse repo transaction, securities purchased under agreement to resell are not recognized on the balance sheet. The difference between the sales and repurchase price is treated as interest and accrued over the life of the agreements.

5.11. SECURITIES BORROWING AND SECURITIES LENDING TRANSACTIONS

Securities borrowing and securities lending transactions require the borrower to deposit cash or other collateral with the lender. Securities borrowing and securities lending are recorded at the amount of cash collateral advanced or received. If the consideration is received or given in the form of securities, the transaction is recorded off balance sheet. Fees received or paid in connection with securities borrowing and lending are treated as interest income or interest expense and accrued over the life of the transaction using the effective interest rate method.

5.12. OFFSETTING FINANCIAL ASSETS AND LIABILITIES

Financial assets and financial liabilities are offset and the net amount reported in the balance sheet when there is currently a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or to realize the asset and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Company or the counterparty.

The Bank uses master netting agreements to mitigate counterparty credit risk in certain transactions, including derivative and securities financing transactions. A master netting agreement is a single agreement with a counterparty that permits multiple transactions governed by that agreement to be terminated and settled through a single payment in a single currency in the normal course of the business and in the event of a default (e.g. bankruptcy, failure to make a required payment or securities transfer or deliver collateral or margin when due).

Further details on offsetting of financial assets and liabilities are provided in note 31. to the financial statements.

5.13. BUSINESS COMBINATIONS UNDER COMMON CONTROL

Predecessor accounting is applied to transfers of businesses between entities under common control, where all combining entities are controlled by the same entity before and after the business acquisition. Assets and liabilities are recognized at their predecessor carrying amounts (i.e. the carrying amounts of assets and liabilities in the books and records of the transferor prior to the transfer) with no fair value adjustments. Any difference between the cost of acquisition and aggregate book value of the assets and liabilities on the date of transfer of the business is recognized as an adjustment to equity. As a result, no goodwill is recognized from the business combination.

5.14. CASH AND CASH EQUIVALENTS

Cash and cash equivalents include cash and balances at central banks.

5.15. CURRENT AND DEFERRED INCOME TAX

Current income tax payable is recognized as an expense in the period in which the profits arise. Income tax recoverable on tax allowable losses is recognized as a current tax asset only to the extent that it is regarded as recoverable by offset against taxable profits arising in the current or prior periods. Current tax is measured using tax rates and tax laws that have been enacted or substantively enacted at the balance sheet date.

Deferred tax is recorded, using the liability method, on temporary differences arising from the differences between the tax bases of assets and liabilities and their carrying amounts in the financial statements when recognition requirements are met. Deferred tax is determined using tax rates and legislation enacted or substantively enacted by the balance sheet date, which are expected to apply when the deferred tax asset is realized or the deferred tax liability is settled. Deferred tax assets and liabilities are only offset when there is both a legal right and an intention to settle on a net basis. Current tax and deferred tax are recognized directly in equity if the tax relates to items that are recognized in the same or a different period in equity. Deferred taxes on unused carried forward losses are not recognized since there are no tax losses carried forward.

The Organization for Economic Co-operation and Development (OECD) has published model rules and associated guidance related to Pillar Two. The rules apply a system of Top-up Taxes that aim to ensure corporations are paying income tax at a minimum rate of 15% in every jurisdiction. These rules begin to take effect for corporations in 2024, as jurisdictions enact legislation in line with the OECD rules and related guidance. On December 28, 2023, the German Pillar Two Implementation Act came into force. The German Pillar Two rules including the German Qualified Domestic Minimum Top-up Tax (QDMTT) rules are applicable for financial years which start after December 30, 2023. The application of the rules is ongoing and will continue to evolve as further guidance is released by the OECD and individual jurisdictions. For the years 2024–2026, temporary transitional regulations (so-called safe harbor rules) can be applied subject to certain conditions.

The International Accounting Standards Boards issued in May 2023 amendments to IAS 12 Income Taxes that introduced a mandatory temporary exception to recording deferred taxes associated with jurisdictions implementing Pillar Two rules. The Company has applied the mandatory exception to recognizing and disclosing information about deferred tax assets and liabilities related to Top-up Taxes associated with Pillar Two. As such, any Top-up Taxes incurred will be treated as a period cost in the period of occurrence.

JPMSE has branches in 14 different countries. The applicable tax rates in these countries are between 12.5 % and 33.1 % and the statutory tax rate is less than 15 % in only one country. Based on a country-specific analysis, the company expects to qualify for the safe harbor rules in the transitional years in most countries. In those countries where the requirements are potentially not met, the Company does not expect significant Top-up Taxes related to Pillar Two.

5.16. INVENTORIES

The Bank holds inventories which are comprised of commodity positions that are measured at fair value less cost to sell. The Bank considers itself to be a commodity broker-trader because it buys and sells commodities on behalf of other parties and on its own account.

5.17. PROVISIONS AND CONTINGENT LIABILITIES

Provisions are recognized when the Company has a present legal or objective obligation as a result of past events, it is probable that an outflow of economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made.

A contingent liability is a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company, or a present obligation that arises from past events but is not recognized because either an outflow of economic benefits is not probable or the amount of the obligation cannot be reliably measured. Contingent liabilities are not recognized in the financial statements; however, disclosure is made unless the probability of settlement is remote.

5.18. PENSIONS AND OTHER POST-RETIREMENT BENEFITS

The Bank operates both defined benefit and defined contribution schemes for its employees.

I. Defined contribution scheme

A defined contribution plan is a retirement plan in which the Bank pays a defined level of contributions to a third party. The Bank is not legally or de facto obliged to pay further contributions if the fund does not have sufficient assets to pay all employees the benefits in connection with the employee service in the current and in previous periods. Obligations for contributions to defined contribution pension plans are recognized as an expense and charged to the income statement on an accrual basis.

II. Defined benefit scheme

For defined benefit pension plans, the service cost for providing retirement benefits to employees during the year is recognized in the income statement in accordance with IAS 19 “Employee Benefits”. The pension-related expenses and income are recorded on the basis of expert opinions. The appraisals are prepared by qualified and independent actuaries. This ensures that the full costs of covering the pension obligations of current and former employees are correctly recorded.

The liabilities of the defined benefit systems are valued on an actuarial basis. Assets are valued separately for each plan at their market value, provided that plan assets exist to cover plan liabilities. Any surplus or deficit of scheme assets over liabilities are recognized on the balance sheet as an asset (surplus) or liability (deficit). Current service cost and any past service cost, along with the expected rate of return on the plan’s assets, less the release of the discounting of the plan’s liabilities, is charged to the income statement. Actuarial gains and losses are recognized in full in other comprehensive income in the reporting period in which they occur and shown in equity in the reporting period in which they occur.

Further details on the Bank’s defined benefit scheme are provided in note 20. to the financial statements.

5.19. SHARE-BASED PAYMENT AWARDS

Share-based payment awards may be made to employees of the Bank under the Firm’s incentive awards schemes. The fair value of such shares, rights to shares or stock options is measured during the conditional allocation. This value is recorded as compensation expense for the Bank over the period of time that the performance criteria are related to along with employer’s social security expenses or other payroll taxes. All of the granted awards are equity-settled. The Bank estimates the level of forfeitures and applies this forfeiture rate at the granting date.

Additionally, the Bank takes into account the conditions that must be met before an employee is eligible for equity instruments under the Bank’s incentive programs. Amortization is accelerated for employees who retire so that the premium is recognized in full as an expense when the pension entitlement takes effect.

5.20. PROPERTY AND EQUIPMENT

Property and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses. The Bank calculates the depreciation using the straight-line method over the estimated useful life of an asset. The buildings are depreciated on a straight-line basis over a useful life of up to 50 years. Land is not depreciated. For leasehold improvements, the Bank uses the straight-line method computed over the lesser of the remaining term of the leased facility or the estimated useful life of the leased asset. For IT equipment and furniture, the useful life is directed by the official depreciation tables of the financial administration. See accounting policy in note 5.6. in respect of right-of-use assets and 5.9. on the impairment of non-financial assets.

5.21. INTANGIBLE ASSETS

The Bank capitalizes certain costs associated with the acquisition or development of internal-use software. Once the software is ready for its intended use, these costs are amortized on a straight-line basis over the software's expected useful life and reviewed for impairment on an ongoing basis. Intangible assets include purchased and self-developed software and are amortized on a straight-line basis with finite useful life. Software applications are amortized up to 3 years. See accounting policy in note 5.9. on the impairment of non-financial assets.

5.22. ADJUSTMENT OF PRIOR YEAR-FIGURES

The Bank adjusted retrospectively the treatment of securities borrowed from counterparties which are part of a prepaid equity forward sale or prepaid equity collar transaction. This led to a correction of the financial assets held for trading and financial liabilities designated at fair value through profit or loss on the balance sheet, which decreased by € 1,015 million.

In the reporting period it was identified that the presentation of trading assets pledged in note 34. was understated. As a result, the pledged trading assets balance as of December 31, 2022 was restated by € 282 million from € 10,305 million to € 10,587 million. Furthermore, the Bank adjusted retrospectively the fair value of collateral accepted as follows: Collateral permitted to be sold or repledged, delivered, or otherwise used was increased by € 1,883 million from € 174,545 million to € 176,429 million and Collateral sold, repledged, delivered or otherwise used was decreased by € 282 million from € 158,729 million to € 158,447 million.

Furthermore, the Bank adjusted retrospectively the levelling of specific derivative receivables amounting to € 3,726 million from Level 2 to Level 1.

It was also identified that the maximum exposure to loss for financial assets and liabilities at fair value through profit and loss in note 36. was overstated. This led to the maximum exposure to loss as of December 31, 2022 being restated to € 7,874 million from € 8,258 million.

In the reporting period it was decided that the presentation of certain items in the Statement of Cashflows would be amended. The reclassification led to cash from operating activities being reduced by € 6,187 million, cash from investing activities being increased by € 14,681 million and cash from financing activities being reduced by € 8,494 million.

6. Interest income and expense and similar income and expense

Details of interest income and interest expense were as follows, including similar income and expenses:

€T	1/1 – 31/12/2023	1/1 – 31/12/2022
Interest and similar income		
Loans and advances to banks ¹	3,632,301	549,875
Loans and advances to customers	1,320,789	376,936
Securities purchased under agreements to resell	663,320	179,197
Positive interest from financial liabilities	0	222,798
Other	721,919	118,696
Total interest income calculated using the effective interest method	6,338,330	1,447,503
Loans and advances to banks	16,806	71,661
Loans and advances to customers	51,894	75,134
Securities purchased under agreements to resell	1,824,642	182,965
Trading assets	1,012,688	535,032
Securities borrowed	103,121	21,196
Positive interest from financial liabilities	0	93,269
Total interest and similar income	9,347,482	2,426,761
Interest expense and similar charges		
Deposits from banks	1,417,516	103,212
Deposits from customers	3,164,688	542,282
Securities sold under repurchase agreements	1,275,172	184,914
Securities loaned	37,784	39,915
Trading liabilities	646,418	485,132
Subordinated liabilities & LTD	832,084	196,853
Negative interest on financial assets	1,261	243,673
Other interest expense	532,771	95,789
Total interest expense and similar charges	7,907,694	1,891,769
Net interest income	1,439,788	534,992

¹ Including interest earned from deposits with Central banks

The amounts reported above include interest income and expense, calculated using the effective interest method. This related to the following financial assets and financial liabilities:

€T	1/1 – 31/12/2023	1/1 – 31/12/2022
Interest income from Financial assets measured at amortized cost	6,147,349	1,384,667
Interest income from Financial assets measured at FVOCI	190,981	62,836
Interest expense from Financial liabilities measured at amortized cost	5,819,937	834,903

Total net interest and similar income has increased by € 905 million in comparison to the previous year.

Total interest income and similar income has increased by € 6,921 million compared to the previous year predominantly driven by the higher interest rate environment. This drove the increase across all segments, most notably in Segments Corporate and in Markets.

Total interest expense and similar charges has increased by € 6,016 million compared to the previous year also driven by the higher interest rate environment. This also drove the increase across all segments, in particular Segments Corporate and in Markets.

7. Net fee and commission income

Fee and commission income consists of investment banking fees, lending- and deposit-related fees and commissions and other income (see also note 5.5.).

In the following table, fee and commission income from contracts with customers in the scope of IFRS 15 is disaggregated by major type of services:

€T	1/1 – 31/12/2023	1/1 – 31/12/2022
Investment banking fee	406,104	396,044
Lending- and deposit-related	175,032	141,037
Asset management fee, administration fees and commissions	1,501,351	1,485,874
Commissions & other fees	1,235,273	1,260,833
Total fee and commission income	3,317,760	3,283,788
Fee and commission expense	654,097	667,445
Net fee and commission income	2,663,663	2,616,343

Net fee and commission income increased by € 47 million in comparison to the previous year.

8. Net income from financial assets and liabilities measured at fair value through profit and loss

The position contains the net gains or losses from financial instruments in the held-for-trading category, the net gains or losses from financial instruments mandatorily at FVPL – managed at FV category, and the net gains or losses from financial instruments designated at fair value through profit or loss category.

The net gains or losses from financial instruments in the held-for-trading category is the net trading profit (see also note 5.4.3.).

The net gains or losses from financial instruments mandatorily at FVPL – managed at FV category, and the net gains or losses from financial instruments designated at fair value through profit or loss category contains only net remeasurement gains or losses and realized profit or loss.

€T	1/1 – 31/12/2023	1/1 – 31/12/2022
Profit or loss from financial instruments mandatorily at FVPL – held for trading	1,055,194	1,673,759
Profit or loss from financial instruments mandatorily at FVPL – managed at FV	27,215	7,253
Profit or loss from financial liabilities designated at FVPL	426,307	–15,645
Total	1,508,716	1,665,367

The profit from financial instruments – held for trading decreased mainly in the Segment Markets and driven by the client trading and market making activities. The increase in the profit from financial liabilities designated at FVPL relates mostly to the increased profit from long-term debt and other borrowings in Markets.

9. Administrative expenses

€T	1/1 – 31/12/2023	1/1 – 31/12/2022
Administrative expenses		
Wages and salaries	864,134	859,746
Social security, pension and benefits costs	225,861	224,588
of which of retirement	92,724	98,338
Share-based awards	156,671	143,701
Other administrative costs	1,806,345	1,732,874
Total administrative expenses	3,053,011	2,960,909

Total administrative expenses increased by € 92 million during the year to € 3,053 million. This was mostly driven by an increase in other administrative costs by € 73 million to € 1,806 million.

10. Income taxes

Current and deferred income taxes

Income taxes on taxable income (current taxes) are recognized as an expense in the period in which the income arises.

Current tax claims and liabilities are measured at the amount at which a refund from tax authorities or a payment to tax authorities are expected. For the measurement of these amounts, tax rates and tax laws are applied, which are in place as of the balance sheet date or will become applicable shortly in the countries where the Bank operates and made taxable income. Current tax claims and liabilities are only netted if certain requirements are met.

Deferred taxes are calculated on temporary differences from the difference between the business and tax balance sheets. Deferred taxes are valued at the tax rate valid on the balance sheet date and the tax laws for the date of the expected realization. If there is a legally enforceable right to offset current taxes and the taxes are levied by the same tax authority and are payable by the same taxable entity, deferred taxes are netted. To the extent that the taxes relate to matters that were recognized directly in equity, current and deferred taxes are also recognized in equity. As of the balance sheet date, there were no taxable loss carryforwards.

10.1. AMOUNTS RECOGNIZED IN THE INCOME STATEMENT

€T	1/1 – 31/12/2023	1/1 – 31/12/2022
Current tax expense for the year	880,003	583,569
Current year	847,081	646,230
Adjustments in respect of previous years	32,921	–62,661
Deferred tax credit for the year	3,348	–78,081
Origination and reversal of temporary differences	3,348	–74,268
Effect of changes in tax law and/or tax rate	0	0
Adjustments in respect of previous years	0	–3,813
Other	0	0
Total income tax expense	883,351	505,488

As at December 31, 2023, the tax rate for Germany was 31.9 % (in 2022: 31.9 %). For the foreign branches the applicable statutory tax rates were applied, as in the prior year ranging from 12.5 % to 33.1 %.

10.2. AMOUNTS RECOGNIZED IN OCI

The table below shows current and deferred taxes:

€T	2023			2022		
	Before tax	Tax	Net of tax	Before tax	Tax	Net of tax
Items that will not be reclassified to income statement	7,654	644	8,298	-32,298	7,354	-24,944
Remeasurement gains (+)/losses (-) on defined benefit plans	7,654	644	8,298	-32,298	7,354	-24,944
Net credit risk-related gains (+) / losses (-) on financial liabilities designated at FVPL, before tax	0	0	0	0	0	0
Items that are or may be reclassified subsequently to income statement						
Change in fair value of financial assets at FVOCI	-27,838	25,543	-2,295	-32,846	10,488	-22,358
Unrealized gains (+)/losses (-) recognized in the reporting period, before tax	-44,817	14,310	-30,507	-25,594	8,173	-17,422
Realized gains (-)/losses (+) reclassified to profit or loss in the reporting period, before tax	16,979	11,233	28,212	-7,252	2,315	-4,936
Total	-20,184	26,186	6,003	-65,144	17,842	-47,302

10.3. RECONCILIATION OF TAX EXPENSE

€T	2023	2022
Profit before tax	2,566,951	1,743,326
Tax using tax rate of 31.9 %	819,627	556,613
Effect of non-tax-deductible expenses	128,635	51,710
Recognition of taxes from prior periods	19,848	-16,059
Effect of tax rates in foreign branches	-107,016	-100,586
Other	22,257	13,810
Total income tax expense	883,351	505,488

10.4. MOVEMENT IN DEFERRED TAX BALANCES

In the reporting period and the comparative period, all deferred tax liabilities and assets were recorded and are split as follows:

2023					Balance at December 31		
€T	Net balance at January 1	Recognized in profit or loss	Recognized in OCI	Recognized in Capital Reserves	Net	Deferred tax assets	Deferred tax liabilities
Intangible assets	12,722	-4,482	0	0	8,240	9,337	-1,097
Lease liabilities	1,240	-844	0	0	396	7,090	-6,694
Financial assets valued at FVOCI	-12,072	-5,972	25,543	0	7,498	7,498	0
Special and mutual funds related to pension assets	20,642	-1,166	0	0	19,476	28,197	-8,720
Trading assets/liabilities	1,431	-7,687	0	0	-6,256	215,722	-221,979
Allowance for expected credit losses	62,331	-31,107	0	0	31,224	31,224	0
Defined benefit plans	-15,627	20,453	644	0	5,469	33,662	-28,193
Other	92,407	27,458	0	0	119,865	124,691	-4,826
Total assets (+)/liabilities (-), before set off	163,074	-3,348	26,186	0	185,913	457,420	-271,508
Set off of tax						-269,298	269,298
Net tax assets (+)/liabilities (-)						188,123	-2,210

2022					Balance at December 31		
€T	Net balance at January 1	Recognized in profit or loss	Recognized in OCI	Recognized in Capital Reserves	Net	Deferred tax assets	Deferred tax liabilities
Intangible assets	14,400	0	0	-1,678	12,722	12,722	0
Lease liabilities	749	491	0	0	1,240	14,426	-13,186
Financial assets valued at FVOCI	-13,539	-9,021	10,488	0	-12,072	5,972	-18,044
Special and mutual funds related to pension assets	20,030	612		0	20,642	20,642	0
Trading assets/liabilities	-2,654	4,085	0	0	1,431	75,939	-74,508
Allowance for expected credit losses	23,859	38,472	0	0	62,331	62,331	0
Defined benefit plans	-24,735	1,752	7,354	0	-15,627	9,841	-25,468
Other	33,575	41,690	0	17,142	92,407	101,313	-8,906
Total assets (+)/liabilities (-), before set off	51,685	78,081	17,842	15,464	163,074	303,186	-140,112
Set off of tax						-139,519	139,519
Net tax assets (+)/liabilities (-)						163,668	-593

11. Classification of financial assets and financial liabilities

The following table provides a reconciliation between line items in the balance sheet and categories of financial instruments.

December 31, 2023 €T	Note	Mandatorily at FVPL	Designated at FVPL	FVOCI	Amortized cost	Total carrying amount
Cash and central bank balances	12	0	0	0	63,665,682	63,665,682
Loans and advances to banks	13	0	0	538,365	12,852,554	13,390,919
Loans and advances to customers	14	1,174,913	0	3,176,108	16,451,416	20,802,437
Securities purchased under agreements to resell or borrowed ¹	15	41,208,677	0	0	30,921,717	72,130,394
Trading assets	16	210,237,320	0	0	0	210,237,320
Other assets excluding the net defined benefit plan assets and assets related to early retirement	19	73,426	0	0	39,877,783	39,951,209
Total financial assets		252,694,336	0	3,714,473	163,769,152	420,177,961
Deposits from banks	22	0	0	0	42,644,570	42,644,570
Deposits from customers	23	0	0	0	97,622,769	97,622,769
Securities sold under repurchase agreements or loaned	15	0	25,352,177	0	0	25,352,177
Trading liabilities	16	182,292,030	0	0	0	182,292,030
Financial liabilities designated at fair value through profit or loss	25	0	2,117,099	0	0	2,117,099
Other liabilities excluding deferred income	26	0	0	0	27,504,614	27,504,614
Subordinated liabilities	27	0	0	0	17,557,421	17,557,421
Total financial liabilities		182,292,030	27,469,276	0	185,329,374	395,090,680

¹ €40,095 million out of Securities purchased under agreements to resell or borrowed relates to financial assets held for trading.

December 31, 2022 €T	Note	Mandatorily at FVPL	Designated at FVPL	FVOCI	Amortized cost	Total carrying amount
Cash and central bank balances	12	0	0	0	75,340,930	75,340,930
Loans and advances to banks	13	0	0	150,919	9,612,156	9,763,075
Loans and advances to customers	14	1,525,091	0	2,360,331	15,861,399	19,746,821
Securities purchased under agreements to resell or borrowed ¹	15	46,474,590	0	0	19,769,040	66,243,630
Trading assets ²	16	219,368,833	0	0	0	219,368,833
Other assets excluding the net defined benefit plan assets and assets related to early retirement	19	89,627	0	0	43,521,507	43,611,134
Total financial assets		267,458,141	0	2,511,250	164,105,032	434,074,423
Deposits from banks	22	0	0	0	43,096,896	43,096,896
Deposits from customers	23	0	0	0	94,779,794	94,779,794
Securities sold under repurchase agreements or loaned	15	0	27,850,933	0	0	27,850,933
Trading liabilities	16	194,540,937	0	0	0	194,540,937
Financial liabilities designated at fair value through profit or loss ²	25	0	1,976,367	0	0	1,976,367
Other liabilities excluding deferred income	26	0	0	0	33,277,383	33,277,383
Subordinated liabilities	27	0	0	0	15,171,455	15,171,455
Total financial liabilities		194,540,937	29,827,300	0	186,325,528	410,693,765

¹ €46,417 million out of Securities purchased under agreements to resell or borrowed relates to financial assets held for trading.

² Prior-year figure adjusted (see note 5.22.)

12. Cash and central bank balances

See accounting policy in note 5.14.

€T	31/12/2023	31/12/2022
Central bank balances	63,665,682	75,340,930

The balance with Central banks has decreased by € 11,675 million to € 63,666 million, mainly driven by a decrease in deposits in the Segment Corporate.

13. Loans and advances to banks

See accounting policy in note 5.4. and note 35.

€T	31/12/2023	31/12/2022
Loans and advances to banks at FVOCI	538,365	150,919
Loans and advances to banks at amortized cost	12,853,367	9,612,487
Less allowance for credit losses	-813	-330
Total loans and advances to banks	13,390,919	9,763,075

The size of the loan portfolio increased by € 3,628 million to € 13,391 million, mainly driven by an increase in intergroup interest-bearing deposits in the Segment Corporate.

Allowance for credit losses has increased by € 0.5 million compared to the previous year.

14. Loans and advances to customers

The Bank's main loan portfolio is in the Segments Private Bank and Banking. Loans to customers include loans made to a variety of customers, such as Private Bank clients, large corporates and institutional clients.

The loan portfolio has increased by € 1,056 million to € 20,802 million, mainly attributed to an increase in lending activities in the Segment Banking.

€T	31/12/2023	31/12/2022
Loans and advances to customers at FVOCI	3,176,108	2,360,331
Loans and advances to customers at amortized cost	16,556,991	16,001,234
Less allowance for credit losses	-105,575	-139,834
Loans and advances to customers at FVPL	1,174,913	1,525,091
Total loans and advances to customers	20,802,437	19,746,821

The credit quality and analysis of concentration of loans and advances to customers is managed within the Bank's Credit Risk Management function, reference to the risk report and note 35.

15. Securities financing agreements

€T	31/12/2023	31/12/2022
Securities purchased under agreements to resell	68,994,219	65,381,449
Securities borrowed	3,136,175	862,181
Securities purchased under agreements to resell or borrowed	72,130,394	66,243,630
Securities sold under agreements to repurchase	22,330,405	24,777,650
Securities loaned	3,021,772	3,073,283
Securities sold under repurchase agreements or loaned	25,352,177	27,850,933

J.P. Morgan SE enters into resale agreements, repurchase agreements, securities borrowing and securities lending transactions (collectively, “securities financing agreements”) primarily to facilitate customers’ funding requirements, to finance the Bank’s inventory positions, acquire securities to cover short positions and settle other securities obligations.

Securities purchased and securities sold under agreements to resell/repurchase and securities borrowing and securities lending transactions are generally carried at the amount of the cash collateral advanced or received.

In resale agreements and securities borrowed transactions, the Bank is exposed to credit risk to the extent that the value of the securities received is less than initial cash principal advanced and any collateral amounts exchanged. In repurchase agreements and securities loaned transactions, credit risk exposure arises to the extent that the value of underlying securities exceeds the value of the initial cash principal advanced, and any collateral amounts exchanged.

It is also the Bank’s policy to take possession, where possible, of the securities underlying resale agreements and securities borrowed transactions. Refer to note 31. for additional information on netting arrangements.

At year-end 2023, there was an increase in securities purchased under agreements to resell or borrow by € 5,887 million. Securities purchased under agreements to resell increased by € 3,613 million mainly in the Segment Corporate by € 11,153 million and a decrease in the Segment Markets by € 7,540 million. Securities borrowed increased by € 2,274 million in the Segment Markets.

Additionally, there was a decrease in securities sold under repurchase agreements or loaned at the amount of € 2,499 million. Securities sold under agreements to repurchase decreased by € 2,447 million in the Segment Markets.

16. Trading assets and liabilities

SUMMARY

€T	Trading assets		Trading liabilities	
	31/12/2023	31/12/2022	31/12/2023	31/12/2022
Non-derivatives ¹	37,360,449	27,239,711	26,823,670	21,970,926
Derivatives	172,876,871	192,129,122	155,468,360	172,570,012
Total	210,237,320	219,368,833	182,292,030	194,540,937

¹ Prior-year figure adjusted (see note 5.22.)

TRADING ASSETS

€T	31/12/2023	31/12/2022
Equity instruments	5,416,332	4,238,210
Debt instruments	30,276,371	21,506,255
Derivatives	172,876,871	192,129,122
Others ¹	1,667,746	1,495,246
Total trading assets	210,237,320	219,368,833

¹ Prior-year figure adjusted (see note 5.22.)

TRADING LIABILITIES

€T	31/12/2023	31/12/2022
Equity instruments	212,690	120,364
Debt instruments	26,610,980	21,850,562
Derivatives	155,468,360	172,570,012
Total trading liabilities	182,292,030	194,540,937

The decrease in trading assets amounting to € 9,132 million and trading liabilities to € 12,249 million was mainly driven by the Segment Markets – Global Equities and Global Rates as a result of market volatility throughout the year.

The following table breaks down the notional amount and the fair value of the derivative financial instruments according to their type and scope.

2023			
€T	Notional amount	Positive market values	Negative market values
Interest rate	16,361,002,966	102,294,558	90,533,155
Equity	555,535,553	14,660,115	14,348,540
Foreign exchange	2,344,764,998	43,137,401	36,883,122
Credit	688,765,146	10,709,279	11,626,628
Commodity	48,589,473	2,075,518	2,076,915
Total derivatives	19,998,658,135	172,876,871	155,468,360

2022			
€T	Notional amount	Positive market values	Negative market values
Interest rate	12,151,990,129	119,847,043	103,589,811
Equity	505,462,077	14,756,490	13,546,929
Foreign exchange	2,311,761,861	48,861,996	46,529,600
Credit	480,600,863	4,567,748	4,803,892
Commodity	51,483,410	4,095,845	4,099,780
Total derivatives	15,501,298,340	192,129,122	172,570,012

17. Property and equipment

Property and equipment includes land and building, leasehold improvements, fixtures and furniture, IT equipment and right of use assets.

The net book value of property and equipment, including leasehold improvements, increased by € 42 million to € 381 million in 2023. This increase is mainly related to a contribution in kind to J.P. Morgan SE Paris Branch. At year-end 2023, the respective increases in acquisition costs and accumulated depreciation amounted to € 22 million and € 10 million and are included in the table below as additions from transactions under common control.

The table below provides the details of changes in property and equipment and RoU assets of the Bank in 2023 and 2022:

	Right-of-use assets		IT equipment		Fixtures and furniture		Land and building		Total property and equipment	
€T	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
Carrying amount at January 1	41,298	17,040	5,449	1,125	24,608	15,237	267,853	132,346	339,209	165,748
Acquisition cost at January 1	64,366	29,983	16,336	2,122	60,780	30,563	297,097	135,642	438,579	198,310
Additions from transactions under common control	0	0	836	11,000	6,540	26,846	14,981	158,913	22,357	196,759
Additions	51,922	34,979	1,533	4,678	7,876	4,072	2,011	2,201	63,343	45,930
Disposals	-1,743	-585	-300	-1,511	-135	-312	0	0	-2,179	-2,409
Reclasses	-67	-11	708	47	607	-389	-677	341	571	-11
Acquisition cost at December 31	114,478	64,366	19,113	16,336	75,668	60,780	313,412	297,097	522,671	438,579
Accumulated depreciation at January 1	23,068	12,943	10,887	998	36,172	15,326	29,244	3,297	99,371	32,563
Additions from transactions under common control	0	0	389	8,878	1,790	13,512	8,196	18,827	10,375	41,217
Depreciation for the year	15,513	10,715	2,504	2,523	7,843	7,528	7,395	7,120	33,256	27,884
Disposals	-1,743	-585	-298	-1,511	-3	-193	0	0	-2,045	-2,290
Reclasses	0	-5	638	0	503	0	-503	0	638	-5
Accumulated depreciation at December 31	36,838	23,068	14,120	10,887	46,304	36,172	44,333	29,244	141,595	99,371
Carrying amount at December 31	77,640	41,298	4,993	5,449	29,364	24,608	269,079	267,853	381,077	339,209